HT NEW DELHI, MUMBAI, BENGALURU, KOLKATA, CHENNAI, AHMEDABAD, HYDERABAD, PUNE* VOL. 20 NO. 109

Thursday, May 7, 2026

mint

Think Ahead. Think Growth.

mint primer

Why are music labels tuning into regional libraries?

BY LATA JHA

Music labels, grappling with slow paid subscriptions and revenue, are eyeing regional music catalogues. Times Music, Warner Music and Saregama have acquired regional catalogues recently. Such moves benefit established players and regional firms. *Mint* explains how

Sound of music

The Indian music industry has been growing at a steady pace.

Indian music segment revenues and projections (in ₹ crore)



*Estimated
Source: Ficci EY report 2026

mint

MANU CHOUDHARY/MINT

1 What is in it for the bigger players?

Consolidation in India's music industry could help major players by pooling resources, boosting catalogues, and raising bargaining power with platforms, advertisers and brands, industry executives said. It can help access shared marketing, technology adoption, and data-driven strategies that could be costly for individual players. A unified catalogue offers better licensing opportunities, attracts larger deals, and improves discoverability for diverse music. As capital expenditure rises, making content on one's own becomes tough. It also offers a one-time investment that helps expand footprint.

2 How do small companies benefit?

These moves illustrate how regional strengths can be scaled through strategic partnerships. They help unlock value by streamlining rights and royalty systems, expanding digital distribution, and bringing under-leveraged catalogues into the mainstream while maintaining cultural identity. Consolidation can be a strong accelerator, especially for regional or mid-sized players that have valuable intellectual property (IP) and deep local roots but limited access to infrastructure, global platforms, or capital. Smaller labels want to monetize catalogues before the current wave of capital subsides.

AP



3 Are there downsides to such acquisitions?

Big players entering regional markets can lead to monopoly, inflating costs in the short term as they pay relatively higher sums to artists. Success in these markets is culture-led and not driven by scale. Entering such regions without understanding cost and recovery structures can often result in commercially unsustainable projects.

4 What are the broader challenges?

Music labels are struggling to monetize their rights, often unable to even recover the soundtrack purchase amount. Audio streaming platforms have halved their pay rates (sum paid per stream for a song) over the past year, as audience preferences shift from music to other genres of entertainment such as stand-up comedy and podcasts. But this decline in listenership, has failed to move producers to lower the price at which they sell film music rights to music labels, who in turn licence them to streaming firms.

5 Have such acquisitions paid off so far?

While there is no real data to prove acquisitions have been lucrative so far, a Ficci EY report said music labels are expected to continue consolidating, either to improve monetization or de-risk against rising investment required to acquire new film music. The focus of consolidation will be small but on relevant labels. The deals reflect a broader 2025 trend, according to the report, where labels and studios are prioritizing IP control, predictable content flow, rather than transactional soundtrack acquisitions.

QUICK EDIT

Do AI-led flows rule?

The weak performance of Indian shares hasn't just dampened wealth creation, it has also put India's stock market at risk of being overtaken in terms of capitalization by the bourses of smaller economies. Catching up fast are Taiwan and South Korea; the former's market cap is now about $4.6 trillion, within sniffing distance of India's $4.9 trillion, and South Korea's is at about $4.2 trillion. As much as $2.7 trillion of Taiwan's gain has come in just the past 12 months, while South Korea too has seen a big leap. Their upsurge has been driven mainly by investor demand for AI-related stocks—chipmaker TSMC and chip designer MediaTek, for instance, in the case of Taiwan, and AI supply chain participants Samsung and SK Hynix in the case of South Korea. To be sure, market cap is an unreliable measure of economic health. India might even zip well ahead of those two Asian markets if relief from the Hormuz crisis puts Indian shares on an incline again. But it does put India's lack of 'AI plays' in the spotlight. It's obvious that profits can be generated without these, but global investors are mostly looking at AI-hot markets. If we can't beat them, we may need to join them.

QUOTE OF THE DAY

Assuming Iran agrees to give what has been agreed to, which is perhaps a big assumption, the already legendary Epic Fury will be at an end. If they don't agree, the bombing starts, and it will be, sadly, at a much higher level and intensity than it was before.



DONALD TRUMP
US PRESIDENT

INSIDE

Mark to Market | West Asia war clips L&T's wings >P4

Global | Reopen Hormuz or face more bombing, Trump warns Iran >P8

Money | Don't let Idle cash lose its value: put it to work with sweep-in FDs >P11

Views | AI chips are hot but our bets need to be hedged >P12

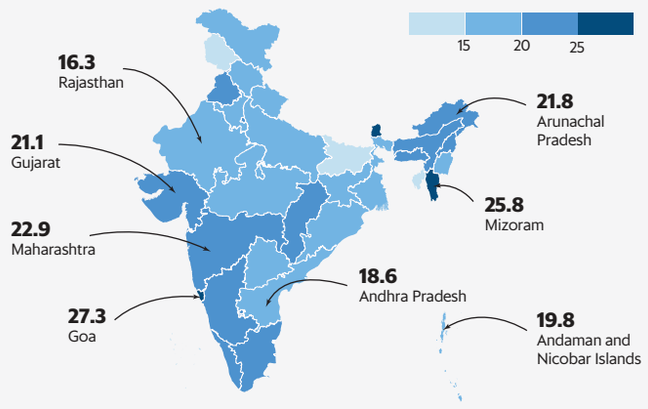
Views | Securities market code: end the current ambiguity over penalties >P13

mint | DATA BITES

WOMEN REMAIN A MINORITY IN INDIA'S RETAIL INVESTOR BASE

Women make up a small chunk of India's retail investors, with their share at just 13–27% of demat account holders across states. Participation is highest in Goa, Sikkim and Mizoram, and lowest in Bihar, Jammu and Kashmir, and Tripura.

Share (%) of demat accounts* held by women with CDSL, by state



*As of 31 October 2025. CDSL: Central Depository Services (India) Ltd.

Data: Manjul Paul; Graphic: Prateek Kumar

Source: Women and Men in India 2025 report by statistics ministry

COLUMNS



RAHUL JACOB
PREPARE FOR SEASONS OF DISCONTENT EVEN IF THE WAR ENDS >P12



Jonathan Levin
BUFFETT'S SUCCESSOR MAY NOT GET THE LUXURY OF INVESTOR PATIENCE >P13

Tulsi Jayakumar
WHAT INDIA'S SMALL EXPORTERS ARE SAYING ABOUT EXPORTS >P13



mint

PLAIN FACTS

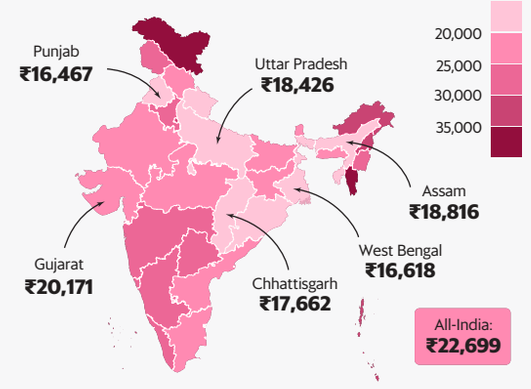
INDIA'S GROWTH STORY HAS A JOBS CHALLENGE

BY PAYAL BHATTACHARYA

Noida's unrest highlights India's structural crisis: skipping manufacturing for services has left a low-skilled workforce with stagnant real wages, poor living and working conditions, and diminishing bargaining power.

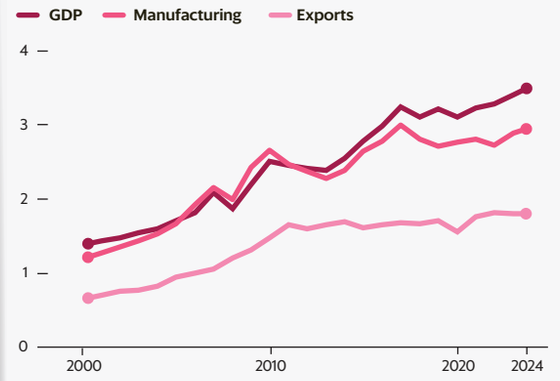
An average salaried worker in as many as eight states earns less than ₹20,000 per month

Average monthly wages of salaried workers (in ₹), 2025



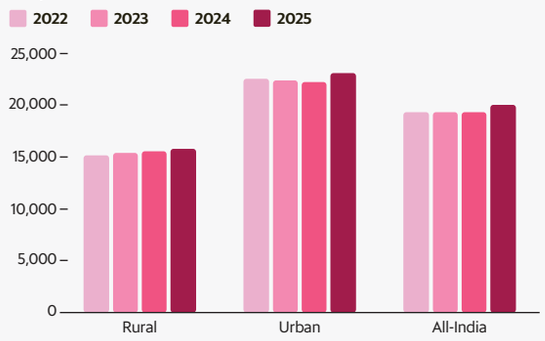
India's global GDP share is rising, but exports and manufacturing have stuttered

India's share in global... (in %)



Real wages have barely grown over the past four years

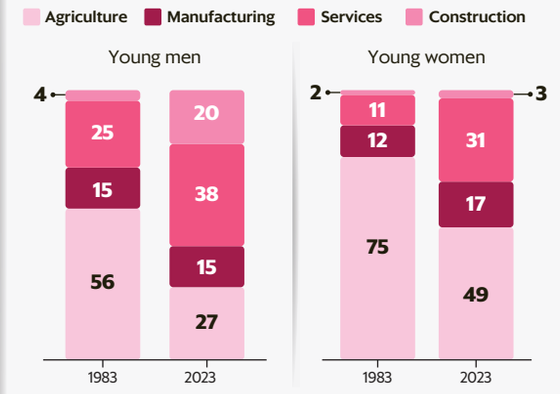
Inflation-adjusted wages of salaried employees (at 2022 prices)* in ₹ per month



**Calculated using the consumer price index (2012 series) after rebasing the figures to 2022=100.*

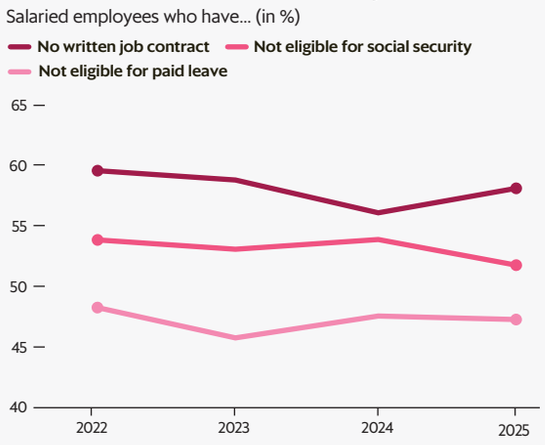
India transitioned from agriculture to services, bypassing manufacturing jobs

Share of workforce by sector (in %), 20-29 years



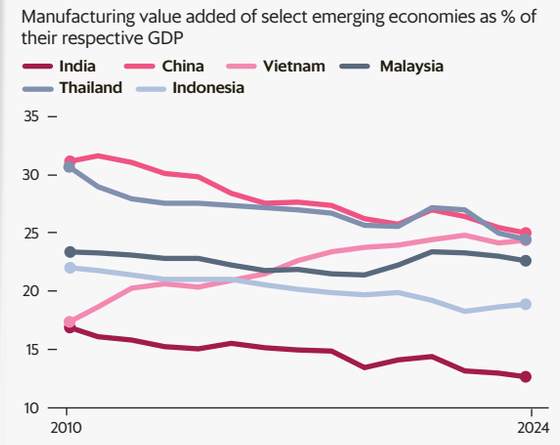
Social security has improved, but fewer salaried workers have written job contracts

Salaried employees who have... (in %)



India's manufacturing share in GDP remains below peers, and has weakened

Manufacturing value added of select emerging economies as % of their respective GDP



Source: Periodic Labour Force Survey, World Bank, Azim Premji University, Mint calculations

mint

PRATEEK KUMAR/MINT

Noida, with its high-rise buildings, wide roads, industrial and IT hubs, is a testament to India's rapid economic transformation. Yet, factory workers protested in the city last month, exposing cracks in India's growth story. What lies at the heart of the disconnect is India's transformation that skipped the manufacturing sector, which usually absorbs a large, low-skilled workforce. The country's shift from agriculture to services directly kept the job crisis alive, with low wages and poor working conditions.

Data shows that only about a fourth of workers earn regular wages or are salaried, with average monthly earnings less than ₹20,000 per month in as many as eight states, including Uttar Pradesh.

Average real wages, adjusted for inflation, have barely grown in the last few years, a *Mint* analysis of data from the Periodic Labour Force Survey (PLFS) showed. Average monthly real wages (at 2022 prices) went up from ₹19,316 in 2022 to ₹20,031 in 2025. Ultra-low inflation helped push real wages in 2025 to some extent, but stagnation in previous years does not signal an improving situation. With inflation rising again in 2026, the situation could worsen.

"Wages themselves have not grown as fast as GDP (gross domestic product). In fact, in many cases, wages have not grown at all," says Amit Basole, professor of economics at Azim Premji University. Real wage growth has not kept pace with productivity either. An analysis of data from the Annual Survey of Industries shows that real output per worker grew at a compound annual growth rate (CAGR) of 1.49% between 2011-12 and 2023-24—far less than 6-7% GDP growth. Real wages grew a meagre 0.87% during the period.

"India has a large surplus of labour, which takes away their bargaining power to translate productivity gains into wage gains," Basole adds. A large part of India's workforce operates without a job contract (58%), without social security (52%), and without paid leave (47%). Of the three, India has only managed to expand social security eligibility, pulling down the share of those without it from nearly 54%.

AT A GLANCE

- Recent labour unrest in Noida highlights a deep disconnect between India's rapid economic growth and the harsh reality of low wages and poor conditions for labourers.
- India jumped from farms to services, skipping the manufacturing phase. This failed to create enough stable, mid-level jobs for the country's massive, low-skilled workforce.
- While GDP and productivity have risen, real wages have barely moved. Workers lack bargaining power due to a labour surplus, leaving many earning less than ₹20,000 monthly.
- Most workers lack formal contracts, paid leave and social security. Despite growth in high-tech sectors, the broader manufacturing base remains too small to provide security.

STAGE SKIPPING

A traditional growth path moves from farm work to manufacturing to services. The US and the UK followed this model, while China, South Korea, Taiwan, and Vietnam leveraged manufacturing-and export-led growth. India skipped the middle step, creating a disconnect between rising GDP and general unrest among job seekers and the working class.

An analysis of jobs data by Azim Premji University shows that manufacturing remains a small share in the labour market. Over the last four decades, the share of young male workers in manufacturing remained stagnant at 14-16%, even as the share of farm jobs declined from 57% to 27%. Services and construction absorbed most of these labourers. For young women, the situation is slightly better, with the manufacturing share rising from 12% to 17%.

The services sector offers better jobs and improved working conditions, but experts believe it does not have the capacity to absorb India's large labour surplus, especially a largely unskilled or low-skilled workforce.

GROWTH GAPS

India's GDP, powered by its large young population, is leaving an increasingly significant global footprint. Manufacturing, on the other hand, has faltered. Merchandise exports have stagnated. Data from the World Bank shows India's share in global GDP doubled from around 1.4% in the early 2000s to roughly 3.5% in 2024. The share in manufacturing kept pace with the GDP rise until 2012-13 before beginning to falter. Its share remained shy of 3% in 2024. The goods export share, which helps power the domestic manufacturing sector, has barely increased in the last 15 years.

India's manufacturing value added in the country's GDP remains significantly less than many of its emerging market peers, particularly China and Vietnam.

"India's growth performance has been driven by a greater extent by the services sector, while manufacturing sector performance has been mixed," said Sakshi Gupta, principal economist at HDFC Bank. She also noted that a sustained improvement in manufacturing and goods exports requires India to move towards high value products and a greater integration into global supply chains. With the world turning more protectionist, India's chance to capitalize on labour-absorbing manufacturing growth is shrinking. The disconnect between economic growth and workers is likely to persist unless corrective steps are taken.

India has made a push through the production-linked incentive (PLI) scheme, with emphasis on high-tech manufacturing like electronics, smartphones, and semiconductors, among others. The pace and scale, however, will have to match a rapidly growing working-age population.

HT **NEW DELHI**, MUMBAI, BENGALURU, KOLKATA, CHENNAI, AHMEDABAD, HYDERABAD, PUNE* VOL. 20 NO. 109 Rs. 15.00 . Price with Hindustan Times Rs. 20.50 16 PAGES

Thursday, May 7, 2026

mint

livemint.com



Commissioning the empire: The son also rises at Sun ▶P10



India to hurt if Iran war stretches: Kotak's Prasad ▶P4

SENSEX **77,958.5** ↑ **940.71** NIFTY **24,330.95** ↑ **298.15** DOLLAR **₹94.49** ↓ **₹0.69** EURO **₹111.41** ↑ **₹0.01** OIL **$101.65** ↓ **$8.16** POUND **₹128.91** ↑ **₹0.15**

Stocks climb on Iran deal hopes, but caution stays

Sensex, Nifty rise 1.2% each; crude oil falls to two-week low; rupee gains 69p

Dipti Sharma
dipti.sharma@livemint.com
MUMBAI

Reports of a possible agreement between the US and Iran to end the conflict in West Asia sent global equity markets surging on Wednesday, with Indian markets joining the risk-on move.

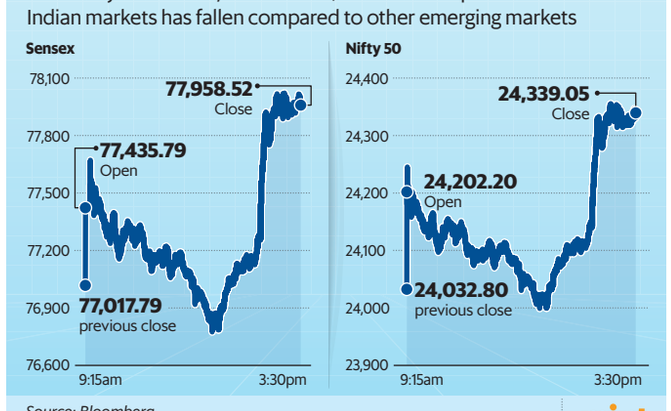
Washington and Tehran are working on a one-page memorandum of understanding that would set a framework for more detailed nuclear negotiations, *Axios* reported. Iran said it was reviewing a new US proposal, while US president Donald Trump earlier said the war could end if "Iran agrees to give what has been agreed to".

On Wednesday, the Nifty and the Sensex shot up an identical 1.2% from the previous day to end at 24,330.95 and 77,958.52, respectively. The broader market also gained, with both the Nifty Smallcap 250 and Nifty Midcap 100 surging 1.8%, comfortably outperforming large caps.

Asian markets closed on a strong note as well. South Korea's Kospi surged over 6%, Hong Kong's Hang Seng gained 1.2%, Taiwan Weighted rose about 1%, and Japan's Nikkei edged up 0.4%.

HOPE TRADE

With Nifty's forward P/E now at 19x, the valuation premium of the Indian markets has fallen compared to other emerging markets



Source: Bloomberg mint

CAUTION CASE

US and Iran working on MoU for nuclear negotiations | **NIFTY,** Sensex rose 1.2%; ended 24,330.95 and 77,958.52 | **BROADER** market gained; Smallcap 250, Midcap 100 up 1.8%

SATISH KUMAR/MINT

However, investors remain wary that the relief may be fragile, with valuations, earnings visibility and geopolitical uncertainty still in play.

"Markets are likely to stay sensitive to headlines—any chatter around a potential peace deal, whether progress or setbacks, could trigger swift reactions as investors recalibrate to the news flow," said Sorbh Gupta, head of equity at Bajaj Finserv Asset Management Ltd, and urged investors to stay anchored to long-term opportunities rather than getting swayed by short-term noise.

Gupta also pointed out that large-caps are currently trading below their long-term average valuations, while mid- and small-caps offer stronger growth comfort.

Among sectoral indices, the Nifty MidSmall IT & Telecom index led gains, rising over 3%, followed by the Nifty PSU Bank index, up 2.8%.

Brent crude falling over 7% to the lowest in two weeks, the rupee appreciated 69 paise to close at 94.49 against the US dollar. Sectors sensitive to fuel costs saw strong gains, with airline stocks such as InterGlobe Aviation emerging among the top performers on the Nifty 50.

Rahul Singh, chief investment officer (CIO)-equities at Tata Mutual Fund, believes Indian markets are currently reflecting a mix of improving valuations and lingering uncertainties.

"The risks in the market have not gone away, but valuations are more palatable," he said.

Nifty's forward P/E has now come down from 23x to 19x since 2024. Singh added that the valuation premium of Indian markets has come down relatively compared to other emerging markets, and so has the premium of mid- and small-caps compared to large-caps.

In an earlier interview on 27 April, Kenneth Andrade, chief

TURN TO PAGE 5

Law firms see focus on contract clause as war raises heat

Krishna Yadav & Yash Tiwari
NEW DELHI/MUMBAI



Lawyers say MAC clauses are currently in focus. ISTOCKPHOTO

After an initial wave of *force majeure* queries triggered by the West Asia conflict, law firms now see companies and lenders grappling with a more complex question: whether the economic fallout—from rising input costs to supply-chain disruptions—could trigger scrutiny under material adverse change (MAC) clauses in financing agreements, even when there is no default.

"MAC provisions in financing documents are live instruments right now, not theoretical ones," said Paridhi Adani, partner and head of the Ahmedabad office at Cyril Amarchand Mangaldas. "Lenders are reviewing their books. Companies that believe they have no immediate *force majeure* exposure may still find their banks asking questions."

Unlike *force majeure,* which allows a party to pause or avoid obligations due to events like war, lockdowns or natural disasters, a MAC clause allows a party to exit or renegotiate a deal if a counterparty's business or financial condition materially deteriorates.

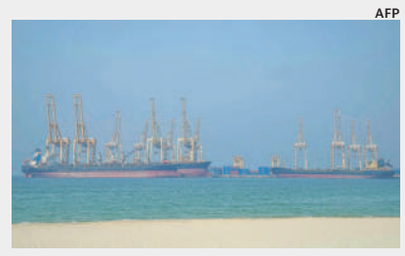
While actual invocation of MAC clauses remains rare and legally difficult, lenders are increasingly using them as a basis to scrutinize exposure and reassess risk.

Lawyers say MAC clauses are in focus in sectors such as energy, aviation, shipping, infrastructure, chemicals and export-oriented manufacturing, which are heavily exposed to fuel costs, logistics and cross-border trade disruptions.

Adani added that this scrutiny is playing out differently across "layers" of the economy, each with distinct legal risk profiles—from energy infrastructure such as LNG terminals, city gas networks and ports, to industrial manufacturing, particularly pharma and specialty chemicals, where rising gas and input costs are squeezing margins and via-

TURN TO PAGE 6

DON'T MISS



AFP

India taps port, shipping options to bypass Hormuz

India is tapping alternate trade routes to facilitate movement of cargoes, moving shipping lines at some of the West Asian ports not affected by the Strait of Hormuz blockade amid the ongoing US-Iran war, said a government official on Wednesday. >P2

Mphasis sues Coforge in US court over employee hiring

Mphasis Ltd has filed a lawsuit in a US court against rival Coforge Ltd, accusing the Noida-based IT services firm of hiring its employees in violation of contractual restrictions and gaining access to confidential client information. >P6

HDFC Bank set to get clean chit in governance lapses

Law firms reviewing governance at HDFC Bank are set to report this month that they haven't found any major lapses, two people with direct knowledge of the findings said, clearing the way for the reappointment of its chief executive officer. >P4

Mphasis sues Coforge in US over hiring, client exposure

Blackstone-owned Mphasis Ltd has filed a lawsuit in a US court against rival Coforge Ltd, accusing the Noida-based IT services firm of hiring its employees in violation of contractual restrictions and gaining access to confidential client information. >P6



Sebi must publish draft proposals with rationale, legal backing and objectives, and invite public comments for 21 days. REUTERS

Market pique over Sebi policy tweaks, reversals

Apoorva Ajith
apoorva.ajith@livemint.com
MUMBAI

A series of recent policy reversals by the Securities and Exchange Board of India (Sebi) has fuelled concerns of regulatory uncertainty and whether a rule change last year has led to regulations being framed without adequate consultation with stakeholders.

A *Mint* analysis of Sebi circulars and consultation papers found at least four instances between January and April this year where the market regulator reversed or deferred a policy decision after industry feedback. There was just one such instance in the nine months between April and December last year. (The analysis was limited to regulations changed within 14 months of being introduced.)

Of the five instances, two regulations were implemented without prior consultation and two with such interactions with stakeholders. *Mint* could not determine the consultation process of one of the reversed regulations.

Sebi's rule-making in this regard is governed by the Sebi (Procedure for making, amending and reviewing of Regulations) Regulations, 2025 which was notified in February 2025. Under this framework, the regulator must publish draft proposals along with their rationale, legal backing and objectives, and invite public comments for at least 21 days. It must also disclose reasons for rejecting feedback before placing the proposal before its board for approval.

However, a draft proposal can be avoided in situations where Sebi's board of members thinks that public consultation would "defeat the purpose of the proposed regulation" in the interest of investors or the development of the securities markets. It has to present the reasons before the board.

"There are very few instances of Sebi issuing a regulation without consultation. The provision to allow the regulator to make regulations without industry feedback does not need to be exercised. Consultation should never be done away with," said Subhash Chandra Garg, former finance secretary and an ex-Sebi board member.

Such policy reversals did not happen prior to fiscal 2026, a second former Sebi board

TURN TO PAGE 2

Ola Consumer board clears IPO plan amid losses, dwindling cash

Ayaan Kartik & Varun Sood
NEW DELHI/BENGALURU

Cab-hailing company Ola Consumer has begun preparations for an initial public offering (IPO) against the backdrop of rising losses, dwindling cash, and thinning market share.

In its annual report for fiscal year 2025 (FY25) filed after a six-month delay on 5 May, the Bhavish Aggarwal-founded company said its board has approved an IPO and the holding company has commenced steps toward the process.

The approval comes after credit ratings agencies flagged Ola's declining cash position. S&P Global Ratings and Moody's Investors Service have noted that Ola Consumer's cash position has become a key factor due to upcoming debt obligations. The IPO plan suggests that raising money from the public is among the few options



Bhavish Aggarwal, founder of Ola Consumer. PTI

available for the cash-strapped company.

Experts said raising cash is crucial because rivals are spending aggressively. Uber has pumped almost ₹3,000 crore into its India unit to bulk up its financial firepower and take on Bengaluru-based Rapido, which entered the current fiscal year with a stronger cash position and has rapidly gained market share, *Mint* reported on 26 February.

Rapido ended FY25 with ₹345 crore free cash in hand, while Uber had ₹292 crore. As per industry estimates and rating companies, Ola's market share in the cab business dwindled to 20-25% at the end of 2025, from 40-45% in 2023. Uber's share has remained at about 45%, while Rapido increased it to over 20%.

Amit Kaushik, founder of Mobidx Ai, an automotive intelligence and analytics firm, said Ola will have to invest heavily in incentives, driver payments and promotion to recover market share.

"There is intense competition in the market right now, and Ola has suffered owing to word of mouth. A recovery is not impossible, but will need a lot of cash," Kaushik said. "Raising cash from the public markets can provide a boost, but it will depend where the company will choose to spend

TURN TO PAGE 6

Bajaj Auto logs strong FY26, sees sales slowdown ahead

Ayaan Kartik
ayaan.kartik@livemint.com
NEW DELHI

Bajaj Auto Ltd warned that demand for two-wheelers in India is likely to soften as rising raw material costs, driven by the West Asia conflict, push up vehicle prices and erode gains from recent goods and services tax (GST) cuts, even as it reported strong earnings growth and unveiled its largest share buyback.

Bajaj Auto's executive director Rakesh Sharma said on Wednesday in a post-earnings media conference that more than a third of GST's gain has already been wiped off owing to price hikes from companies.

"GST rate cut really uncorked demand and now, with bike prices increasing, part of that reduction has got reversed and, therefore, it will obviously have an effect on the demand environment," Sharma said.



Price hikes are eating into GST gains, Bajaj Auto said MINT

The country's fourth-largest two-wheeler maker (by volume) reported 23% year-on-year (y-o-y) growth in consolidated revenue to ₹62,905 crore in fiscal year 2026 (FY26), on the back of an over 10% growth in overall volumes—including domestic and export sales of two-wheelers and commercial vehicles (CVs)—to more than five million units.

Within this, exports grew 21% to 2.25 million units, and domestic sales grew 3% to 2.86 million units.

While the two-wheeler industry grew 11% in India to 21.7 million units in FY26, according to data from Society of Indian Automobile Association (Siam), FY27 would likely see high single-digit volume growth, according to both Bajaj Auto and Hero MotoCorp, the country's top two-wheeler maker by volume that announced its results on Tuesday.

Consolidated net profit for Bajaj Auto grew 7% to ₹9,212 crore in FY26, and operating profit margins expanded from 19% to 21%.

The company also announced a ₹5,633-crore share buyback proposal, representing 1.68% of total equity shares.

In the fourth quarter, though, profits jumped a sharp 103% to ₹3,492 crore on

TURN TO PAGE 6

Airlines are cracking down on portable power banks

Amira Mckee
feedback@livemint.com

THE WALL STREET JOURNAL.

Airlines are taking on a new flight-safety risk: the portable charger.

The lithium-ion battery packs are increasingly popular among travelers looking to keep their phones and other electronics juiced up. But the power banks are also a leading cause of cabin fires , sparking more incidents than any other rechargeable device.

To reduce the growing fire hazard, airlines are adding new precautions on top of banning the batteries from checked luggage.

American Airlines last week prohibited passengers from recharging power banks using in-flight outlets, matching the policies of Delta Air Lines and Southwest Airlines. Southwest also recently limited travelers to one portable charger each.

Some international carriers have taken even stronger steps. Trade leaders, crew unions and aviation officials said they expect more airlines will follow suit.

"If we wanted to make it completely safe, there would be no batteries on airplanes," said Lynn McGuigan , who leads the cargo safety section at the United Nations' International Civil Aviation Organization. "But realistically, we know that can't happen. So we're dealing with reality."

The airplane fire threat is a side effect of the proliferation of cellphones, tablets and other electronic devices powered by rechargeable batteries. More travelers are toting portable chargers to keep their digital equipment powered throughout their journeys.



Power banks are a leading cause of cabin fires, prompting airlines to ban charging them during flights. ISTOCKPHOTO

Haley Andringa, who flies cross-country on American twice a month for her makeup artistry business, travels with up to three portable chargers. She works on her flights, and worries most about regional legs and tight connections without reliable in-flight power.

"It's become such a travel essential," she said.

All lithium batteries can uncontrollably heat and catch fire through a chemical chain reaction known as thermal runaway. Power banks are especially vulnerable, because unlike cellphones or laptops, they are often made without built-in protection against fires.

Adding to the risk: Many of the power banks are cheaply made or even counterfeit, and passengers handle them with less care than their more expensive electronics, said Jeff Marootian , chief executive of safety firm UL Standards & Engagement.

Power banks sparked more reported airplane fires and thermal runaway incidents than any other lithium-battery device in 2025, said the ICAO. Airlines reported lithium battery events involving fire, smoke, or extreme heat nearly twice a week on average last year, more than double the incidents in 2020, according to Federal Aviation Administration data.

When a battery pack does overheat, flight attendants

TURN TO PAGE 6

MINT SHORTS

Govt foodgrain stocks at 60.40 mt, nearly three times the buffer norm

New Delhi: The government's wheat and rice reserves held in Food Corporation of India godowns rose to 60.40 million tonnes as of 1 April, nearly three times the mandatory buffer requirement of 21.04 million tonnes, official data showed. Rice stocks stood at 38.61 million tonnes, above the buffer norm of 13.58 million tonnes, while wheat reserves were at 21.79 million tonnes. **PTI**

HSBC India services PMI shows rebound on domestic demand

MINT



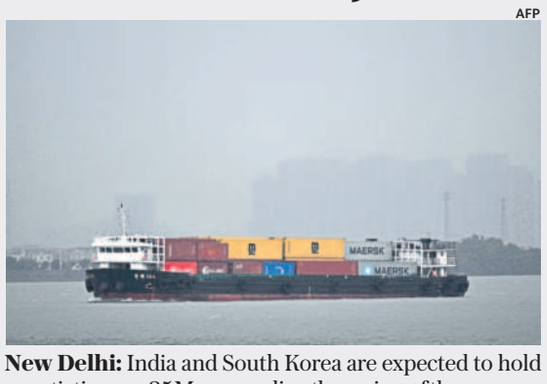
New Delhi: India's services sector recovered some of the ground lost of March in April, aided by domestic demand, the HSBC India Services Purchasing Managers' Index (PMI), compiled by S&P Global, showed on Wednesday. The index rose to 58.8 in April from 57.5 in March. The month saw rise in new business intakes and output amid a relative easing of price pressures, the survey showed . **SUBHASH NARAYAN**

New Zealand to require citizenship test for migrants from 2027

Migrants seeking New Zealand citizenship will need to pass a test covering topics such as government and human rights from 2027, the country's internal affairs minister, Brooke van Velden, said on Wednesday. The test will be conducted in person and feature 20 multi-choice questions in English, 15 of which must be answered correctly to pass. **REUTERS**

India, Korea likely to hold FTA review talks on 25 May

AFP



New Delhi: India and South Korea are expected to hold negotiations on 25 May regarding the review of the comprehensive economic partnership agreement, implemented in January 2010, an official said. The deliberations are important as India has suggested Korea to consider negotiating a fresh bilateral trade agreement to make it more contemporary and address concerns of the trade deficit. **PTI**

India sees no need to curb sugar exports as prices stable

New Delhi: India has no plans to curb sugar exports for now, despite lower output, as stable prices suggest weaker demand has offset some of the production shortfall, two government sources said on Wednesday. India, the world's biggest sugar exporter after Brazil, allowed mills to export 1.59 million tonnes, betting output would exceed domestic demand. But production is now expected to lag consumption for a second consecutive year as cane yields weaken in major growing regions. **REUTERS**

India-Suriname ties rooted in 'family' bond, says Jaishankar

Paramaribo: External affairs minister S Jaishankar has said India sees Suriname "not as a distant partner" but as "family", as the two countries mark 50 years of diplomatic relations. Writing in the Times of Suriname newspaper ahead of his visit to the country on Wednesday, Jaishankar said ties had expanded into a "robust, multifaceted engagement" covering infrastructure, trade, training and cultural links. He said both countries had strengthened cooperation through high-level exchanges. Jaishankar said several projects in Suriname were completed through Indian Lines of Credit. **PTI**

India taps port, shipping options to bypass Hormuz

Alternative shipping services have been operationalized in the backdrop of West Asia crisis

Manas Pimpalkhare & Rituraj Baruah
NEW DELHI

India is tapping alternate trade routes to facilitate movement of cargoes—exports as well as energy imports—moving shipping lines at some of the West Asian ports not affected by the Strait of Hormuz blockade amid the ongoing US-Iran war, said a government official on Wednesday.

Speaking to reporters, Opesh Kumar Sharma, director in the ministry of ports, shipping and waterways, said India and West Asian countries are taking these options to ensure least interruption in trade between the Gulf region and India, including fuel shipments, at a time when the Strait of Hormuz, a key channel for 20% of global oil and gas trade, remains largely closed.

Alternative shipping services have been operationalized in the backdrop of the West Asia crisis, he said, with shipping lines including CMA CGM (Compagnie Maritime d'Affrètement - Compagnie Générale Maritime), Unifeeder and AP Moller-Maersk connecting Indian ports such as Jawaharlal Nehru Port Authority, Mundra and Hazira to Sohar (Oman), Fujairah (UAE), and Khorfakkan (UAE) in West Asia.

"So, there are many places which have been activated. The cargo is moving," he said.

The industry and the government have noted issues related to trade routes, and the reduction in congestion at the ports indicated "normalization", Sharma said.

West Asia and North Africa (Wana) is a key region for India for energy imports and non-oil exports.

In FY25, India's merchandise exports to the major Wana markets exceeded $64 billion, while total bilateral trade crossed $216 billion, according to the commerce ministry.

The US-Iran war, which has led to a blockade of the Strait of Hormuz, has constrained flow of goods to ports in the Persian Gulf, prompting exporters to opt for alternate trade routes, often at higher costs.



The US-Iran war, which has led to a blockade of the Strait of Hormuz, has constrained flow of goods to ports in the Persian Gulf. AFP

$216 bn
India's total bilateral trade in FY25

20%
Global oil and gas that passed through Hormuz

India's exporters, particularly micro, small and medium enterprises (MSME), have been facing rising freight costs and cargo delays across the Gulf region. MSMEs comprise 48% of the country's exports.

Experts said fixed schedules of these shipping routes should be communicated to exporters and logistics supply chain managers, along with assistance in moving cargoes from these unaffected West Asian ports to their final destination. "A fixed schedule of shipping on these alternate trade routes would be very helpful for everyone. Additionally, in some cases, the cargo is reaching ports like Khorfakkan, but is unable to move ahead towards the destination," said Dushyant Mulani, former chairman of the Federation of Freight Forwarders' Associations in India (FFFAI). "There should be assistance from the government for such cases also," he added.

At the media briefing, Sujata Sharma, joint secretary in the ministry of petroleum and natural gas, said Reliance Industries Ltd-owned Jamnagar refinery will go on maintenance shutdown starting mid-May for about a month.

With an annual capacity of 68.2 million tonnes, it is India's largest integrated refinery campus. Of this about 33 million tonne capacity is meant for domestic supplies and another 35.2 million falls under the special economic zone category that caters to export demand.

The shutdown will start after Nayara Energies' Vadinar refinery resumes operations after its 35-day maintenance, Sharma said. The government is trying to ensure all refineries in the country do not go on annual maintenance shutdowns at the same time, in a bid to avert any constraints in domestic fuel output and supply, she said.

The joint secretary also said discussions were being held to build storage facilities for liquefied petroleum gas (LPG), and also that automobile fuel prices had not been hike till date even amid war-led disruptions.

manas.pimpalkhare@livemint.com

12 Indian companies to invest $1.1 bn in US

Gireesh Chandra Prasad
gireesh.p@livemint.com
NEW DELHI

Twelve Indian businesses announced $1.1 billion in investment in the US on Tuesday to help create jobs and build stronger supply chains, US ambassador to India and special envoy to South and Central Asia Sergio Gor said in a social media post.

Referring to investment commitments at a summit in Maryland, Gor said investments flowing back into the US under the current administration are at record levels, and Indian firms will pour in over $20.5 billion across sectors, such as technology, manufacturing and pharmaceuticals.

"This includes the 12 Indian companies that announced $1.1 billion in investments just today! These partnerships are creating real American jobs and building stronger supply chains. Proof that when the world's largest democracies do business together, everyone wins," Gor said on X.

Firms investing include Ahmadabad-based Abhyuday Group, Mumbai-based Sterlite Technologies and PR Jindal Group, *The Economic Times* reported, quoting *PTI*.

In another post, Gor said that US secretary of state Marco Rubio will visit India soon.

For an extended version of this story, go to livemint.com

Modi, Lam meet as India and Vietnam deepen AI, defence ties

Bloomberg
feedback@livemint.com

India and Vietnam agreed to strengthen economic and defence ties as both sides seek to deepen their partnership while tensions persist in the Middle East.

Prime Minister Narendra Modi held talks with Vietnam President To Lam in New Delhi on Wednesday, with agreements signed across sectors ranging from rare earths to payment systems. The two countries aim to boost bilateral trade to $25 billion by 2030, Modi said at a joint press briefing after the meeting. "Today, we made several key decisions to reach that goal," he said, standing alongside Lam.

The steps include improving market access for Indian pharmaceuticals and agricultural products in Vietnam, while easing entry for Vietnamese goods into India. "Very soon, Vietnam will enjoy India's grapes and pomegranates, while India will enjoy Vietnam's durian and pomelo," Modi said. Bilateral trade has doubled to about $16 billion over the past decade.



Prime Minister Narendra Modi meets Vietnam President To Lam in New Delhi. AP

The visit is Lam's second overseas trip since securing the presidency last month, and he is accompanied by key ministers and a business delegation. He met India's National security adviser Ajit Doval on Tuesday, and the two sides agreed to expand cooperation in areas such as security, artificial intelligence and energy, according to a statement on the Vietnamese government's website.

Lam on Wednesday said both nations agreed to "continue to further deepen political trust, step up high-level engagement and increase the effectiveness of existing cooperation mechanisms." The two sides will also elevate defence and security cooperation to "contribute to strengthening an environment of peace and stability," he added.

Both countries are seeking to deepen regional ties as relations with Washington remain unpredictable under the Trump administration and the Iran war continues to disrupt trade with West Asia. Lam's visit comes just weeks after South Korea's president travelled to India to strengthen cooperation.

Vietnam is seen as a key partner in India's "Act East" policy, underpinned by growing defence and economic ties, while the South Asian country is Vietnam's eighth largest trade partner.

Indian companies have invested in 473 projects in Vietnam with a total registered capital of $1.1 billion. Vietnamese investment in India has also accelerated, highlighted by VinFast's electric vehicle factory in Tamil Nadu state and Vingroup's plan to invest about $6.5 billion in Maharashtra.

Subsidy outgo for FY26 first 11 months at 91% of year's target

Dhirendra Kumar
dhirendra.kumar@livemint.com
NEW DELHI

The government's subsidy spending reached 91% of the revised estimate for FY26 in the first 11 months, highlighting sustained strain from welfare commitments that is unlikely to ease soon, as the West Asia war fuels cost pressures in the economy.

According to the department of expenditure data reviewed by *Mint*, total spending on major subsidies, including food and fertilizers was at ₹3.89 trillion during April-February, against the revised estimate of ₹4.29 trillion.

The department is still collating the final month's figure.

The spending for the same period FY25 was ₹3.63 trillion.

Despite higher subsidy spending, the fiscal deficit moderated to ₹12.52 trillion during April–February FY26, lower than the ₹13.46 trillion in the same period last year, the ministry data showed. The narrowing gap shows that stronger revenue inflows partly offset the expenditure pressures.



Urea subsidy has already breached its annual target, reaching ₹1.28 trillion. REUTERS

Queries sent to the spokesperson for the ministry of finance remained unanswered until press time.

Analysts said the war-induced stress could force the government to raise subsidies hereon.

"The current scenario indicates that the FY26 revised estimates for subsidies may require a further upward revision. Moreover, FY27 could require a relatively larger allocation for major subsidies in the government of India's budget, which may result in a higher fiscal deficit than what has been projected in the FY27 Budget," said D.K. Srivastava, chief policy adviser at EY India.

The composition of spending shows varied trends across segments. Food subsidy, the largest component, was at ₹1.92 trillion, or 85% of the revised estimate of ₹2.28 trillion, compared with ₹1.86 trillion in the corresponding period of FY25.

The urea subsidy breached its annual target, reaching ₹1.28 trillion, or 101% of the revised estimates, and higher than the ₹1.16 trillion recorded a year ago. Nutrient-based fertilizer subsidy was elevated at ₹59,941 crore, nearly exhausting the annual allocation and higher than ₹49,523 crore in the year-ago period.

In contrast, petroleum subsidy remained relatively contained at ₹8,823 crore, lower than ₹11,081 crore in the corresponding period FY25.

Economists said the latest subsidy numbers underscore the government's challenge of balancing welfare commitments with fiscal discipline.

For an extended version of this story, go to livemint.com

Market pique over regulator's policy tweaks, reversals

FROM PAGE 1

member said but this could not be independently confirmed by *Mint*.

Queries emailed to Sebi on 1 May seeking comment for this story were not responded to.

This February, Sebi discontinued solution-oriented mutual fund schemes such as children's and retirement funds.

The announcement came without formal consultation with the industry, mutual fund executives told *Mint*. Just seven months earlier, in a consultation paper on categorization of mutual fund schemes, it had recommended expanding the types of schemes under the category to offer different mixes of asset allocation.

Thousands of people were invested in retirement and children funds, said a senior asset management company (AMC) executive, asking to stay unidentified. "Investors, who have been putting their money into it for several years, cannot be asked to just take it all out and put it elsewhere."

On 20 March, Sebi took onboard the feedback and updated its master circular allowing AMCs to continue solution-oriented schemes, with restrictions on launching certain new products, effectively diluting the earlier order.

A similar pattern played out in rules governing intraday borrowing by mutual funds. On 13 March, Sebi said such borrowing, which is widely used by liquid and overnight schemes to manage timing mismatches, would be allowed only for redemption payouts. The move diverged from industry practice, where funds also use these facilities to buy securities.

There was no consultation paper before the change.

Following representations from the Association of Mutual Funds in India (Amfi) on operational challenges, Sebi deferred the implementation on 25 March. The regulator said the delay was to address concerns raised by AMCs.

"Such instances create compliance problems for intermediaries and may also have direct bearings on investment decisions of investors," said Sidharth Kumar, senior associate at BTG Advaya and a former Sebi officer. "If the regulator doesn't keep the same position for at least one financial year, it makes regulations unpredictable."

He added that earlier there were 30 days to respond to a consultation paper and press briefings and seminars were held. "I don't come across feedback collection mechanisms anymore," he said.

Nomination rules for demat accounts and mutual fund folios have followed a similar trajectory.

In January 2025, Sebi introduced new rules for nominees including expanding the maximum number of nominees to 10. It also recommended stricter processes for opting out of nomination, including OTP verification and submission of declarations through physical forms or video recording.

But by March 2026, the regulator was forced to revisit these provisions after the industry flagged high compliance costs, operational complexity, and legal risks.

For an extended version of this story, go to livemint.com

Policy play

There were at least four instances between January and April where Sebi reversed or deferred a policy decision after industry feedback.

Policy	Date of circular/ gazette	Date of reversal/ deferment
Sebi discontinued solution-oriented schemes	2/26/2026 (via circular)	**3/20/2026 (via master circular)**
Intra-day borrowing of mutual funds restricted to redemption payouts	3/13/2026 (via circular)	**3/25/2026 (deferred via circular)**
Roll out of NISM certification module for Persons Associated with Research Services (Pars)	2/14/2025 (via gazette notification)	**3/11/2026 (via circular)**
Revise and revamp nomination facilities in the Indian securities market	1/10/2025 (via circular)	**3/17/2026 (via consultation paper)**
Measures for enhancing trading convenience and strengthening risk monitoring in equity derivatives	5/29/2025 (via circular)	**9/1/2025 (via circular)**

Source: Sebi website

CORRECTIONS AND CLARIFICATIONS

Mint welcomes comments, suggestions or complaints about errors.

Readers can alert the newsroom to any errors in the paper by emailing us, with your full name and address to **feedback@livemint.com.**

It is our policy to promptly respond to all complaints. Readers dissatisfied with the response or concerned about *Mint's* journalistic integrity may write directly to the editor by sending an email to **asktheeditor@livemint.com**

Mint's journalistic Code of Conduct that governs our newsroom is available at **www.livemint.com**

FOR ANY QUERIES/DELIVERY ISSUES
CALL: 60004242, Monday-Saturday, 10am-6pm (Delhi, Mumbai, Bengaluru, Kolkata, Chennai, Hyderabad, Ahmedabad, Chandigarh, Pune and Lucknow) **MAIL: delivery@livemint.com TO SUBSCRIBE:** Give a missed call on **7039035039** or visit **www.mintreaders.com** or write to us at **subscription@livemint.com**

First published in February 2007 to serve as an unbiased and clear-minded chronicler of the Indian Dream.

RAVI KRISHNAN (EDITOR) - Responsible for selection of news under PRP Act, @ All rights reserved. Reproduction in whole or in part without written permission of Publisher is prohibited; PUBLISHED/PRINTED BY **MANHAR KAPOOR** ON BEHALF OF HT MEDIA LTD, 18-20 Kasturba Gandhi Marg, New Delhi 110001

Printed at HT Media Ltd presses at •Plot No. 8, Udyog Vihar, Greater Noida, Distt Gautam Budh Nagar, Uttar Pradesh 201306; •MNSPrinters Pvt. Ltd, 345/4, Bhatrahalli, Near KR Puram RTO, Old Madras Road, Bangalore 560049; •Saraswati Print Factory Pvt. Ltd, 789, Chowbhaga (W), Near China Mandir, Kolkata 700 105; •MNSPrinters Pvt. Ltd, 76/1, Poonamallee High Road, Velappanchavadi, Chennai 600077; • Bhaskar Print Planet, Survey No. 148P, Changodar Bavla Highway, Sanand (Tal), Distt Ahmedabad, Gujarat. •Jagati Publications Ltd, Plot No. D75 & E52, APIE Industrial Estate, Balanagar, Rangareddy Distt. Hyderabad 500037; *Also available in Pune.
RNI Registration DELENG/2007/22485; Mint welcomes readers' responses to all articles and editorials. Please include your full name, address and telephone number. Send in your views to the editor at letters@livemint.com. ©2026 HT Media Ltd All Rights Reserved

MINT SHORTS

Samsung hits $1 trillion valuation, joining TSMC in elite club

New York: Samsung Electronics Co.'s market valuation topped $1 trillion after shares in the world's largest memory maker more than quadrupled over the past year on booming demand for the chips used in artificial intelligence. The milestone came as the South Korean company's shares rallied 14% on Wednesday, making it only the second Asian firm after Taiwan Semiconductor Manufacturing Co. to hit the mark. Samsung's gain also boosted the Kospi benchmark by more than 6%, driving it above the 7,000 level for the first time. **BLOOMBERG**

Rivian weighs in-house lidar, eyes deeper self-driving push

BLOOMBERG



London: Rivian Automotive is considering making its own lidar sensors and may do so in partnership with a Chinese firm, CEO RJ Scaringe said. The EV-maker had launched a plan to develop its own proprietary self-driving technology that would compete with products from Tesla. Rivian said a version of its R2 vehicles coming later this year would include lidar sensors, which help self-driving vehicles gain a three-dimensional view of the road. **REUTERS**

Blue Owl's Stack set to consider $30 billion sale of Asia operations

New York: Stack Infrastructure Inc., a data centre firm owned by Blue Owl Capital, is considering options including a sale of its Asia operations, according to people in the know. Denver-based Stack has been speaking with prospective advisers about a partial or full sale of the assets in Australia, Japan and Malaysia, the people said. A deal might be valued at over $30 billion. **BLOOMBERG**

Bayer to buy glaucoma drugmaker Perfuse Therapeutics for $2.45 bn

Frankfurt: German agrichemical and pharmaceutical giant Bayer said Wednesday it would buy experimental glaucoma drug maker Perfuse Therapeutics in a deal worth up to $2.45 billion (2.09 billion euros). Based in San Francisco, Perfuse Therapeutics makes PER-001, a drug designed to treat glaucoma and diabetes-related eye damage still going through clinical trials. **AFP**

Veritas eyes secondary deal

The NBFC is exploring a ₹800-1,000 crore private transaction to enable investor exits amid IPO uncertainty

Priyamvada C
priyamvada.c@livemint.com
BENGALURU

Chennai-based Veritas Finance, a non-banking financial company, is exploring a private transaction worth ₹800-1,000 crore to facilitate exits for early investors after facing repeated delays in its public listing, three people aware of the matter said.

"The transaction is expected to give exits to some of its early backers like Lok Capital and British International Investment (BII), who were invested in the company for a long time," one of the people said.

Veritas' move to explore a private market deal comes as it seeks to improve financial performance and reattempt a listing when public market valuations become more stable and conducive.

"The proposed round is likely to be secondary in nature and could become larger if other investors including Kedaara Capital and Norwest Venture Partners also look to sell some stake opportunistically," the second person said.

The person added that the company has also held discussions with investment banks including Avendus for a private transaction, although a formal banker appointment is due in the coming weeks.

Veritas competes with the likes of Shriram Finance, Aye Finance, Vistaar Finance, Five Star Business Finance, Indostar Capital, Bajaj Finserv, Equitas Small Finance Bank and Lendingkart, among others.

Veritas, Avendus, Norwest, and BII declined to comment while Kedaara and Lok Capital did not respond to *Mint*'s emails sent on Tuesday.

"While the exact deal terms are yet to be decided, the company doesn't need much primary capital at this stage so the round will largely be a secondary transaction," a third person said, seeking anonymity, while confirming the above details.



The lender, catering to segments such as small businesses, reported strong growth, with FY25 income at ₹1,566 crore and profit at ₹295 crore. MINT

In a secondary transaction, shareholders sell their stakes to other existing or new investors, and no fresh capital is infused into the company through this route.

Last year, Veritas filed its preliminary draft papers with Sebi to raise about ₹2,800 crore through an initial public offering on the bourses. It received regulatory approval about four months later in April.

However, tariff wars and geopolitical tensions have since weighed on markets, affecting financial sector valuations and delaying the company's listing ambitions in recent months.

The NBFC also falls under companies eligible for Sebi's recent one-time extension of IPO observation letters expiring between 1 April 2026 and 30 September 2026, now valid until 30 September 2026 under the rule.

The six-month relaxation aims to help companies facing listing delays due to geopolitical tensions and market volatility.

Veritas' proposed public listing will comprise a fresh issue of equity shares of up to ₹600 crore and an offer for sale (OFS) of up to ₹2,200 crore. Selling shareholders include Norwest, Kedaara, BII, Lok Capital and Growth Catalyst Partners.

The company also counts Multiples Private Equity and Evolvence India among its investors.

The non-banking financial company had said proceeds from the fresh issue would be used to augment its capital base, support future business requirements and expand lending.

Founded in 2015 by D. Arulmany, Veritas lends to borrowers in the micro, small and medium enterprise (MSME) sector, focusing on inclusive finance for self-employed borrowers. As of 30 September 2025, it operated 510 branches across 11 states — Tamil Nadu, West Bengal, Karnataka, Odisha, Andhra Pradesh, Telangana, Bihar, Jharkhand, Chhattisgarh and Madhya Pradesh — and the Union Territory of Puducherry.

In FY25, total income rose to ₹1,566 crore from ₹1,124 crore a year earlier, while profit increased to ₹295 crore from ₹245 crore in FY24, according to ICRA. In the first half of FY26, the company reported income of ₹871 crore and profit of ₹129 crore.

LISTING SETBACK

EARLY backers such as Lok Capital and British International Investment may partially or fully exit

DEAL comes after repeated delays for its planned ₹2,800 cr public listing due to market volatility

B Capital to step up India investments in AI and deeptech

Rwit Ghosh
rwit.ghosh@livemint.com
BENGALURU

Facebook founder Eduardo Saverin's venture capital firm B Capital is looking to increase its exposure in India by investing in deeptech, artificial intelligence and energy transition sectors, said a top executive.

"We want to try to deploy $50 million to $100 million in India on an annual basis," Karan Mohla, general partner at Singapore-based B Capital, said in an interview with *Mint*. "We see India as our primary market after the US."

The 10-year-old firm invested in global enterprise tech in its initial five years and in consumer tech over the next two to three years. B Capital is now broadening its horizons to become more sector-agnostic in a bid to generate outsized returns.

B Capital's decision to increase investments in India comes as green shoots of maturity come up in sectors including AI and deeptech. On the AI side, venture capital has become selective – while deal completion is lower, cheque sizes are larger for companies proving they have future-proof technology.

Investors have exited subsectors of deeptech like precision manufacturing through public offerings of aerospace components maker Aequs and high-precision control electronics manufacturer Sedemac Mechatronics. Defence optics company Tonbo Imaging received regulatory approval in December 2025 to go public.

B Capital will invest across its four global funds, all of which are currently fundraising. Mohla declined to reveal the final size of the funds, citing regulatory mandates of the US Securities and Exchange Commission.



B Cap is backed by Facebook co-founder Eduardo Saverin.

The firm's standard cheque ranges from $5 million to $20 million from Series A through Series C for Indian companies, though it is prepared to write $50 million cheques for the right opportunity. Mohla noted there is a clear opening in the market at Series B and C, where dedicated capital has thinned out since 2022.

Mohla said the decision to invest in AI companies in India is only natural, given the size of the market despite being what he described as a "one half-step" behind the US.

"Companies building AI-enabled services or platforms which take care of deployment and agentic services from India continue to be competitive," said Mohla.

B Capital isn't the first to build a thesis around India's ability to use AI to compete on services. Last year, Bessemer Venture Partners announced a roadmap for investments in AI-enabled services while global venture firm Lightspeed has made a few investments in this space.

B Capital has been invested in AI lead generation platform Gushwork since it raised a $2 million seed round in 2023 and again when it raised $9 million earlier this year.

"There's a lot of space for startups to build deep vertical plays across back-office roles like HR, finance, CFO's office and finops," said Mohla. "Whatever the Big Four firms do, you could probably end up putting that through AI, and they just become implementation partners. It's an open question for sure."

Within deeptech, B Capital focuses on robotics and physical AI, advanced manufacturing and space tech. India's industrial robotics market has not grown much. There were only 7,600 units being used in 2025, said IMARC Group. That number is projected to grow to 28,600 units by 2034. "Everyone is realizing that you've to build sovereign capabilities, and it's the same for robotics. I think that's where the opportunity is right now," said Mohla.

There was a flurry of investments in robotics and physical AI startups in the first quarter of 2026. Companies raised $42 million in funding.

For an extended version of this story, go to livemint.com.

The VC firm plans to invest $50-100 mn in India every year, positioning it as a key market after the US

AI drives growth at Meesho, but costs weigh on margins

Sowmya Ramasubramanian
sowmya.r@livemint.com
BENGALURU

Meesho will accelerate investments in AI-powered features in the coming quarters, after tech tools like voice search Vaani and recommendation engine Prism helped boost both transacting user base and purchase frequency in the January-March period.

Meesho's annual transacting user base rose 32% year-on-year to 264 million in the March quarter of FY26, while net merchandise value grew 43% to ₹11,371 crore, as the small-town-focussed e-commerce company added new users and existing customers made repeat purchases.

Investments into artificial intelligence (AI)-led cataloguing and voice agents helped expand its seller base in FY26, by 87% to 9.6 lakh, Dhiresh Bansal, chief financial officer, Meesho, said at its earnings call. "Vaani, our AI shopping agent launched in Q4, extends Meesho into agentic, voice-led conversational commerce for vernacular cohorts and first-time e-commerce users. It crossed 1.5 million users in the first month and delivered a 22% conversion lift for users who adopted," he said.

In its shareholder letter, the SoftBank-backed firm said over 70% of its code is AI-generated, allowing it to release products faster and with greater reliability than at any point in time.

The Bengaluru-based firm said it is investing in autonomous software development systems where AI agents handle coding, testing, reviews and deployment, while engineers focus on architecture and complex problem-solving.

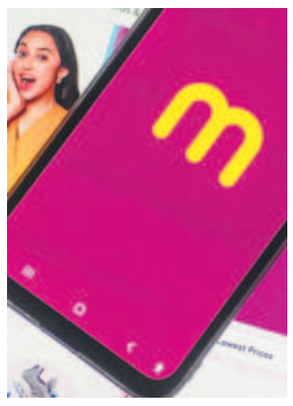
Its fourth-quarter loss narrowed 88% to ₹166 crore, from ₹1,391 crore a year ago, while operating revenue grew to ₹3,531 crore in the quarter. But, this reduction in losses was due to the massive one-off charge Meesho reported the same quarter a year earlier.

However, the company's aggressive spending weighed on margins and cash flow. Adjusted earnings before interest, taxes, depreciation, and amortization (Ebitda) for the marketplace business widened to a loss of ₹1,178 crore in FY26 from ₹117 crore in FY25, with adjusted Ebitda margin deteriorating to negative 2.8% of NMV from negative 0.4% a year earlier.

Meesho said FY26 was "an investment year," citing higher customer acquisition costs, technology infrastructure spending and temporary logistics disruptions caused by consolidation in the third-party logistics industry during 2025-26.

Delhivery acquired Ecom Express in April 2025, which prompted e-commerce players like Meesho to divert logistics operations elsewhere in subsequent quarters. Meesho, in response, focused on its in-house logistics platform Valmo for last-mile deliveries.

For an extended version of this story, go to livemint.com.



AI tools Vaani and Prism boost purchase frequency. BLOOMBERG

Meesho's annual transacting users grew 32% to 264 million, while NMV rose 43% to ₹11,371 crore in Q4 of last fiscal year

Pronto raises $45mn at $200mn valuation

Rwit Ghosh
rwit.ghosh@livemint.com
BENGALURU

Home services startup Pronto has closed its Series B round, raising $45 million at a $200 million valuation, founder Anjali Sardana said on Thursday.

The company's valuation doubled in less than a month after Lachy Groom, the founder of robotics startup Physical Intelligence, added a $20 million cheque to the round. "Scaling supply is really what we're focusing on this year," Pronto founder and chief executive Sardana told Mint in an interview. "It's about making sure we continue to expand and go deeper into our existing markets."

Its first Series B cheque of $25 million was led by Epiq Capital with participation from Glade Brook Capital, General Catalyst, and Bain Capital Ventures. The fundraising comes barely a week after its closest rival, Snabbit, raised $56 million in a Series D round, valuing it at nearly $400 as the race to corner India's largely unorganized home services sector heats up.

India's home services market was estimated at $60 billion in FY25 and is projected to grow to nearly $100 billion by 2030, said Redseer Strategy Consultants. With online penetration at 0.8%—likely to rise to 1.3% by FY30—the opportunity lies in digitising a largely offline sector, where the two startups compete with listed player Urban Company.

Pronto currently operates in 190 micromarkets across 10 cities and averages around 26,000 bookings per day.

Supply has been a key challenge for home services players amid elections in West Bengal, Assam, Tamil Nadu and Kerala, adding to seasonal disruptions such as the summer months, when many migrant workers return to their villages. Companies must also account for periodic demand-supply shifts around major festivals, including Diwali, Durga Puja, Chhath Puja and harvest seasons.

"We run with 65% utilization of partner network, but are supply-constrained. Adding partners will help us serve more customers," she said.

For an extended version of this story, go to livemint.com.



The company's valuation doubled within a month.

Home First Finance Company India Limited

homefirst
We'll take you home

Statement of Audited Financial Results for the quarter and year ended March 31, 2026

Based on the recommendation of the Audit Committee, the Board of Directors of the Company, at its meeting held on Wednesday, May 6, 2026 has approved the Audited Financial Results of the Company for the quarter and year ended March 31, 2026 ("**Financial Results**").

Q4FY26 in brief

AUM	Disbursement	Gross NPA	PAT
₹15,878 Crs	₹1,572 Crs	1.8%	₹149 Crs
+24.9% +6.4%	+23.5% +19.3%	+10bps -20bps	+42.7% +6.6%
			YoY QoQ

The Financial Results along with the Audit Report (with unmodified opinion on the financial results) submitted by M/s. B S R & Co. LLP, Chartered Accountants (Firm Registration number:101248W/W-100022) have been hosted on website of the Company at (https://homefirstindia.com/investor-relations#financial-results), BSE Limited (www.bseindia.com) and National Stock Exchange of India Limited (www.nseindia.com)

Note: The above intimation is in accordance with Regulation 33 read with Regulation 47(1) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Scan to access the detailed Financial Results

Place: Mumbai
Date: 6 May, 2026

Sd/-
Manoj Viswanathan
Managing Director & CEO

Registered office: 511, Acme Plaza, Andheri-Kurla Road, Andheri (East), Mumbai 400059
CIN: L65990MH2010PLC240703; **Tel:** 91 022 67425118; **Email id:** corporate@homefirstindia.com
website: https://homefirstindia.com/

Have fun with facts on Sundays

Catch the latest column of

HT TWTW
THE WEEK THAT WAS

A quiz on the week's development.

hindustantimes htTweets www.hindustantimes.com

HT FIRST VOICE. LAST WORD.

BSE Sensex		Nifty 50		Nifty 500		Nifty Next 50		Nifty 100		BSE 150 MidCap		BSE 250 SmallCap	
CLOSE	PERCENT CHANGE	CLOSE	PERCENT CHANGE	CLOSE	PERCENT CHANGE	CLOSE	PERCENT CHANGE	CLOSE	PERCENT CHANGE	CLOSE	PERCENT CHANGE	CLOSE	PERCENT CHANGE
77,958.52	1.22	24,330.95	1.24	23,133.40	1.43	71,691.45	1.51	25,312.60	1.29	16,483.62	1.67	6,866.06	1.77
PREVIOUS CLOSE	OPEN	PREVIOUS CLOSE	OPEN	PREVIOUS CLOSE	OPEN	PREVIOUS CLOSE	OPEN	PREVIOUS CLOSE	OPEN	PREVIOUS CLOSE	OPEN	PREVIOUS CLOSE	OPEN
77,017.79	77,424.36	24,032.80	24,171.00	22,808.25	22,978.95	70,627.30	71,260.20	24,990.30	25,148.80	16,212.34	16,389.52	6,746.35	6,805.18
HIGH	LOW	HIGH	LOW	HIGH	LOW	HIGH	LOW	HIGH	LOW	HIGH	LOW	HIGH	LOW
78,022.78	76,773.25	24,356.50	23,997.90	23,150.90	22,849.95	71,764.15	70,808.00	25,332.25	24,973.20	16,496.80	16,333.69	6,871.50	6,785.75

West Asia war clips L&T's wings

Harsha Jethmalani
harsha.j@livemint.com

Industry bellwether Larsen and Toubro (L&T) didn't go unscathed from geopolitical tensions despite strong order inflows and a robust backlog. The management estimates the company lost almost ₹5,000 crore of revenue in the March quarter (Q4FY26). This, along with higher input costs, meant the expected improvement in operating margins did not materialize.

L&T's core project and manufacturing (P&M) Ebitda margin of 8.3% in FY26 missed the target of 8.5%. P&M FY26 revenue growth of 12% missed the 15% guidance, hurt by delays in domestic water projects and slower international progress amid the West Asia war.

Order inflow was L&T's strong suit, growing 22% in FY26 versus the 10% target, aided by ultra-mega contracts across sectors and geographies. The order book stood at an all-time high of ₹7.4 trillion in March, up 28%, aiding revenue visibility.

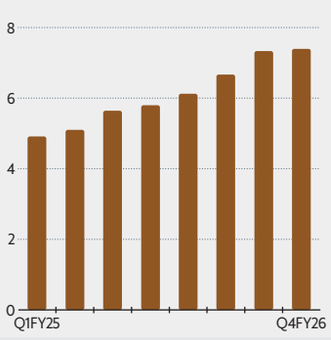
About 92% of the total order book was from the infrastructure and energy segments. The share of international orders was at a peak at 52%.

However, geopolitical tensions could mar L&T's execution capability and hinder the order intake trajectory. L&T is cautious about the FY27 outlook, at least the first half. West Asia forms about 78% of its international order book of ₹3.28 trillion.

A forte

L&T's order book has been robust lately, boosted by inflows from domestic and export markets.

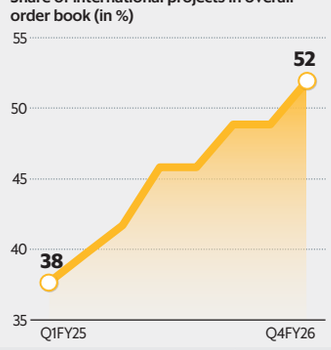
Order book (in ₹ trillion)



At a peak

Amid geopolitical tensions, elevated exposure to international markets could hamper execution.

Share of international projects in overall order book (in %)



Source: Company, Motilal Oswal Financial Services

mint

MANU CHOUDHARY/MINT

The management said all projects in the region stay operational with no cancellations and with payments on track. However, execution is expected to remain soft in H1FY27 due to supply chain constraints and delays in domestic projects, with recovery likely in H2FY27.

Given the West Asia overhang, the guidance for FY27 has been toned down. Revenue growth and order inflows are likely to improve 10-12% in FY27 with a P&M margin of 7.8%.

The order prospects pipeline for FY27 is 6% lower at ₹17.8 trillion. Of the total order prospects pipeline, ₹9.1 trillion is from the local market and ₹8.7 trillion is from overseas. The latter is down 27%, which is understandable. Consequently, brokerages have trimmed earnings estimates. Analysts at Emkay Global Financial Services cut L&T's earnings per share estimates by 9% in FY27 and 8% in FY28. L&T's shares closed Wednesday's session down 1%.

TEMPERED HOPES

WEST Asia forms about 78% of the company's international order book of ₹3.28 trillion

L&T is cautious about H1FY27 outlook as geopolitical tensions may mar order intake, execution capability

Having surpassed its Lakshya 2026 revenue and order inflow CAGR targets, L&T unveiled the Lakshya 2031 strategic roadmap, eyeing 10-12% CAGR in order inflows, revenue growth of 12-15% over FY26-31 and return on equity (RoE) of 16-17%. These targets are lower than the 14% order inflow growth, 15% revenue growth and 18% RoE for FY21-FY26.

Of the ₹43,000 crore investment for the Lakshya 2031 plan, about ₹33,000 crore has been allocated to new growth engines, green hydrogen, data centres, industrial electronics and semiconductors. But the plan may be dilutive for return ratios in the near term.

While the Lakshya 2031 guidance implies steady growth, the RoE guidance versus 16.6% achieved in FY26 is underwhelming, said PL Capital.

Meanwhile, the divestment of non-core assets Nabha Power and Hyderabad Metro is expected to conclude by Q1FY27. This would improve L&T's focus on core businesses and result in better capital allocation in the mid term.

The L&T stock is down 3% so far in 2026 versus a 7% drop in the Nifty 50. The decline is contained by order inflow trends. But stabilization of the situation in West Asia is a near-term upside stock trigger.

HDFC Bank set to get clean chit in governance lapses

Reuters
feedback@livemint.com



Law firms will report no major lapses at HDFC Bank. MINT

Law firms reviewing governance at HDFC Bank are set to report this month that they haven't found any major lapses, two people with direct knowledge of the findings said, clearing the way for the reappointment of its chief executive officer (CEO).

India's largest private lender by assets called in Mumbai-based Trilegal and Wadia Ghandy & Co. after Atanu Chakraborty quit as chairman in March citing "incongruence" between his personal values and bank practices. He did not elaborate.

HDFC Bank shares extended gains on the day to as much as 3.1% at ₹796.95 after the *Reuters* report, before easing a little to trade 2.9% higher at 09:30 GMT. Shares were trading about 1.8% higher ahead of the report.

The resignation was followed by a 13.81% drop in the bank's share price, or $16 billion in the stock's value, and prompted a rare statement from the central bank seeking to allay investor and depositor concern about a lender deemed too big to fail.

It also threw into doubt the bank's application at the central bank due May-end to reappoint CEO Sashidhar Jagdishan.

The affair exposed leadership strain at HDFC, majority-owned by foreign institutional investors and which has faced ire over stock that is down 5% since a $40 billion merger with parent HDFC Ltd in 2023.

Closest rival ICICI Bank has risen 33% in that time and the benchmark Nifty 50 is up 24%.

With 120 million customers and just over a tenth of banking deposits, a clean bill of health from the law firms would bring certainty to a bank whose stability is critical to the economy.

A clean bill of health from the law firms would bring certainty to a bank whose stability is critical to the economy

The law firms examined minutes and video recordings of board and extraordinary general meetings over the last three years to ascertain whether Chakraborty raised governance issues and, if so, how those issues were addressed, the people said, declining to be identified.

All issues raised at board level were handled as per prescribed processes, one of the people said, without elaborating on those issues.

The law firms are likely to hand their report this month to the board, which will then submit it to RBI, the person said.

The review findings have not been previously reported.

Chakraborty declined to comment on *Reuters*' texted queries. HDFC Bank, the Reserve Bank of India, Trilegal and Wadia Ghandy & Co. did not respond to emailed queries.

The resignation and review delayed a board decision on whether to recommend Jagdishan for reappointment as CEO after his three-year term ends in October.

Mahindra's next challenge: maintaining its growth lead

Ananya Roy
feedback@livemint.com

Mahindra and Mahindra's (M&M) March quarter (Q4FY26) shows why it's one of the most consistent growth stories in India's auto sector. It beat Street expectations on revenue and profit. Better-than-expected realizations in SUVs—its primary segment—and a sharp rise in other income were the key drivers. The stock has gained 6% since the earnings announcement on Tuesday.

Standalone revenue rose 26% year-on-year to ₹39,550 crore, aided by continued industry-beating growth in SUVs with the segment contributing nearly 80% of revenues. Successful launches, such as the XEV 9e and BE 6, added to the sustained demand for Scorpio, Thar Roxx, Bolero, and XUV 3XO, leading to over 660,000 SUVs sold during FY26.

M&M is India's second-largest passenger vehicle maker by volume and the market leader by value, with a 25.3% share of the industry's revenue.

M&M's auto Ebit margin excluding EVs stood at a healthy 10.9%, supported by price hikes undertaken amid commodity inflation. But the bigger surprise came from other income, which rose more than tenfold to ₹590 crore due to ₹500 crore of PLI accruals linked to EV models. Thus, net profit jumped 53% to ₹3,740 crore.

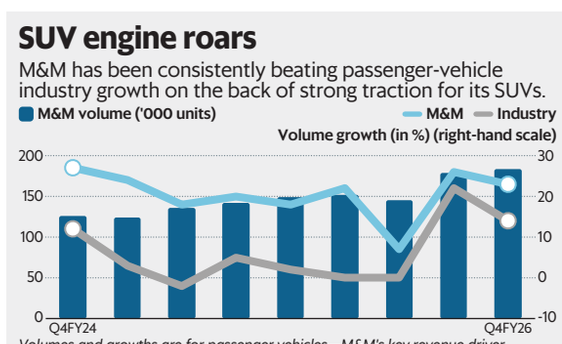
The EV business, historically a margin drag, is showing early signs of operating leverage. "We rank number one in revenue market share in electric SUV and have a penetration of 9.6% in M&M portfolio, much higher than the industry average," said Rajesh Jejurikar, ED and CEO (auto and farm sector). The EV business Ebit margin of 5.1% is a notable improvement for a segment still in investment mode. The management expects EV penetration to rise to 13-21% over the next five years.

For farm equipment, the signals are mixed. Domestic market share improved to 44%, but a slowdown to mid-single-digit growth is expected on the high base of FY26 amid the prediction of weak monsoons.

While international farm operations continue to face headwinds across the US, Brazil and Turkey, M&M has accelerated rationalization efforts through exits in Finland, Japan and Turkey, clearing the path for better profitability over the medium term. Capacity expansion plans, a deep SUV pipeline, and better EV economics support management's confidence in delivering a 15-20% EPS CAGR over the next five years. But at 22x FY27 consensus earnings, the stock is no longer cheap.

SUV engine roars

M&M has been consistently beating passenger-vehicle industry growth on the back of strong traction for its SUVs.



Volumes and growths are for passenger vehicles—M&M's key revenue driver

Source: Siam, Nomura Research

mint

MANU CHOUDHARY/MINT

Mark to Market writers do not hold positions in the companies discussed here unless otherwise informed

NSE sees enough OFS support even at ₹5 tn-plus valuation

Agnidev Bhattacharya
agnidev.bhattacharya@livemint.com
MUMBAI

National Stock Exchange of India Ltd (NSE) on Wednesday said its proposed initial public offering (IPO) has enough shareholders participating in the offer for sale (OFS) even if the company is valued at over ₹5 trillion.

During a post-earnings conference call, the company's management was responding to a question from an analyst on whether it had enough OFS participation to meet regulatory requirements at over ₹5 trillion valuation.

To be sure, companies with a market capitalization exceeding ₹5 trillion are required to make a minimum public offer of ₹15,000 crore and to issue at least 1% of the post-issue market cap, subject to a minimum dilution of 2.5%.

If the valuation is between ₹1 trillion and ₹5 trillion, the minimum public offer requirement is at least ₹6,250 crore, or 2.75% of post-issue market cap.

Based on the current unlisted share price of NSE, which can be bought between ₹2,030 and ₹2,045 apiece, the company is valued at around ₹5.06 trillion.

NSE is currently drafting offer documents for its mega IPO, which could be worth over ₹20,000 crore.

As part of the draft red herring prospectus process, the exchange likely received expressions of interest for OFS participation of around 4-5% of its equity by late April, *Mint* has learnt. This included commitments from major holders like the Life Insurance Corp. of India, Stock Holding Corp. of India, and Singapore-based investment company Temasek Holdings.



NSE's mega IPO could be worth over ₹20,000 crore. REUTERS

Addressing a question by an individual investor in the post earnings conference call on Wednesday, the stock exchange also said it has no plans to issue bonus shares to investors ahead of the planned IPO.

Based on the current unlisted stock price of NSE, the company is valued at around ₹5.06 trillion

The IPO is part of a wave of major public offerings expected in 2026, with high-profile listings anticipated from Reliance's Jio Platforms, SBI Funds Management, and Flipkart. This follows a record-breaking 2025 for the primary market, in which 371 companies raised over ₹1.75 trillion, bolstered by the massive debuts of HDB Financial Services, LG Electronics India, and ICICI Prudential Asset Management.

On Tuesday, the exchange reported a 3% year-on-year decline in revenue and a 15% drop in profit for FY26. Revenue fell 3% to ₹16,601 crore from ₹17,141 crore a year ago, while profit declined 15% to ₹10,302 crore.

Revenue fell mainly on the back of a decline in the share of income from transaction charges and clearing and settlement income. Income from transaction charges fell 4% year-on-year to ₹13,057 crore from ₹13,636 crore the previous year, while clearing and settlement income fell 22% to ₹251 crore from ₹321 crore.

This comes against the backdrop of a volatile market and a cooling of derivatives trading.

According to NSE's Market Pulse report from April 2026, "Market activity moderated in FY26, with equity cash ADT declining 7% year-on-year to ₹1.05 trillion and derivatives witnessing a similar slowdown—equity futures and options ADT falling 14% and 8% year-on-year, respectively."

ADT, or average daily turnover, is a liquidity metric that measures the total value of derivatives contracts traded on a platform, averaged over a particular period.

Rising costs hit United Breweries' margins

Varuni Khosla
varuni.k@livemint.com
NEW DELHI

Demand for beer in India is holding up, but for United Breweries Ltd, rising costs and delayed pricing are squeezing margins.

The Heineken NV-controlled maker of Kingfisher beer reported a weaker-than-expected performance for 2025-26, with revenue and profit declining even as volumes showed some resilience. A fresh wave of input cost inflation, particularly in packaging, alongside the West Asia war-led supply disruptions, is driving the pressure in the beer market.

Revenue from operations fell 10% to ₹1,746.3 crore in FY26 from ₹1,940.8 crore a year ago, while profit declined 6.6% to ₹413.4 crore.

For the March quarter (Q4FY26), revenue was flat at ₹440 crore versus ₹442.7 crore a year ago, while profit rose to ₹101.8 crore from ₹97.7 crore. Volumes grew 4%, but not enough to offset margin pressure. For FY26, volumes grew 3%, with premium volume growth at 21%.

It expects cost pressures of ₹400-500 crore to persist till Q2FY27, with inflation in glass bottles and aluminium cans, along with broader logistics and sourcing pressures, likely to keep margins under strain.

For an extended version of this story, go to livemint.com.

'India to hurt if Iran war stretches in May'

Ram Sahgal
ram.sahgal@livemint.com
MUMBAI



For India, the fallout from the West Asia conflict, while negative for the macro-economy, would remain manageable if a final peace deal is reached by mid-May.

Any extension beyond that could push up oil price expectations and have a more severe impact, not just on the macro, but also on earnings for the current fiscal, which are otherwise expected to hold up better than the economy in the context of the war, according to Sanjeev Prasad, managing director and co-head, Kotak Institutional Equities.

Edited excerpts:

Are you optimistic of a deal in West Asia given how a prolonged war can affect India?

The hope was that the West Asia war would end by early April, then mid-April and then we were hoping for mid-May. It keeps on dragging. It has negative implications for India's macro and also micro to some extent. In early March, we were working with a crude oil price assumption of $85 per barrel for full year. Now, two months are over, and there are no signs of any peace framework.

(O)il supply is lower than expectations, which could be in the range of around 10 million barrels per day, or nearly 10% of 104 million barrels per day consumed.

So far, the world has managed by reducing inventory. What happens once inventories plummet?

Your hope is for a resolution by mid-May. What if that doesn't happen?

(With) maybe $85 per barrel crude price on average for FY27, which implies a current account deficit (CAD) of 2% of GDP, that is, twice as much of the pre-war level.

BoP (balance of payments) could be a negative $50 billion, which is still manageable because India has $700 billion of foreign reserves.

High oil prices have implications for fiscal deficit and inflation, depending on how the government wants to look at retail fuel prices. Manufacturing costs will increase because industrial fuels—gas and coal—prices have gone up.

In this scenario, the Reserve Bank of India (RBI) will hold interest rates at best. At crude price of $85/bbl, India can still manage, as inflation could be closer to 5%. But if one was to look at an adverse scenario of average crude price being, say, $100 dollars per barrel for FY27, one is looking at 2.5% plus kind of a CAD and BoP could be a negative $80-90 billion, depending on what capital flows one assumes. Central fiscal deficit could rise to around 4.5-5%. Inflation could go to more like 5.25 to 5.5% in this scenario.

You're relatively bullish on earnings though...

And the reason for that is about 50% of profits of Nifty 50 index come from either sectors which have low linkage to domestic economy or are insulated from its vagaries.

[Of this] roughly, 25% comes from global commodity sectors like metals & mining and oil, gas & consumable fuels, another 13% comes from global services sector, which is IT services, and another 2% from pharmaceuticals, which is also largely global in nature. So, 40% of net profits of Nifty 50 actually come from sectors which are global in nature. So, they should be fine assuming there is no major global demand destruction.

Another 10% comes from sectors which are somewhat insulated from changes in the domestic economy. Because they are more utility type sectors.

Of the rest, another one-third comes from banks and NBFCs. (I)f the war were to continue for longer, then credit growth and credit cost will be impacted negatively.

The balance 17% , or one-sixth, comes from sectors which have a very direct linkage to the economy—autos, consumer goods, cement, paints, etc, which are domestic consumption plays. So, here there will be some earnings implication because margins will be squeezed.

If oil stays at $100 or more, what will be the impact on earnings?

If oil were to average $100 or more for the fiscal, our earnings growth estimate of 19% for Nifty 50 will take a hit but it's difficult to put a finger on the extent of decline. The impact on earnings will depend on the duration of the war and the duration of the war depends on the economic will and the political will of the two parties—Iran and the US.

Why are FPIs exiting despite our valuations turning reasonable—19.5x one year forward against the historic 22x?

The biggest 'problem' of all for us is the US. The S&P earnings growth this calendar year or our FY27 is estimated at 22% , trading at 20.5x one-year forward. Nasdaq with an estimated earnings growth of 37% in calendar 2026 is trading at about 26x one-year forward. This is what India is competing with.

Many FPIs who are US-centric or US-based have little incentive to look at markets like ours for investing, especially when they are earning a 4% plus risk free yield in the US bond market.

For an extended version of this story, go to livemint.com.

INTERVIEW

> If the war were to continue for longer, then credit growth and credit cost will be impacted negatively.
>
> **Sanjeev Prasad,** MD and co-head, Kotak Institutional Equities

Air India's Bengaluru MRO facility rollout delayed to '27

Delays are driven by difficulties in locally sourcing high-grade steel and specialized bolts

Dipali Banka
dipali.banka@livemint.com
MUMBAI



The 35-acre site will eventually house 12 hangar bays for both narrow-body and wide-body aircraft. MINT

Air India has pushed the start of its maintenance, repair and overhaul (MRO) facility at Kempegowda International Airport in Bengaluru by at least a year to January–March 2027, as construction remains unfinished, according to three people familiar with the matter.

The airline's inability to source construction materials including steel and bolts from domestic manufacturers is the key reason for the delay.

Planned on a 35-acre site, the facility, designed with 12 hangar bays to service narrow-body and wide-body aircraft, is still under construction, one of the persons quoted said, requesting anonymity due to the sensitivity of the issue.

In its first phase it will have 3 wide-body and 2 narrow-body hangar bays. Hangars are spaces where aircrafts are parked, maintained, and repaired. As of April, Air India has 126 narrow-body and 60 wide-body jets.

"There are construction delays pertaining to steel and some of the bolts required, and the airline is working with engineers and partners to expedite this as quickly as possible," the second person quoted above said, confirming that the original timeline of early 2026 has been pushed back.

The delay is due to the complexity of the hangar structure. "The hangar is a very large structure with an unsupported roof, which requires particularly high-grade steel and bolts in large quantities. There is no single provider that has been able to supply the required volume at the expected quality and speed," the person said.

Suppliers had initially committed to delivering the materials but later struggled to meet the required specifications and scale. While sourcing is being done domestically, production timelines have been longer than anticipated.

The commissioning has now been pushed to the first quarter of FY27 from the target of early 2026, the third person quoted above said.

A detailed email query to Air India on Monday went unanswered.

A delay in commissioning the MRO facility would mean the airline continues with its existing approach, handling maintenance work domestically where possible and sending remaining aircraft overseas. "By localizing these services, these airlines aim to reduce FX (foreign exchange) outflows, minimize aircraft downtime, and capitalize on government incentives such as the reduced 5% GST on domestic MRO services," wrote Karan Khanna and Shamit Ashar, aviation analysts at Ambit Capital in a note on 27 April.

An MRO facility in India will help the Tata-owned airline reduce costs, a key challenge. The carrier is searching for a successor after CEO Campbell Wilson resigned in March; he will continue in the role till a replacement is appointed.

In FY25, privately held Air India, reported revenue of ₹78,636 crore and a loss of ₹10,859 crore. It is yet to announce its FY26 results.

The delay comes amid expectations that losses will more than double in FY26, as well as setbacks to CEO Campbell Wilson's aircraft retrofit programme. The modernisation effort, part of a $400 million fleet upgrade under the Tata Group's five-year revival plan announced in 2022, is now expected to be completed only by 2029, nearly two years behind schedule, *Mint* reported earlier.

For an extended version of this story, go to livemint.com.

SUPPLY BOTTLENECK

THE unsupported-roof hangar design made construction more challenging than anticipated

THE delay will affect its localization push, prolonging reliance on overseas repairs and forex outflows

WITH an expanding fleet, delayed MRO capacity could strain maintenance and turnaround times

THE MRO delay will add to slippages in its fleet retrofit plan, which is expected to run behind schedule

Piramal Finance tests AI-led hiring for entry-level roles

Shayan Ghosh &
Devina Sengupta
MUMBAI


The firm hired 262 sales executives using an AI-led process with no human interviews, says MD and CEO Jairam Sridharan. MINT

Imagine walking into a job interview with no human on the other side, just some code analysing every word, tone and response before deciding your fate. That is no longer hypothetical. The financial services arm of billionaire Ajay Piramal-backed Piramal Group is testing exactly this model to improve hiring efficiency.

In January-March, Piramal Finance—a non-bank financier with assets of over ₹1 trillion—hired 262 entry-level sales executives using an artificial intelligence bot. Human involvement came only at the stage of issuing offer letters.

While AI-assisted hiring is not new, this is among the earliest instances of a large firm using AI to make hiring decisions. Mint reported in January how Kearney, a global consulting firm, was overhauling hiring system to get rid of any human bias that creeps in during the selection process.

The hiring model aims to improve consistency, reduce human bias, standardize evaluation across candidates

"Purely AI-driven hiring has started, where no human is looking at the candidate at all," Jairam Sridharan, managing director and chief executive, Piramal Finance, told *Mint*. "A resume is screened by AI, and it then coordinates with the candidate to set up a time for the interview. A voice bot does the interview in their language of choice and then against the rubric, the AI assesses the candidate and decides whether he/she should be hired or not."

AI use for end-to-end hiring for certain roles is more experimental for Piramal Finance than peers, said Sridharan, who joined the group in 2020 from Axis Bank.

Other large NBFCs such as Bajaj Finance and Tata Capital have also been scaling up AI usage in generating leads, making videos, and cutting credit cost, among others, as lenders amp up investments in a technology that promises to change how businesses run.

"I personally have always had a heavy level of scepticism about the effectiveness of interviews. When I'm pushing that thought forward, it's easier for me to make this leap to say let machines do it," he added.

He said candidates are more satisfied when they speak to an AI bot instead of a human and can shed their inhibitions. "The candidates are less shy. They feel less embarrassed about admitting some things," Sridharan said, noting that applicants are informed beforehand that an AI bot will conduct the interview.

According to him, interviewing, especially for entry-level roles, is an imperfect process. He said that someone sitting in a branch may not have great interviewing skills. The interviewer might rush through things, ask four questions and then make up his/her mind. "(With AI hiring) I have the full log of every call that has been made," said Sridharan.

Human resource experts said that while hiring for entry-level roles could be fully automated, those for senior recruits need a human-in-the-loop approach.

Monica Agrawal, chairperson and country head at consultancy Sheffield Haworth India, said AI tools can work for junior, or at best, mid-level roles, wherein selection criteria and process are more structured and standardised, and AI can enable the selection process via standardised evaluation criteria.

"But for senior-level hiring, human intervention is a must, as almost every search process is bespoke. Top-of-the-house searches are high-touch and are, in fact, successful only if the search firm and the candidate have an equation built over the years; AI cannot replace that," said Agrawal.

shayan.g@livemint.com

For an extended version of this story, go to livemint.com.


Sectors sensitive to fuel costs saw strong gains. HT

Stocks up on Iran hopes, but caution remains

FROM PAGE 1

investment officer of Old Bridge Mutual Fund and founder director of Old Bridge Capital Management, had said, "The recovery, if at all, will be towards the end of this financial year; for the rest of it, I think we will just plod along."

He added a note of caution that the next quarter or two could remain challenging, but stressed that the weakness should be seen as transitory rather than structural.

Provisional data from the BSE showed that foreign institutional investors (FIIs) became net sellers to the tune of ₹5,835 crore on Wednesday, while domestic institutional investors (DIIs) net purchased equities worth ₹6,837 crore.

According to a May strategy report by Motilal Oswal Financial Services, once the war dust settles, there is a high likelihood of a better FII flow environment.

Even an abatement in outflows will be taken positively by the market, while a full-blown positive flow can lead to sharper rallies.

"Over the past year, DII ownership rose 170 bp y-o-y (+50 bp q-o-q) to an all-time high of 20.9% in March'26. In contrast, FII ownership dipped 180 bp y-o-y (-110bp q-o-q) to 17.1% (from 18.9% in March'25)," the report added.

For an extended version of this story, go to livemint.com

Aadhar Housing eyes ₹50k cr AUM milestone in three years

Harsh Kumar
harsh.kumar@livemint.com
NEW DELHI


Rishi Anand, MD and CEO, Aadhar Housing Finance. MINT

Aadhar Housing Finance Ltd is targeting over 20% growth in assets under management (AUM) in FY27 as it advances towards ₹50,000 crore over the next three years, saying West Asia tensions have no material impact on its loan book.

"We are monitoring customer behaviour, especially bounce rates across regions, but as of now there is no visible stress," managing director and chief executive Rishi Anand told *Mint* in an interview.

The company, backed by Blackstone which holds about a 65% stake following a recent fund rollover, primarily lends to low-income borrowers and has minimal exposure to income streams linked to overseas employment. Anand said non-resident Indian borrowers account for less than 1% of the portfolio, limiting direct vulnerability to geopolitical disruptions in the Gulf.

"Even in the event of prolonged disruption, the company expects repayment resilience to hold as its borrowers are largely engaged in essential economic activities."

Aadhar Housing closed fiscal 2026 (FY26) with an AUM of about ₹30,571 crore. It is targeting more than 20% growth in FY27, advancing towards ₹50,000 crore over the next three years. The company also has a longer-term AUM target of ₹1 trillion. Disbursements in the March quarter (Q4FY26) touched a record ₹3,084 crore and are expected to grow 18–19% in FY27.

Anand said the company is seeing rising engagement from state governments on beneficiary-led construction and housing projects for economically weaker sections and low-income groups, which is expected to support incremental demand.

Under the Pradhan Mantri Awas Yojana 2.0, the company has facilitated subsidies for 13,951 beneficiaries, amounting to about ₹45.06 crore.

India's housing finance market continues to present a large opportunity. Total outstanding housing credit is estimated at about ₹37 trillion as of December 2025, according to Economic Survey FY26, with housing finance companies accounting for roughly one-fifth of the market.

Aadhar Housing Finance has a strong presence in the affordable housing segment and focuses on low-income borrowers.

For an extended version of this story, go to livemint.com.

Godrej set to expand premium housing

Madhurima Nandy
madhurima.n@htlive.com
BENGALURU



Godrej Properties is ramping up premium and luxury launches as part its ₹48,000 crore FY27 pipeline. MINT

Godrej Properties Ltd (GPL), India's highest-selling residential developer, is stepping up its push into high-value housing, lining up a series of premium and luxury launches across key markets as part of ₹48,000 crore pipeline for FY27, executive chairperson Pirojsha Godrej said on Wednesday.

GPL is targeting ₹39,000 crore of sales bookings this year, on a strong launch pipeline and demand for branded developers. The launches will span prime micro-markets, including Golf Course Extension Road in Gurugram, Ashok Vihar in Delhi, and Bandra Bay in Mumbai, underscoring the firm's clear tilt towards higher-ticket projects.

The shift follows a year of aggressive land acquisitions in top locations and marks a more pronounced move into luxury, even as GPL has previously developed such projects.

In Gurugram, now emerging as one of India's key luxury hubs, GPL will develop a project on an 11.36-acre land parcel acquired earlier this year, with a revenue potential of about ₹4,500 crore. In Delhi, the company plans to launch a much-awaited project spread over around 27 acres in Ashok Vihar, where apartments are likely to be priced at ₹5 crore and above.

The company is aiming for ₹39,000 crore in bookings, backed by strong demand for branded developers

In Mumbai's Bandra Bay, where developers such as Adani Realty and others are preparing luxury launches, GPL is planning a project with apartments priced at over ₹15 crore each, as per analyst estimates.

"The launches this year will reflect the kind of business development GPL has done last year, where it has acquired land in key micro-markets within the cities it operates in. The premium launches this year are in great locations and will happen in the coming months," Pirojsha Godrej told *Mint*.

The company will also launch the third tower in its luxury project in Worli, a sought-after location, where the first two towers were launched in late 2025. It is also developing an ultra-luxury residential project on Carmichael Road in south Mumbai, where it sold an apartment in February for ₹69 crore, at a rate of ₹1.58 lakh per sq. ft, to Menon Realty LLP.

Alongside these projects, GPL will continue to launch developments at more affordable price points across cities.

Beyond its core markets—Mumbai Metropolitan Region, National Capital Region, Bengaluru, Pune and Hyderabad—the developer also plans to launch two group housing projects in Ahmedabad and Kolkata this year.

GPL's strategy mirrors a broader shift across the sector. Peers such as DLF Ltd, Prestige Estates Projects Ltd, and Lodha Developers Ltd have been steadily expanding their luxury portfolios, tracking rising demand for larger, higher-value homes.

For an extended version of this story, go to livemint.com.

What is Lakshya 3l, Larsen & Toubro's new five-year growth plan?

Nehal Chaliawala
nehal.chaliawala@livemint.com
MUMBAI

EXPLAINER



The new plan targets 12–15% annual revenue growth and 10–12% increase in order inflows over FY26–FY31. MINT

Larsen and Toubro Ltd (L&T) has set itself ambitious goals in a new five-year plan called Lakshya 3l, which, if achieved, could double its revenue, ensure diversification into new segments like green hydrogen, electronics and semiconductor manufacturing, and create a listed real estate business.

The plan also outlines operating green hydrogen and ammonia plants, which at least one analyst flagged as less margin-accretive, hurting the company's overall return on investment.

L&T achieved the revenue and order inflow growth aims it set in its previous five-year plan called Lakshya 26, while missing the return on equity (RoE) target. Its performance on its five-year plan stands in stark contrast to firms that fail to meet even their one-year guidance in the face of global volatility. Shares of Larsen and Toubro Ltd fell 1.18% on the BSE on Wednesday to close at ₹4,008.35. The benchmark Sensex gained 1.22%. *Mint* looks at the company's Lakshya 3l plan and its performance on the Lakshya 26 plan.

What are the targets under Lakshya 3l?

India's largest engineering company targets 12-15% compounded annual growth from FY26 to FY31. That translates into a doubling of revenue by FY31 to ₹5.8 trillion at the upper end of the target.

It expects 10-12% compounded annual growth in order inflows. If achieved, at the upper end of the target, that would result in annual order inflows of ₹7.75 trillion by FY31. L&T booked new orders of ₹4.4 trillion in FY26, taking its order book to ₹7.4 trillion. RoE of 16-17% has been estimated over this period compared with 16.6% in FY26.

"The 12-15% CAGR revenue guidance is good. But the 10-12% order inflow guidance implies that the company has estimated single-digit order inflow growth in the infrastructure segment, which is underwhelming," said Amit Anwani, VP and lead analyst for capital goods, industrials and defence at PL Capital. If infrastructure order inflows grew at a double-digit rate, the overall order inflow could easily achieve a CAGR of 14-15%, he said. This would be due to the rapid growth in the energy and hydrocarbons segments, which receive large orders from West Asia.

L&T is entering green hydrogen, semiconductors, data centres and industrial electronics, with a ₹42,400 crore bet

"The return on equity target also seems underwhelming, especially considering that the company is exiting its Nabha Power and Hyderabad Metro assets, which provided low returns," Anwani said.

Lower returns could be due to plans to build, own and operate green hydrogen and green ammonia assets, data centres and semiconductor manufacturing, which may affect return ratios. "Owning assets goes against the company's long-stated target of being asset light, which is why it exited the ownership of road assets and now Nabha Power and Hyderabad Metro," he said.

What are the objectives under Lakshya 3l?

L&T has framed strategic objectives in its new plan including the entry into green hydrogen and green ammonia supply, data centres, industrial electronics manufacturing and offshore and onshore wind energy development.

The firm earmarked capital expenditure of ₹42,400 crore for these projects – industrial electronics (₹5,000 crore), semiconductor manufacturing (₹3,000 crore), green hydrogen (₹15,000 crore), data centres (₹10,000 crore), realty business (₹4,400 crore) and upgrading the existing hydrocarbon facility (₹5,000 crore), as per a report from Antique Stock Broking published on Wednesday.

For an extended version of this story, go to livemint.com.



Operating margins in the quarter shrank from 19% in the year-ago period to 17% in Q4 FY26. MINT

Bajaj Auto logs strong FY26, flags sales slowdown

FROM PAGE 1

the back of a one-time recognition of profit share at its acquired parent firm of KTM. Revenues in the quarter climbed by 41% to ₹17,832 crore.

However, operating margins in the quarter shrank from 19% in the year-ago period to 17% in Q4 FY26, owing to rising commodity costs partly offset by price hikes.

The company's management flagged fuel price hikes as a key risk to demand, noting that supply disruptions from the West Asia conflict could weigh on consumer sentiment.

Bajaj flagged fuel price hikes as a key risk to demand, noting supply disruptions weigh on sentiment

However, Sharma said the same trend could accelerate EV adoption. "People are anticipating price increases (of petrol and diesel). They want to be free of this because fuel bills are an important component in a householder's budget, and that is driving them towards adoption of electric vehicles, and I think that will continue," he said.

According to Sharma, electric vehicle (EV) two-wheelers and three-wheelers together contribute about 20% to Bajaj Auto's domestic revenue, and the overall EV portfolio continues to be profitable. Notably, Bajaj has an EV two-wheeler lineup in the Chetak brand, and its three-wheeler line-up includes Bajaj Riki and WeGo.

Bajaj Auto declared its results after market hours on Wednesday. Its shares closed 3.4% higher, compared with a 2.4% gain in the Nifty Auto index.

After the results were announced, the company informed the exchanges that Sharma has been elevated to joint managing director. He reports to managing director Rajiv Bajaj.

Bajaj declared its earnings a day after Hero MotoCorp. Hero saw its revenue jump 16% to ₹47,411 crore while its profits gained 35% to close the year at ₹5,832 crore.

Mphasis sues Coforge in US court over employee hiring

Allegations are of violating contractual restrictions to gain access to client information

Jas Bardia & Varun Sood
BENGALURU

Blackstone-owned Mphasis Ltd has filed a lawsuit in a US court against rival Coforge Ltd, accusing the Noida-based information technology (IT) services firm of hiring its employees in violation of contractual restrictions and gaining access to confidential client information.

The Bengaluru-based company, which reported $1.8 billion in revenue last year, has also named its former vice president Brijesh Khergamker as a party in the case filed in a Colorado court. Mphasis alleges Khergamker breached his employment agreement by joining a rival firm less than a year after leaving the company.

"Coforge has initiated a campaign of recruiting Mphasis employees to obtain an unfair competitive advantage in the design, implementation, and maintenance of information technology services and digital solutions," read Mphasis's lawsuit filed on 31 March and which appeared in the public database last week.

"Defendants' actions give Coforge an unfair business advantage in the information technology services industry at Mphasis' expense by giving Coforge access to Mphasis' confidential Information, trade secrets, and information pertaining to its customers without expending any time or resources," the lawsuit added.

Coforge, which nudged past Mphasis last year to become the country's seventh largest IT firm, ended with $1.87 billion in revenue, a 29.2% growth, the fastest among all large and small IT services firms.

Khergamker left Mphasis in July last year and joined Coforge in the same month, which, according to Mphasis, violates a contractual restriction that bars employees from working for rivals for up to a year.



Accenture, Infosys, Wipro have earlier taken ex-employees to court. ISTOCKPHOTO

According to the lawsuit, Khergamker and another Mphasis executive, handled IT and sales-related work for Charles Schwab, a Texas-based brokerage and its largest client. Both had access to Mphasis's proprietary knowledge of sales strategy, technical requirements, and other financial matters related to this client.

It alleges Khergamker is now working on the same client account at Coforge.

Mphasis has asked the Colorado court to restrain Khergamker from working on the Charles Schwab account for a year from the time an injunction is filed. It has also sought to prevent alleged poaching of employees, require him to hand over client-specific information, and bar the use of its proprietary information.

Emailed queries sent to Mphasis on Wednesday did not receive a response till press time.

CONTRACT CONUNDRUM

MPHASIS named its ex-vice president Brijesh Khergamker as a party in the case filed in Colorado

THE company alleges Khergamker breached a contract, joining a rival under a year after leaving

IT alleges Coforge has a campaign of recruiting Mphasis staff for competitive advantage

THE advantage pertains to design, implementation and maintenance of IT services

"The current action is an attempt to interfere with fair competition in the marketplace. And it is not the first instance when people from competing firms have joined Coforge," the company said in response to *Mint's* email.

"We deny all allegations of wrongdoing in the complaint, and we intend to vigorously defend ourselves and our employee in this matter," it added.

The Mphasis-Coforge dispute comes after three of their larger peers, including Accenture Plc, Infosys Ltd, and Wipro Ltd, took former employees to court over alleged breaches of anti-competition clauses.

In January last year, Infosys named former executive and current chief executive of Cognizant Technology Solutions Corp., Ravi Kumar, for delaying the rollout of its healthcare product while he was in talks to join the Nasdaq-listed firm as its chief executive, and also for poaching key talent from Infosys. Both Infosys and Cognizant agreed to settle the case last year.

In September 2023, Wipro filed a case against its former chief financial officer, Jatin Dalal, in a Bengaluru court, alleging breach of an employment contract that included a clause preventing him from joining competitors for up to a year. In December 2023, Wipro filed a second case in a US court against its former head of healthcare business for joining Cognizant. Both cases were settled after the executives agreed to pay money.

In March 2021, Accenture Plc filed a lawsuit in a New York court against its former employee, Stephanie Trautman, for joining Wipro as its chief growth officer less than a month after leaving Accenture, and without informing her former employer in advance.

jas.bardia@livemint.com

For an extended version of this story, go to livemint.com



Many power banks are cheaply made or counterfeit. ISTOCKPHOTO

Airlines are cracking down on portable power banks

FROM PAGE 1

must move fast. Crews typically cool the device with water and place it in a fire-containment bag to keep the heat and smoke from spreading.

"Keeping devices within reach can mean the difference between a contained incident and a serious event," said David Wroth , who leads UL Standards & Engagement's research on thermal runaway incidents.

In March, the ICAO said the products should be within arm's reach and never charged onboard. The FAA, which said it is considering the organization's stricter guidance, currently bars the devices from checked luggage and restricts passengers to two portable chargers in carry-on bags.

Airlines' rules vary, leaving passengers to navigate different restrictions on their portable chargers from one airline to the next.

Delta matches the ICAO specifications, while United Airlines , which bans portable chargers and vapes from overhead bins, hasn't prohibited power banks from being charged onboard. Meanwhile, Japan's transport ministry and South Korea's major airlines have banned passengers from using portable chargers in flight altogether.

Daniel Rodríguez, who commutes between Atlanta and Philadelphia, worries that a lack of compliance with portable-charger restrictions could lead to boarding-gate chaos. "If people don't follow the rules, does it cause delays? Do we deplane?" he asked.

American and Southwest said they aren't searching travelers to enforce their newest policies. Instead, the airlines are counting on passenger education, including cabin announcements and questions from gate staff.

Michael Massoni , safety chair for the Transport Workers Union Local 556 representing Southwest flight attendants, said passengers have reacted positively to the safety announcements he has delivered.

"The look that I'm seeing on their faces is not one of push-back or disgust," Massoni said. "It's more of, 'wow, that makes sense.'"

Southwest plans to outfit its entire fleet with in-seat power by the middle of next year so that passengers won't rely on portable chargers, said Dave Hunt, the airline's vice president of safety and security.

©2026 DOW JONES & COMPANY, INC.

Ola Consumer prepares for IPO

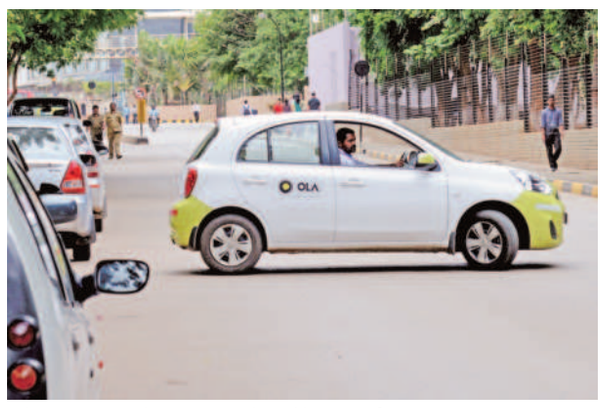
FROM PAGE 1

cash on."

Ola Consumer's net worth crashed 57% to ₹1,490 crore at the end of March 2025 from ₹3,451 crore at the end of March 2024, the annual report showed. The loss in net worth was due to two reasons. First, operating losses surged from ₹334.3 crore to ₹662.2 crore. Second, Ola reported a ₹1,312.3 crore loss in other comprehensive income after an almost 50% decline in Ola Electric's share price from August 2024 to March 2025. Ola Electric is the group's electric two-wheeler manufacturer.

Since it was founded in 2010, Ola Consumer has accumulated losses of ₹21,213 crore. At the end of March 2025, the company had ₹180.3 crore in cash and cash equivalents compared with ₹374.1 crore at the end of March 2024. Including investments in mutual funds and fixed deposits, Ola Consumer's total cash and bank balances stood at ₹652.8 crore, compared with ₹1,394.8 crore at the end of March 2024.

This implies that Ola Consumer's operating cash burn was ₹742 crore in FY25. ANI Technologies, which operates Ola Consumer, had total borrowings of ₹586.2 crore at the end of March 2025.



Ola Consumer has accumulated losses of ₹21,213 crore. MINT

Ola Consumer attributed the six-month delay in financials to administrative reasons.

"Ola Consumer's FY25 financials were audited and signed off on 15 September, 2025. The AGM was held on December 31, 2025, where the audited accounts were duly adopted," a spokesperson told Mint. "The RoC filing will reflect these facts. Any delay in filing was administrative in nature."

Ola did not detail the administrative reasons. The delay occurred during a period when its long-standing auditor, S.R. Batliboi & Associates LLP, the India affiliate of EY, ended its engagement with the firm. It had been appointed by Ola in FY15. The end of S.R. Batliboi's term with Ola was announced at the December 2025 AGM. Gurugram-based SN Dhawan and Co. LLP was appointed the company's new auditor for a five-year period from 1 April 2025.

Batliboi gave an unqualified opinion on Ola Consumer's financials, but noted some loan write-offs. "During the year, the investments made and loans granted by the company to its subsidiaries aggregating to ₹148.4 crore may be construed prejudicial to the Company's interest on account of the fact that these have been impaired at the year-end, considering their recoverability," it said.

Put simply: Batliboi said Ola's ₹148.4 crore loan to its subsidiaries in FY25 was likely damaging, as it had to write it off by the end of the fiscal year. The auditor also mentioned that Ola wrote off ₹2,600 crore of loans to subsidiaries during the year.

The board has taken note of the auditors' observation relating to the write-off, provisioning and impairments of loans, interest accrued and investments in subsidiaries," said Ola's board in response to the auditor's observations.

ayaan.kartik@livemint.com

Law firms see focus on contract clause as war impact deepens

FROM PAGE 1

bility.

Rohit Jain, managing partner at Singhania & Co., cited the example of a Delhi-based manufacturing company that had entered into a power purchase agreement (PPA) to procure electricity, and is now renegotiating terms with its counterparty, "because the minimum guaranteed savings on the landed tariff are no longer being met due to higher costs".

"Since the commercial viability of the project is now under question, the parties are trying to arrive at a middle-ground solution," Jain added.

Lawyers said such stress at the project level is prompting lenders to examine financing documents for potential MAC implications.

"The most common queries we receive from clients relate to whether, and in what circumstances, a MAC clause can be triggered," said Charanya Lakshmikumaran, executive partner at Lakshmikumaran & Sridharan Attorneys, adding that borrowers are particularly concerned about lenders relying on MAC clauses to delay funding, refuse drawdowns, or seek renegotiation even in the absence of a default.



Geopolitical disruptions hurt cash flow. ISTOCKPHOTO

"Lenders, in turn, want clarity on the degree and nature of adverse impact required before a MAC can be legitimately invoked," she said.

Lakshmikumaran also cited an example where a group of lenders raised MAC-related concerns about a Mumbai-based manufacturing and export company reliant on imported raw materials and overseas markets. Prolonged geopolitical disruptions led to shipping delays, higher freight and insurance costs, and volatile input prices, putting pressure on its working capital and cash flow projections.

While the lenders did not formally invoke the MAC clause, they sought additional disclosures on financial forecasts, customer contracts and contingency plans, and stepped up monitoring of covenant compliance during discussions on a proposed working capital drawdown.

Queries emailed to State Bank of India, Central Bank of India and IndusInd Bank went unanswered.

Lawyers caution that invoking a MAC clause remains legally difficult because the impact has to be serious, borrower-specific, and long-lasting enough to materially affect the business or transaction.

"Lenders have lower risk appetite, and debt deals are not competitive auctions like M&A," said Bharat Anand, senior partner at Khaitan & Co.

krishna.yadav@livemint.com

For an extended version of this story, go to livemint.com

Zee sues Reliance-Disney over alleged music copyright breach

Reuters
feedback@livemint.com
NEW DELHI

Zee Entertainment has sued the Reliance-Disney joint venture, the country's biggest entertainment company, alleging it used Zee's copyrighted music after licence agreements expired, court documents show.

Zee is seeking $3 million in damages, alleging unauthorised use and exploitation of works from its music division on the Reliance-Disney streaming platform and some of its TV channels, according to previously unreported court papers.

The lawsuit, filed in New Delhi and reported by *Reuters* for the first time, marks the latest legal clash between Zee and the group formed from Reliance and Disney's $8.5 billion merger in 2024. The dispute underscores rising tensions over content rights as India's streaming and broadcast market consolidates.

Zee and JioStar, the name of the Reliance-Disney venture led by Indian billionaire Mukesh Ambani's Reliance, declined to comment.

Zee and Reliance are also locked in arbitration in London, where Reliance is seeking $1 billion in damages from Zee for quitting a cricket licensing deal in 2024.

Zee denies any wrongdoing and is now contesting the demand.

In its 1,800-page lawsuit filed on April 14, Zee alleges that Reliance-Disney used its music at least 50 times after certain licensing agreements expired in 2024 and 2025 and were not renewed due to disagreements over commercial terms.

"The illegal exploitation thereof amounted to copyright infringement," Zee said in the filing, asking the court to stop any ongoing infringements of its music works.

JioStar owns a library of thousands of shows and broadcast rights for top sporting events across its TV channels and its streaming app JioHotstar, India's biggest with about 500 million monthly users.



Zee is seeking $3 million in damages. ISTOCKPHOTO

Zee, one of India's oldest media groups, also has several TV channels and a streaming app, and says it owns a catalogue of more than 19,450 songs in 17 languages.

The case was briefly heard on Tuesday, when the judge asked JioStar to ensure there is no ongoing infringement of Zee's works on its platforms while the matter is heard, and to comply within 15 days, according to a person with direct knowledge.

The next hearing is scheduled for 23 July.

MUSICAL ROW

ZEE is alleging unauthorised use and exploitation of works from its music division

THE dispute underscores rising tensions over content rights as the market consolidates

The lawsuit comes amid Zee's broader push against what it says is abuse of its music catalogue. *Reuters* reported on Tuesday that Zee has sued fashion-to-beauty retailer Nykaa, alleging it used Zee's copyrighted songs in Instagram reels to promote products, and is seeking $210,000 in damages.

In the case against JioStar, Zee says its music was infringed across music and dance shows that appeared on TV and the streaming platform.

Court papers show Zee and JioStar have held discussions in recent months and exchanged several letters and legal notices over the disputed use of music.

In December, JioStar told Zee it had "taken extensive steps to remove any infringing content across its portfolio", including legacy programming.

However, it said residual and passive archival hosting did not amount to infringement or unlawful communication, a position Zee disputes, the documents show.

JioStar "categorically rejects" the "coercive demands" for damages, it said in a letter dated March 16, adding that it "remains open to an amicable and commercially sensible solution"

Marico eyes ₹20k cr by FY30, leans on new growth levers

FMCG major sharpens focus on premium products, packaged foods and a digital-first push

Neethi Lisa Rojan
neethi.rojan@livemint.com
MUMBAI

Marico Ltd, synonymous with brands such as Parachute and Saffola, aims to earn ₹15,000 crore revenue in FY27 and ₹20,000 crore by FY30 as it sharpens its focus on premium products, packaged foods and a digital-first push. To meet its targets, the company looks to tap the growing wellness and premium personal care segments, moving from its commodity-centric profile.

"We have multiple vectors of growth and we have factored that not all 100% will fire every year," managing director and chief executive officer Saugata Gupta told *Mint* in an interview.

Marico on Tuesday reported a 9.3% rise in FY26 consolidated net profit to ₹1,813 crore. Consolidated revenue from operations was up 26% at ₹13,611 crore for the year. Revenues will need to grow around 10% to achieve the company's FY27 aim.

"Adding another ₹5,000 crore over the next three years is a much more achievable task," Gupta said, adding that the company looks to reshape its portfolio to focus on new growth areas.

Marico's India volumes grew 8% to a seven-year-high in FY26 and 9% in January-March. Its rivals reported similarly robust volume growth in the March quarter—HUL at 6% and AWL Agri Business (earlier Adani Wilmar) at 14%.

Gupta attributed this higher consumption to a mix of macro and micro factors. "When food inflation is low, consumers tend to allocate more of their wallet to FMCG (fast moving consumer goods), often upgrading to aspirational brands," he said.

Gupta also noted that goods and services tax (GST) cuts for the sector were a key catalyst. It "accelerated the shift from unbranded to branded due to improved affordability. And lastly, the sector benefitted from a softer growth in FY25," he said, pointing to the low base. The Parachute coconut oil manufacturer also benefited from the quarter's 35% decline in prices of key input copra from its peak level.


Marico's managing director and chief executive officer Saugata Gupta.

WELLNESS PUSH

TO meet its targets, Marico looks to tap the growing wellness, premium personal care segments

MARICO'S India volumes grew 8% to a seven-year-high in FY26 and 9% in January-March

IN line with industry trend, Marico has also undertaken price hikes amid the rise in input costs

THE foods portfolio, including Saffola, Cosmix, is expected to be a key growth lever for the firm

The chief executive said premiumization—which draws higher margins—is important for the company. Marico has been premiumizing parts of its portfolio—like value-added hair oils, premium skin and personal care such as Kaya and Plix.

In line with the industry trend, Marico has also hiked prices amid the rise in input costs due to the West Asia war. "Across certain segments, we have implemented calibrated price increases of around 7%," Gupta said.

Challenges are expected to persist in the market due to high crude oil prices. "We have thoughtfully built in higher crude price assumptions for the rest of the year," he said, expressing confidence that larger players such as Marico were better equipped to cope with such adversities than smaller firms. "While [crude prices] will soften if there is a resolution to the West Asia conflict, it won't be at the same level as last year, and we believe larger players like us are structurally better equipped to navigate such volatility" he said.

The foods portfolio—including brands such as Saffola, True Elements and Cosmix—is expected to be a key growth lever. The company's foods business in India has grown fourfold from FY20 to FY24. Marico now aims to expand the category 15 times by FY30 and is exploring adjacent categories to support this growth.

Gupta noted the wellness trend is catching up in the packaged food business. "Over the next couple of quarters, we will significantly expand into nutraceuticals such as vegan or magnesium or other similar offerings," he said.

He also pointed to the rising focus on fitness and weight management. "With the rising prevalence of GLP-1s for controlling typte-2 diabetes and obesity, consumers are becoming more mindful, reducing unhealthy or indulgent snacking, and eating smaller meals," said the CEO. "Around 80% of our food portfolio is already aligned with this shift and is GLP-1 friendly."

Theinternational business is another growth driver for Marico. In FY26, it reported 20% growth in constant currency terms, the highest in 14 years. The company is looking to slowly reduce its dependence on Bangladesh for international operations and expand to other markets. In FY26, Bangladesh fetched 45% of Marico's international revenue.

"Vietnam is another interesting market, much like the Middle East, where we are seeing opportunities to replicate our digital playbook," Gupta said. "Nearly 50% of consumption is already driven by e-commerce and social commerce in the Vietnam market."

For an extended version of this story, go to livemint.com

Legacy fashion brands race to meet quick-delivery demands

Vaeshnavi Kasthuril
k.vaeshnavi@livemint.com
BENGALURU


Brands such as The House of Rare have adopted a more calibrated, infrastructure-led strategy.

Fashion retailers are speeding up deliveries to keep pace with instant-gratification shopping driven by quick-fashion startups, with established players and new brands taking sharply different approaches.

For example, brands such as Biba and The House of Rare have adopted a more calibrated, infrastructure-led strategy rather than a rapid overhaul of existing store networks. "We've been doing this in a very soft way but not necessarily from the same stores because that affects the customer experience," said Siddharth Bindra, managing director of Biba.

Bindra said using retail stores as fulfilment hubs for rapid delivery creates operational constraints, particularly given store sizes and layouts. "We don't have very large stores; they are anywhere between 1,000 and 2,000 square feet. So that's not the right efficiency," he said.

Instead, the brand is evaluating a hub-based model in cities with higher store density, enabling faster deliveries without disrupting in-store operations.

Some brands are moving more aggressively to integrate stores directly into fulfilment networks

"If we do it, it will be through proper hubs in cities where we have four to five stores, where we would start with quick commerce and accelerate it," he said. This could enable same-day or two-to three-hour deliveries.

The House of Rare, which houses Rare Rabbit (men's urban fashion) and Rareism (women's fashion), is adopting a similar approach, evaluating city-level fulfilment hubs in markets with higher store concentrations to enable faster deliveries while keeping retail outlets focused on walk-in consumers.

The strategy reflects a broader attempt among legacy retailers to balance speed with experience, rather than treat stores as interchangeable logistics nodes.

"The eventual goal is the customer, but it creates a lot of difference in the customer experience," Bindra said, pointing to the trade-offs involved.

In contrast, some brands are moving more aggressively to integrate stores directly into fulfilment networks.

Libas, an initial public offering (IPO)-bound apparel company, is reworking its operating model to plug its physical retail network into a faster, hyperlocal delivery system.

Earlier, the 12-year-old company followed a more traditional structure. Online orders were largely fulfilled from central warehouses and delivered over a few days, while stores primarily served walk-in customers, with the two channels operating independently.

That is now changing. Libas is using its stores and nearby warehouses as local fulfilment points, allowing it to service orders within a much smaller delivery radius.

"At Libas, the time frame will be approximately 60-90 minutes at the max," said Bhavay Pruthi, senior vice president, e-commerce and product management.

The urgency to adapt is being shaped by a surge in quick-fashion startups that are attracting investor attention despite heavy cash burn.

The segment has seen a flurry of funding in recent months, with Zilo raising $15.3 million in February led by Peak XV, and Knot securing $5 million in a round led by 12 Flags in December.

It has also evolved rapidly. Quick-commerce platforms such as Zepto, Instamart and Blinkit initially offered a limited range of basic fashion items for last-minute purchases. This has since expanded into a more specialized category, with vertical players offering wider assortments across party, work and occasion wear with rapid delivery timelines.

For an extended version of this story, go to livemint.com

mint *Think Ahead. Think Growth.*

Get business and market insights across India, the US and the world with

mint + THE WALL STREET JOURNAL.

Scan to subscribe now



Mint App www.livemint.com Mint Newspaper

IRCON INTERNATIONAL LIMITED
Navratna Company
(A Govt. of India Undertaking)
Website: www.ircon.org, CIN: L45203DL1976GOI008171

EXPRESSION OF INTEREST

Expression of Interest (EOI) invited for association as Joint Venture Partner from Experienced Agencies for "Construction of Four Lane with paved shoulder of Bhagalpur- Kharhara Village (Dhaka More) from Km 0+000 to KM 36+600 (Total length 36.600 Km) of NH-133E on EPC mode in the State of Bihar".
(Tender ID: 2026_IRCON_276652_1)
For further details and updates, please visit tender section on IRCON's website **www.ircon.org** & **www.etenders.gov.in.** Amendments/Corrigendum, if any, would be hosted on the website only.

Chief General Manager/Business Development

EPCO, DEPARTMENT OF ENVIRONMENT GOVERNMENT OF MP

CORRIGENDUM

The last date for online application submission for Post Graduate Diploma in Environment Management (PGDEM) Session 2026-27 (Summer Batch) has been **extended to 15th May 2026.** For details visit **www.epco.mp.gov.in** or scan the QR Code.
M.P. Madhyam/125648/2026 **EXECUTIVE DIRECTOR**

Advertisement No. 47/2026
Government of India
Public Enterprises Selection Board
invites applications for the post of

Chairman & Managing Director
in
Bharat Heavy Electricals Limited (BHEL)

Last date of submission of application by applicants is by 15:00 hours on
26th May, 2026
Last date of forwarding of applications by the Nodal Officers to PESB is by 17:00 hours on
04th June, 2026
For details login to website **https://pesb.gov.in**

SULA VINEYARDS LIMITED

Registered Office: 901, Solaris One, N.S. Phadke Marg Andheri (E), Mumbai, Maharashtra, India – 400069
Tel: 022-6128 0606/607 **Email:** info@sulawines.com **CIN:** L15549MH2003PLC139352

STATEMENT OF AUDITED STANDALONE AND CONSOLIDATED FINANCIAL RESULTS FOR THE QUARTER AND YEAR ENDED 31st MARCH, 2026

The Board of Directors of the Company at their meeting held on 6th May, 2026, approved the Audited Standalone & Consolidated Financial Results of the Company for the quarter and year ended 31st March, 2026.

The full Financial Results along with the Audit Report are available on stock exchanges and are posted on the Company's website at https://sulavineyards.com/investor-relations.php and can also be accessed by scanning the QR Code.

Place: Mumbai
Date: 6th May, 2026
For and on behalf of the Board of Directors
Sd/-
Rajeev Samant
CEO and Managing Director
DIN: 00020675
Note: The above intimation is in accordance with Reg. 33 read with Reg.47(1) of the SEBI Listing (Obligations & Disclosure Requirements) Regulations, 2015

HAVE FUN
WITH FACTS ON SUNDAYS
Catch the latest column of HT TWTW THE WEEK THAT WAS A quiz on the week's development.
HT FIRST VOICE. LAST WORD.
hindustantimes htTweets www.hindustantimes.com



US President Donald Trump's threats came after China's foreign minister called for a comprehensive ceasefire in the Iran war. AP

Reopen Hormuz or face more bombing, Trump warns Iran

AP
feedback@livemint.com

US President Donald Trump threatened Iran with more bombing Wednesday if it doesn't reopen the Strait of Hormuz after a report that an agreement is emerging to end the war.

Trump posted on social media that the war with Iran could soon end and oil and natural gas shipments could restart. But that all depends on Iran accepting a reported agreement that the US president did not detail.

"If they don't agree, the bombing starts," Trump wrote.

Trump's threats came after China's foreign minister called for a comprehensive ceasefire in the Iran war following a meeting with Iranian Foreign Minister Abbas Araghchi, who was visiting Beijing for the first time since the war with the US and Israel started 28 February.

Chinese foreign minister Wang Yi said Wednesday his country was "deeply distressed" by the conflict.

A shaky ceasefire has been largely holding, despite exchanges of fire during the US push to reopen the strait

China's close economic and political ties to Tehran give it a unique position of influence. The Trump administration is pressing China to use that relationship to urge the Islamic Republic to open the Strait of Hormuz.

Trump said Tuesday that he was pausing his short-lived US effort to guide stranded commercial vessels out of the Strait of Hormuz in hopes that a deal could be finalized. A shaky ceasefire has been largely holding, despite exchanges of fire during the US push to reopen the strait on Monday.

Iran's effective closure of the strait, a vital waterway through which major oil and gas supplies, fertilizer and other petroleum products passed before the war, has sent fuel prices skyrocketing, rattled the global economy and put enormous economic pressure on countries, including major powers like China.

Oil prices are still well above the roughly $70 a barrel that crude was selling for before the war began.

Araghchi's visit to China comes ahead of a planned visit by Trump to Beijing for a high-profile summit 14-15 May with Chinese President Xi Jinping. The trip would be Trump's first to China during his second term and the first by a US president since Trump visited in 2017.

"We believe that a comprehensive ceasefire is urgently needed, that a resumption of hostilities is not acceptable, and that it is particularly important to remain committed to dialogue and negotiations," Wang said, according to a video of the meeting.

The Chinese foreign minister said the conflict "has already lasted for more than two months. It has not only caused serious losses to the Iranian people, but also had a severe impact on regional and global peace. China is deeply distressed by this."

In a televised interview with Iran's state media from Beijing, Araghchi said his visit included discussions of the Strait of Hormuz as well as Iran's nuclear program and sanctions imposed on Tehran.

Iran has attained "an elevated international standing" after the war, having proven its capabilities and strength, Araghchi said.

US Secretary of State Marco Rubio expressed hope that Beijing would reiterate the need for Iran to release its chokehold on the strait.

Hundreds of merchant ships remain bottled up in the Persian Gulf. The US said it had opened a safe shipping lane Monday and sunk six small Iranian boats that had threatened commercial ships in the strait. Only two merchant ships are known to have passed through the US-guarded route.

But Trump announced he was pausing the effort, dubbed Project Freedom, to see whether an agreement with Tehran on ending the war could be reached.

China is still supplying drone factories in Iran, Russia despite U.S. sanctions

Obscure Chinese firms are openly shipping dual-use goods such as engines and batteries, defying U.S. controls

Josh Chin & Austin Ramzy

On March 5, as the U.S. and Israeli militaries hammered Iranian targets and Tehran launched attacks at Tel Aviv and Gulf countries that host American bases, an email blast emanated from a server located in China.

"We are deeply shocked and outraged by the aggression against Iran, and our hearts are with you," read the message from Xiamen Victory Technology. The company offered to sell German-designed engines used to power one-way attack drones.

The U.S. has prohibited the sale of those engines, known as the Limbach L550, to Iran and Russia. It has been an important component in Iran's Shahed-136 exploding drone, a version of which Russia has also been using extensively in Ukraine. Victory Technology featured an image of a Shahed-style drone on its website's product page, alongside the slogan "Innovating Aviation Engine Solutions."

The open wartime marketing by a small, obscure Chinese company points to a growing source of frustration for Washington: its struggle to staunch the flow of so-called dual-use goods—items with both civilian and military uses—to adversaries.

Chinese companies are shipping hundreds of containers filled with such goods to Russia and Iran, according to Chinese customs data. Items on the packing lists range from engines to computer chips, fiber-optic cables and gyroscopes. For a time, Chinese exporters intentionally mislabeled some shipments to skirt U.S. and European sanctions, but in many instances they no longer bother, according to former senior Treasury Department officials and weapons analysts.

The expanding trade marks one of the biggest challenges for American nonproliferation officials in the era of drone warfare. During the Cold War and for decades afterward, they focused intensely on nuclear weapons and ballistic missiles—high-tech instruments of mass destruction with rare components that were relatively straightforward to trace. Low-tech and disposable, drones are made almost entirely of common parts that easily enter and exit the swirl of global trade undetected.

China compounds the challenge. The U.S.'s biggest rival has long served as a clearinghouse for American and European-made components that could be diverted to drone factories in Iran and Russia, according to the former Treasury officials. Increasingly, they say, those components are being made inside China itself, often by small factories that don't fear Western sanctions.

The email pitch from Victory Technology landed, apparently by accident, in the inbox of Iran Watch, part of the Wisconsin Project on Nuclear Arms Control that tracks Iranian weapons-proliferation networks. The group shared it with *The Wall Street Journal*.



The expanding trade marks one of the biggest challenges for American nonproliferation officials in the era of drone warfare. ISTOCKPHOTO

"They're out there actively trying to sell Limbach L550 engines to Iran—and doing it pretty brazenly," said John Caves , a Wisconsin Project researcher.

The sender of the email, who identified himself as Kristoff Chen, said the company began selling engines earlier this year and hasn't exported any to Iran or Russia. He said the company used AI to generate emails for overseas clients.

Supplying the Shahed

The Shahed, Iran's main attack drone, is one of the U.S.'s biggest worries. It can fly as far as 1,000 miles with an explosive warhead and costs $20,000 to $50,000 to produce, analysts estimate, making it essentially a cheaper alternative to cruise missiles.

The drones have proven effective at overwhelming or evading air defenses and striking targets. The U.S. recently developed its own copycat.

Early versions of the Shahed used in Ukraine were filled with microelectronics, servomotors to enable precise motion control, and other crucial parts manufactured in the U.S. and Europe, according to teardowns of drones recovered in Ukraine and the Middle East.

Investigations by the Treasury Department found virtually all of the American and European parts were being diverted through authorized distributors to retailers in mainland China or Hong Kong, which would then ship the parts to Iran or Russia.

Typically they were paid for via shell companies that are easy to set up in Hong Kong and help obscure the ultimate destination of the components.

In 2024, the department sanctioned a web of Hong Kong-based front companies associated with Hamed Dehghan, a Tehran-based trader whose company has been a key supplier to Iran's drone and missile programs.

A year later, an entirely new network of Hong Kong companies were serving as fronts for his operation, leading to a new wave of sanctions.

"The Chinese turned a blind eye to that flow even as its role has been repeatedly exposed in public reporting and sanctions designations," said Miad Maleki, a former Treasury official who oversaw sanctions programs at the Office of Foreign Assets Control. "They either don't care or have chosen not to interfere."

In a statement, China's Foreign Ministry said it has consistently enforced restrictions on exports of dual-use items "in accordance with its own laws and regulations and its international obligations."

Given the difficulties in interdicting components, U.S. officials say they are also trying to starve Tehran of funds by going after buyers and shippers of Iranian oil. "We are focused on the revenue because when we cut the head off the snake, that's where we can do lasting damage," a U.S. official said.

Recently, Russian and Iranian drone programs appear to be sourcing more of their parts directly from China, according to the former Treasury officials and industry analysts.

Conflict Armament Research, a U.K.-based group that investigates weapons trafficking, said it has noticed a "discernible increase" in the use of components produced by Chinese manufacturers in Shahed-style drones.

Meanwhile, Ukrainian military teardowns of Russian first-person-view quadcopter drones have uncovered large numbers of China-sourced parts.

Chinese customs data suggests local companies are increasingly willing to trade openly in drone-related components despite U.S. and European sanctions.

Chinese exports for fiber-optic cables spiked in the fall of 2024, shortly after Russia successfully used drones controlled via cable to resist Ukrainian signal jamming and retake the region of Kursk. They rose even more sharply after a Ukrainian attack on the city of Saransk in April 2025 knocked out Russia's main domestic supplier of fiber-optic cables.

Exports of lithium-ion batteries to Russia also surged as the Russian military ramped up production of battery-powered quadcopters and have remained elevated since, official records show.

"There's really no explanation that's plausible other than this is being used for the military," said Joseph Webster, a senior fellow at the Atlantic Council's Global Energy Center who has been tracking the data. "It's extremely blatant."

Similar spikes in battery and fiber-optic cable exports to Iran appeared in July and August last year, immediately after Iran's 12-day war with Israel. Iranian-backed militias used drones controlled via fiber-optic cable to take out a U.S. Black Hawk helicopter and air-defense radar system in Baghdad in March.

Cost analysis

Much of the recent trade in dual-use goods to Iran and Russia is driven by small, nimble Chinese companies that see an opportunity to capitalize on war-driven demand. Such firms rarely deal in dollars and therefore have little to fear from U.S. sanctions.

In the case of Victory Technology, the company's website appeared online in late January, when the U.S. started building up military assets in the Middle East to confront Iran.

The address listed on the website is registered to Xiamen Weituo Keli, a hardware manufacturer established in 2016 that lists business interests spanning tea and tobacco production, kitchenware and industrial design.

Weituo Keli is controlled by Chen Shuixuan, a professor of engineering at Xiamen University of Technology who has been singled out by the local government for his innovative spirit. He owns or co-owns more than 100 patents related to vending-machine design and the use of lasers for cleaning industrial surfaces.

In his response to *The Wall Street Journal*, Victory Technology's Kristoff Chen said the company was focused on selling its engines domestically for civilian drone uses. "They are not used in attack drones," he wrote. "We kindly ask you do not make any false reports."

The Victory Technology website is available in English, German, Russian and several other languages, but not Chinese. It features the L550 engine prominently in photos and a promotional video.

Another local company, Xiamen Limbach, was sanctioned by the U.S. in late 2024 for supplying the L550 to Russia for use in Shahed-type drones. Xiamen Limbach was also sanctioned by the European Union around the same time for sharing engine designs with entities involved in producing Shaheds. Its Chinese parent company also controls the German firm that originally developed the engine.

Xiamen Limbach didn't respond to requests for comment.

The U.S. can't fully stop the trade so its aim is to raise costs for Iran and Russia as much as possible, according to current and former officials.

Forcing them to rely on lower-quality Chinese parts is part of that effort, said Kerri Bitsoff, a former assistant director at OFAC who worked on nonproliferation. She pointed to reports of some Russian-made Shaheds falling out of the sky as evidence that the disruption campaign is having an effect on the battlefield.

The question is how American adversaries weigh trade-offs when wars increasingly favor quantity over quality.

"You have to do the cost analysis," Bitsoff said. "Would I rather have 100 drones that can fly for two hours, than 50 that can go for 20?"

THE WALL STREET JOURNAL.
©2026 DOW JONES & CO. INC.

feedback@livemint.com

AI is forcing CEOs to make a stark choice: lay off workers or make them do more

Chip Cutter & Lindsay Ellis

Coinbase Global Chief Executive Brian Armstrong said his company was cutting 14% of its workforce as AI changes "how we work." PayPal Holdings plans to cut 20% of its staff over the next two to three years, part of plans to step up its adoption of artificial intelligence.

Then there is Axon Enterprise President Josh Isner, who recently emailed the Taser maker's more than 5,000 staffers and told them to essentially breathe: AI won't trigger layoffs anytime soon, he assured them.

"I am thinking of AI as the thing that allows our teams to do more, not the thing that replaces our teams," Isner wrote. Even if the technology lets staff be twice or even three times as productive, there will be additional problems to solve. So, he added: "Block out the noise and keep kicking ass."

The message arrived at a moment of extreme anxiety in American corporations over how many jobs could be lost to AI's powers to speed up and supplant much of white-collar work. Among executives making such decisions, a split is emerging: Use AI to shrink the workforce or stretch it?

Those diverging philosophies have been on display on earnings calls and in other recent announcements. Armstrong said Tuesday that Coinbase would eliminate hundreds of jobs as AI becomes more embedded in the cryptocurrency exchange's operations. Staff will manage agents to do more of the work, he said.

Bed Bath & Beyond's CEO told investors last week that with AI, "we're going to experience significant reduction in head count." Meta Platforms' chief financial officer, Susan Li, questioned how many employees the social-media company would eventually need as AI is able to do more.

"We don't really know what the optimal size of the company will be in the future," she told investors last Wednesday.

At the other end of the spectrum are companies that say they can keep head counts flat—not necessarily hiring, but not firing, either—by achieving more with existing teams.

Spotify Technology co-CEO Gustav Söderström puts the choice companies face like this: They can translate productivity improvements right away into cost savings by trimming staff. Or, "The other thing you could do is to say we're going to be roughly the same amount of people—we're just going to do more."

Spotify is doing the latter: "We're keeping our head count roughly flat and just doing much more shipping, more value to consumers," he said.

Business leaders risk missing out if their use of AI is overly focused on efficiencies, said Nickle LaMoreaux, chief human resources officer at International Business Machines.



Company bosses are splitting into two camps over what the technology's best, immediate benefits are. AFP

"In your leadership discussions, are you having this idea of moving from AI to productivity to AI to growth?" she said in a recent interview. Though it is hard to predict how many people IBM will employ three years from now, "if I had a crystal ball," LaMoreaux said, it would be "more."

Yet some companies have more room to maneuver than others. At Meta, massive investments in data centers and other AI infrastructure are driving plans to lay off 8,000 people, about 10% of the workforce, CEO Mark Zuckerberg has said. Mass layoffs are also a swift way to boost the bottom line and a flagging stock price. Block and Snap shares both jumped following AI-related job cuts.

About 80% of companies using AI agents, intelligent automation or autonomous technologies said they are cutting staff, according to a recent Gartner survey of 350 people in midlevel positions and above.

Coinbase's Armstrong told employees that though there would be fewer staff, AI would allow them to get more work done. Getting leaner was necessary in a down crypto market, he said. Plus, the restructuring would better position the company for growth.

At Meta, massive investments in data centers and other AI infra are driving plans to lay off 8,000, Zuckerberg said

"Over the past year, I've watched engineers use AI to ship in days what used to take a team weeks," he wrote to staff. "This is a new way of working."

Justin Briley, who was laid off Tuesday from his content-strategy and technical-writing role at Coinbase, questioned whether fewer employees would enable growth. "We were already pretty bare bones," the 39-year-old said of his team.

Briley said he used AI to find efficiencies while working on the back-end of the company's help website, and the technology allowed him to do more.

"AI has been marketed as a solution to labor," he said, though he predicts the technology will ultimately create "more work, not less."

At companies that say they are committed to keeping staffers, change is still coming. Many positions will look much different or combine the responsibilities of a few roles at once, human-resources specialists say.

At Synchrony Financial, which issues credit cards on behalf of companies such as PayPal, Sam's Club and Lowe's, HR chief DJ Casto said he was already coaching employees to prepare not for layoffs, but for "redeployments" to new assignments. In some cases, they might be permanent shifts; others could be just for a few months.

"We're going to have to be a lot more agile," Casto said. "I talk about this openly in our workforce: We're going to have to be a lot more comfortable that it's not going to be so black and white."

At Axon, some managers say their teams have anxiety about potential job cuts, Isner said. Axon makes software in addition to security products such as Taser and body cameras, and its shares have fallen roughly 30% this year on investor jitters that AI could fuel a software apocalypse.

In his note to staff, Isner said that the company's business remained strong and that people would still be necessary even in an AI world.

"My guess is we will still need a bunch of hires," he wrote.

If anyone is in doubt, he told them, just browse OpenAI's careers page. "There's like 800 job listings," he said.

THE WALL STREET JOURNAL.
©2026 DOW JONES & CO. INC.

feedback@livemint.com

NEWS IN NUMBERS

11%
THE SHARE of Freshworks' workforce, or about 500 jobs, that the business software firm plans to cut as it reshapes operations around artificial intelligence.

₹1.98 tn
THE AMOUNT FIIs withdrew from Indian equities in the first four months of 2026, as investors shift allocations to other Asian markets with better valuations.

4.4 mn
THE NUMBER of searches conducted on RBI's Udgam portal since its launch, enabling legal heirs to locate unclaimed deposits across integrated banks.

38
THE PROPOSED new judge strength of the Supreme Court of India, including the chief justice, up from 34, after the Union Cabinet cleared a bill to add more judges.

$250 mn
THE AMOUNT Apple agreed to pay to iPhone 15 and 16 users to settle a class action lawsuit over misleading advertising of Apple Intelligence and its Siri features.

HOWINDIALIVES.COM

Emergency credit scheme to boost bank loans, limit NPAs

Brokerages say it offers crucial buffer against stress related to the US-Iran war

Subhana Shaikh
subhana.shaikh@livemint.com
MUMBAI

BLOOMBERG



India's new emergency credit scheme could turn out to be a timely tailwind for banks, offering incremental loan growth and a crucial buffer against stress linked to the West Asia war, three brokerages said.

The Union cabinet on Tuesday allocated ₹18,100 crore under the fifth edition of the Emergency Credit Line Guarantee Scheme (ECLGS 5.0), unlocking ₹2.55 trillion in additional credit flow to businesses to help them tide over the war-induced liquidity stress.

Analysts see this loan-support scheme as credit and asset quality supportive, with the sovereign guarantee structure sharply reducing downside risks for lenders.

"ECLGS 5.0 is a net positive for banks—a modest loan growth tailwind and a more meaningful near-term asset quality buffer. These loans carry zero credit risk, with no provisioning drag or capital consumption," Nomura Global Markets Research said in a 6 May note.

At a time when the market is watchful on the impact of the US-Iran war on bank asset quality, ECLGS 5.0 provides a meaningful policy cushion, the foreign bank's research note said.

The scheme allows eligible borrowers ranging from micro, small, and medium enterprises (MSMEs) to larger corporates and airlines to access additional working capital loans backed by a government guarantee. For MSMEs, the guarantee cover is 100%, while for non-MSMEs and airlines it stands at 90%.

ECLGS provides government guarantee to banks and financial institutions for additional credit extended to eligible businesses and individuals, in this case to MSMEs and airlines to help manage the war-induced liquidity crises.

The structure ensures banks can lend more without materially increasing risk on their balance sheets. Incremental funding is capped at 20% of peak working capital utilisation for most borrowers, ensuring disciplined credit expansion while still supporting liquidity.

This dual effect, supporting loan growth while containing slippages, is particularly valuable at a time when the West Asia crisis threatens to disrupt supply chains, raise input costs, and strain borrower cash flows.

For an extended version of this story, go to livemint.com.

'Q4 output growth sentiment positive'

Growth sentiment in India's manufacturing sector stays positive during the fourth quarter of FY26 despite rising input costs and geopolitical uncertainties, according to a survey released on Wednesday.

The only impact seen was in the capacity utilization, which saw a little dip at nearly 72% compared to the previous quarter. However, the future investment outlook is steady for the next six months, showed the latest Federation of Indian Chambers of Commerce & Industry (Ficci) survey for the January-March period of FY26.

The survey assessed the performance and sentiments for January-March 2025-26 of manufacturers for eight major sectors, including automobile, capital goods, chemical, fertilizer & pharmaceuticals, electronics & electricals, machine tools, metal, and textiles. **PTI**



Ted Turner was slowed in later years by Lewy body dementia. AFP

CNN founder Ted Turner dies at 87

Ted Turner, a brash television pioneer who raced yachts, owned huge chunks of the American West and transformed the news business by launching *CNN* and introducing the 24-hour cable news cycle, died Wednesday. He was 87. Turner died surrounded by his family, according to Turner Enterprises, the company that oversees his vast business interests.

He married three women—most famously actor Jane Fonda—and earned the nicknames "Captain Outrageous" and "The Mouth of the South."

He once bragged: "If only I had a little humility, I'd be perfect."

He was slowed in later years by Lewy body dementia. Long out of the television business, he concentrated on philanthropy.

His garrulous personality sometimes overshadowed a risk-taking business acumen. By the time he sold his Turner Broadcasting System to Time Warner Inc. in 1996, Turner had turned his late father's billboard company into a global conglomerate that included seven major cable networks, three professional sports teams and a pair of hit movie studios. **AP**

India's offshore tech hubs hit $98.4 billion revenue in FY26

India's offshore technology centres are expected to have generated $98.4 billion in revenue for fiscal 2026, nearing levels earlier projected for 2030, according to information technology (IT) industry body National Association of Software and Service Companies (Nasscom) and consultancy Zinnov, as global firms shift more work overseas to counter rising costs and geopolitical uncertainty.

India's role in global outsourcing has moved beyond low-cost back-office support, with companies such as JPMorgan Chase , McDonald's and Nvidia increasingly using global capability centres (GCCs) to support their headquarters through higher-value functions including finance, software development and research and development (R&D).

A large artificial intelligence-ready workforce, faster-to-scale operating models and supportive tax policies have enabled firms to expand these functions much faster than before, the report, released on Wednesday, said. **REUTERS**

Paytm reports consolidated profit of ₹183 crore in Q4

Fintech firm One97 Communications, which owns the Paytm brand, on Wednesday reported a consolidated profit of ₹183 crore in the fourth quarter ended March 2026. Paytm had posted a loss of ₹545 crore in year-ago period. The consolidated revenue from operations grew by 18.4 % to ₹2,264 crore during the reporting quarter from ₹1,912 crore in the March 2025 quarter. During the financial year ended March 2026, Paytm posted a consolidated profit of ₹552 crore compared with a loss of ₹663 crore in FY25. The annual revenue from operations of Paytm grew by 22.2% to ₹₹8,437 crore in FY26 from ₹ 6,900 crore in FY25. The firm also said it expects to grow faster than the previous year in FY27, banking on gains in market share in merchant and consumer payments and growth in the distribution of its financial services. Paytm also expects its margins to expand in the current financial year, helped by tight control on indirect expenses such as marketing and software costs. **AGENCIES**

S&P cuts India FY27 growth view to 6.6%

India's GDP growth is projected to moderate to 6.6% in the current fiscal from the earlier estimated 7.1%, and energy and food security reforms would be essential to achieve the Viksit Bharat goal by 2047, S&P Global said.

India is facing external economic shock from energy supply disruptions, rising oil and gas prices and currency volatility, and India should devise a comprehensive energy storage policy to create strategic buffers, S&P and Crisil's joint report, titled 'India Forward', said.

"As the duration of the West Asia crisis rises, we see newer stress points emerge. The rupee weakening and oil prices rising are a double whammy of sorts. It all creates pressure on growth," Crisil chief economist Dharmakirti Joshi said while releasing the report.

Joshi said amid the West Asia conflict, India should focus on energy and food security, and the fertiliser sector. "If the crisis continues, the winter crop could face (fertiliser) shortages, but for summer crops, we are reasonably well placed," he noted. **PTI**

Silver surges ₹10,368 in futures trade



On the MCX, the white metal for July delivery soared 4.24%, to ₹2,54,684 per kg. BLOOMBERG

Silver prices surged by ₹10,368 to ₹2.54 lakh per kg in futures trade on Wednesday, tracking strong global cues and easing inflation concerns after oil prices declined.

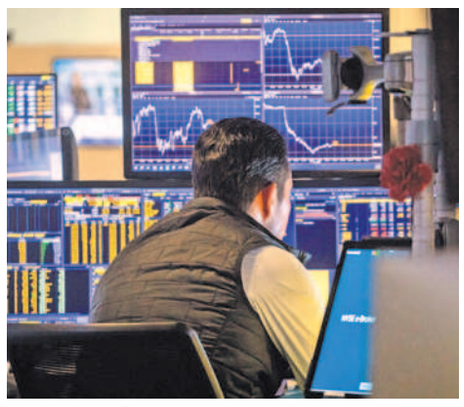
On the Multi Commodity Exchange, the white metal for July delivery soared by ₹10,368, or 4.24%, to ₹2,54,684 per kg in a business turnover of 7,193 lots.

"Silver prices have recovered from key support levels as Middle East de-escalation signals pressured oil prices, reducing inflation concerns," Renisha Chainani, Head - Research at Augmont, said.

In the global markets, Comex silver futures for the July contract rose $4.41, or 6.01%, to $78 per ounce in New York.

Chainani said the US dollar weakened against major currencies following indications of progress in US-Iran negotiations, while the Japanese yen strengthened to a two-month high amid intervention expectations.

Meanwhile, US President Donald Trump announced a temporary pause in "Project Freedom," the US military's escort operation for commercial vessels through the Strait of Hormuz, to facilitate ongoing negotiations with Iran. **PTI**



The brokers' forum sought RBI's relaxation on proprietary trade funding curbs. BLOOMBERG

ANMI, central bank officials meet

Representatives of the Association of NSE Members of India (ANMI) met with central bank officials on Wednesday, seeking a relaxation of an imminent regulatory restriction on lenders funding capital market proprietary traders, arguing that not all such trades are speculative, according to a person aware of the discussions.

While Reserve Bank of India (RBI) officials heard out the ANMI delegation, they offered no commitment , he said, requesting anonymity.

While confirming the meeting, an ANMI official said, "A lot of things get discussed. It's unfair to be point-wise and specific about what is discussed or not." "With due respect, everything discussed in a closed room is not open to transmission everywhere," the official added.

The meeting, requested for by the brokers' body, came after the central bank on 30 March deferred its 13 February circular on banks' capital markets exposure for three months through 1 July.

Proprietary traders are brokers who trade for themselves.

Other market participants include retail/high networth investors (HNIs), foreign investors and domestic institutional investors. **RAM SAHGAL**

G7 talks target critical minerals, but US-EU tariff rift to weigh

Group of Seven (G7) trade ministers meeting in Paris on Wednesday sought common ground on securing critical mineral supplies that are dominated by China, but fresh US tariff threats against European Union (EU)-made cars risked straining unity.

France wants critical minerals supplies to be among the most concrete deliverables during its G7 presidency as ministers prepare for a leaders' summit in mid-June, foreign trade minister Nicolas Forissier said.

China's share of the market for minerals used in everything from electric vehicles to defence systems is so dominant that it can set prices low enough to drive rivals out, France's Roland Lescure said on Tuesday.

G7 countries will seek to "ensure that attempts or threats to weaponize economic dependencies will fail", the trade ministers said in a joint statement.

G7 unity is also being tested by comments from Donald Trump, who said US would raise tariffs on EU-made cars to 25% from 15%, arguing Brussels was not complying with a trade deal that was agreed upon last year. **REUTERS**



Fresh US tariff threats against EU-made cars risk straining G7 unity. AFP

India electric car retail sales up 75%

Electric passenger vehicle (PV) sales in India grew 75% o 23,506 units in April, as compared to 13,421 units in the same month last year, Federation of Automobile Dealers Associations (Fada) said on Wednesday.

Tata Motors Passenger Vehicles Ltd led the market with 8,543 units in April as compared to 4,822 units in the same month last year, at a growth of 77.17%, as per Fada data.

Homegrown rival Mahindra and Mahindra Ltd came second with 5,413 units, up 63.98% from 3,301 units in April last year, followed by JSW MG Motor India with 5,006 units as against 3,777 units in the same month last year, a growth of 32.54%.

In the electric two-wheeler segment, Fada said total sales were at 148,740 units last month as compared to 92,538 units in April last year, up 60.73%. **PTI**



RBI rejected a key industry demand to allow non-banks to operate as top-tier forex dealers. AFP

RBI says no AD Cat-I for non-banks

The Reserve Bank of India (RBI) rejected a key industry demand to allow non-banks to operate as top-tier forex dealers, saying that Authorised Dealer Category-I (AD Cat-I) licences will remain the preserve of banks under its revamped framework. In its final notification on the Foreign Exchange Management (Authorised Persons) Regulations, the central bank explicitly declined the proposal that AD Cat-I licences be provided to non-banks.

"Not accepted. However, the scope of transactions permitted to AD Cat-II entities, which include non-banks also, has been expanded," the RBI said in response to the industry's demand. This effectively draws a clear boundary: while non-banking financial firms and other entities can deepen their participation in forex markets, full capital and current account convertibility privileges under AD Cat-I will remain restricted to banks. **SUBHANA SHAIKH**

Shree Cement dials back on expansion

Shree Cement Ltd, India's third-largest cement maker by capacity, has dialled back its expansion plans just weeks after rival Adani Cements flagged a similar move.

The shift signals a potential cooling of the aggressive capacity-addition cycle among India's top cement producers, who had been racing to scale up output.

"We have slowed down the capex (capacity expansion) because even in the last concall of one of our competitors, they have also slowed their aggression. So we will ride the wave as it is," chief financial officer Subhash Jajoo told analysts responding to a question on expansion in a post-earnings interaction.

Ambuja Cements had said in the last quarter's analyst call that it was open to pushing back its FY28-end target of achieving 155 million tonnes per annum capacity to FY30 as it looks to raise utilization of its existing capacity. **DIPALI BANKA**

India to host global big cat summit

India will host the first-ever International Big Cat Alliance (IBCA) summit on 1 June in New Delhi, bringing together world leaders, experts and stakeholders to shape a coordinated international response for protecting threatened species, said Union environment minister Bhupendra Yadav on Wednesday.

The summit, themed "Save Big Cats, Save Humanity, Save Ecosystem", will see participation from heads of 25 member countries and four observer countries, and will bring together over 400 stakeholders, including policymakers, scientists, financial institutions, corporates and community representatives. The IBCA, launched in 2023 under the leadership of Prime Minister Narendra Modi, is a first-of-its-kind intergovernmental alliance focused on conserving seven big cat species—lion, tiger, leopard, snow leopard, cheetah, jaguar and puma—across their global ranges. **VIJAY C. ROY**

COMMISSIONING THE EMPIRE: THE SON ALSO RISES AT SUN

With a bold $11.75 billion bet on Organon, Dilip Shanghvi is quietly building an empire for the next generation

T. Surendar & Jessica Jani
MUMBAI/BENGALURU



When Dilip Shanghvi walked into the press conference to announce Sun Pharmaceutical's acquisition of Organon & Co.—an $11.75 billion deal that will effectively double the company's revenue to $12.4 billion—he offered a rare admission.

"I'm happy, excited, also a little bit anxious," he told journalists, adding that the sheer size of the transaction reminded him of announcing the Ranbaxy Laboratories deal a decade ago.

Back then, Sun was a fraction of its current size. This time, it is acquiring a company roughly equal in size, paying for it with cash and borrowed money rather than stock, and doing so at what Shanghvi described as "less than 25% of Sun's own value."

At the surface, the Organon deal is a story about scale—a large Indian generics company buying an even larger portfolio of established branded drugs and biosimilars from a spun-off Merck subsidiary. But strip away the financial architecture, and what emerges is something more layered: a calculated play away from the US generics business, a strategic entry into China and biosimilars that Sun has long coveted, and, perhaps most quietly, the de facto commissioning of an empire for the next generation.

That next generation has a name: Aalok Shanghvi, 42, the founder's son. He was elevated as the company's chief operating officer (COO) in February 2025. For over two decades, he has built the very international business that the Organon acquisition could now turbocharge.

THE AMERICAN PLATEAU

To understand why Shanghvi moved, you have to understand what stopped moving first: the US.

In 2014, Sun Pharma was the archetype of a successful Indian pharmaceutical exporter. Its US business accounted for 60% of total revenue, built on a formidable machine of low-competition generics, speciality acquisitions like DUSA Pharmaceuticals and URL Pharma, and the crown jewel, Taro Pharmaceutical Industries. When Ranbaxy was folded in, US revenue peaked at $2.24 billion in FY15. The company was, by any measure, the No. 1 Indian pharma company in the American market.

Then the tide turned. Customer consolidation, aggressive FDA approvals and the brutal mathematics of buying consortiums stripped the generics business of margin.

In the US pharmaceutical market, large pharmacy chains (like CVS, Walgreens, Rite Aid) and pharmacy benefit managers (Express Scripts, OptumRx) band together into group purchasing organizations. They negotiate drug prices collectively. By pooling their buying power, these consortia could demand dramatic price cuts from generic manufacturers, essentially running auctions where multiple Indian and global generics companies would bid against each other for shelf space.

By FY18, Sun's US revenue had collapsed to $1.36 billion, a 36% fall in three years. This happened not because Sun was losing market share in any conventional sense, but because the pricing environment itself had structurally deteriorated.

Even as Sun's investment in specialty medicines like Ilumya (a biologic injection for treating adults with plaque psoriasis), began to pad revenue back up, the US business in FY25 stood at roughly $1.92 billion, far below the peak seen in FY15.

Incremental innovative medicines, like alopecia areata drug Leqselvi, launched last year, have continued to prop up US revenue, with Sun's innovative drugs surpassing generic sales in the US in the second quarter of FY25.

Shanghvi is too deliberate a builder to have been caught off-guard. His answer was always to find a new frontier rather than fight for margin on a battlefield already won by others. That frontier was the rest of the world. Specifically, the emerging markets that Aalok Shanghvi could quietly shape into the company's most resilient revenue engine.

> The key challenge is Organon's flat topline growth over the last three years and the $8.6 billion debt it carries. Sun hopes to cut the overall cost of debt through refinancing.

AALOK'S APPRENTICESHIP

Those who know Aalok Shanghvi well describe a man very different from his father in temperament—and strikingly similar in instinct.

Where Dilip Shanghvi is a sparse conversationalist who chooses words with the care of a pharmacist measuring a compound, Aalok is almost allergic to the spotlight. He dislikes media attention, avoids the conference-circuit glad-handing that defines most Indian pharma executives of his generation and has built a reputation among those who work with him for letting results carry the argument.

Though his family lived in the western suburbs of Mumbai, Aalok attended the 166-year-old Cathedral and John Connon School, 23 km away. The school's alumni include Ratan Tata, Adi Godrej, Yusuf Hamied and Homi Bhabha. While at school, his classmates remember him as one who liked to take it easy. He didn't fret too much about anything.

The junior Shanghvi joined Sun Pharma in October 2006 as a management trainee, fresh from a degree in cellular and molecular biology from the University of Michigan. His first real test came in 2010, when he was tasked with running Sun's operations in Bangladesh, a 'pharmerging' market characterized by high volumes, low prices and complex regulatory terrain. It was a modest posting. But it was also where the first contours of a strategy were drawn: local field forces, doctor-level relationships and branded generics with genuine equity. A model that the post-Ranbaxy Sun needed to build globally.

By 2014, Aalok had been elevated to senior general manager for international business, overseeing the emerging markets segment across roughly 80 countries. The timing was fortuitous, or, depending on how you read the Shanghvi family playbook, engineered.

The Ranbaxy merger closed in 2015 and overnight transformed Sun's emerging market exposure from a side business to a central strategic pillar. Ranbaxy's existing footprint across Romania, Russia, South Africa, Brazil and Malaysia landed in Aalok's lap.

A senior executive at Sun described the years that followed with unusual candour: Shanghvi senior was "mostly tied up with clearing the mess" of Ranbaxy's US manufacturing crises. The acquisition brought four non-compliant Indian facilities, at Mohali, Dewas, Paonta Sahib and Toansa, under Sun's roof, all shackled by a 2012 US FDA consent decree and import alerts. Sun also navigated a minefield of antitrust litigation among other regulatory nightmares.

"Aalok almost had a free hand," the executive recalled. What he did with that freedom was restructure the organizational reporting of the entire emerging markets business, bring in fresh talent and apply the playbook that Sun's India team had spent decades perfecting—build brand equity with doctors, extend product lines and avoid tender-driven commodity contracts.

"Even in the Ranbaxy deal, the emerging market piece worked out well and Aalok was there. He restructured the whole thing and now the business is firing well in terms of profitability," said Kirti Ganorkar, chief executive officer (CEO), India business, Sun Pharma.

By FY24, the emerging markets segment crossed $1 billion in revenue. Dilip Shanghvi called it a milestone. Industry analysts noted that this business was growing at double-digit rates even as peers like Teva Pharmaceutical Industries and Viatris struggled with their own international exposures. For a man who prefers the scoreboard to the press box, the numbers were Aalok's most eloquent statement.

Dilip and Aalok Shanghvi did not speak to *Mint* for this story.

THE CHESS MOVE

Now consider what the Organon acquisition does in this context. Spun off from Merck in 2021, it is a $6.2 billion company with three business segments: women's health (contraception and fertility); established brands (a portfolio of 50 well-known off-patent drugs), and biosimilars (eight products).

Organon has struggled to grow, averaging roughly 1-2% topline rise annually. But it has something Sun does not: a global commercial platform in 140 countries, a dominant presence in China, meaningful biosimilar infrastructure and stable ebitda margins above 30%.

Ebitda is earnings before interest, taxes, depreciation and amortization.

"Sun's Organon deal is a clever one. For starters, they got it really cheap and it immediately gives Sun legs in the Chinese market, which is now considered the hotbed of innovation in the global pharmaceutical industry," said Vijay Karwal, managing director at CBC Group in Singapore, an investment firm.

He added that China, beyond being the second-largest pharmaceutical market globally, is where a generation of biotech startups has sprouted—fertile territory for Sun to strike licensing deals and partnerships.

"The deal brings in scale and a distribution network vital to furthering Sun's branded generic business. So even though this business may not be fast-growing on its own, it gives Sun a much larger platform to market new launches," Karwal further said.

The China dimension alone is transformative. Sun's presence in Greater China before Organon was limited to out-licensing arrangements for Ilumya through China Medical System Holdings. Post-acquisition, Sun inherits over $800 million in Chinese revenue anchored by eight large brands, including Propecia (used in the treatment of male hair loss), which commands strong equity despite the presence of 25-30 generic competitors.

Suresh Subramanian, leader of National Life Sciences at EY-Parthenon India, argues that the market has been reading this deal too narrowly. He frames the acquisition as something architecturally different from most cross-border pharma deals. "It is a platform acquisition rather than a market acquisition. There is an opportunity to leverage this platform to develop and expand portfolio, cross-sell, penetrate markets and leverage Make in India," he said.

Industry observers see the deal reshaping how Indian companies approach global ambition, drawing a comparison to previous big-ticket deals like Biocon's acquisition of the biosimilars business of Viatris Inc. in 2022.

The biosimilars opportunity is equally consequential. Sun currently has no meaningful biosimilar business outside India. Organon's platform, growing at 13% CAGR with eight products and partnerships with Samsung Bioepis and Henlius, vaults Sun to No. 7 globally in biosimilars. With an estimated $320 billion in biologics losing patent protection by 2035, the addressable biosimilar market could reach $70 billion.

Sun's strategy will be to in-license near-market products rather than build its own manufacturing from scratch, a rational choice given that independent biosimilar manufacturing takes five to eight years to establish.

Liked this story? Share it by scanning the QR code.

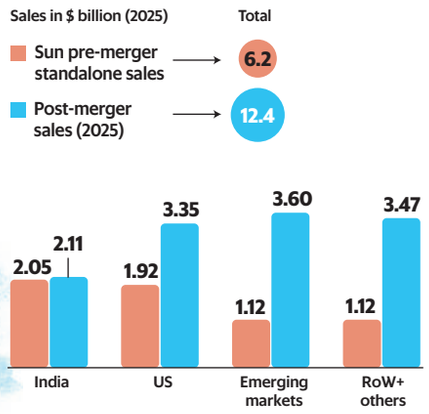
THE VERDICT

The institutional verdict has been unambiguous, if nuanced. Motilal Oswal described the acquisition as a "transformational fit with disciplined

TURN TO PAGE 11

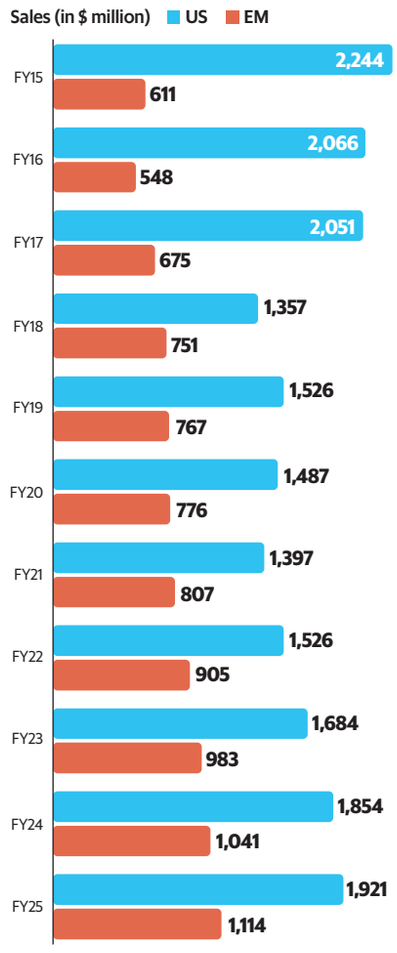
THE MATH SO FAR

What do Sun-Organon's combined sales look like post-merger?



Source: Sun Pharma investor presentation

How Sun's US and emerging market sales have grown post-Ranbaxy



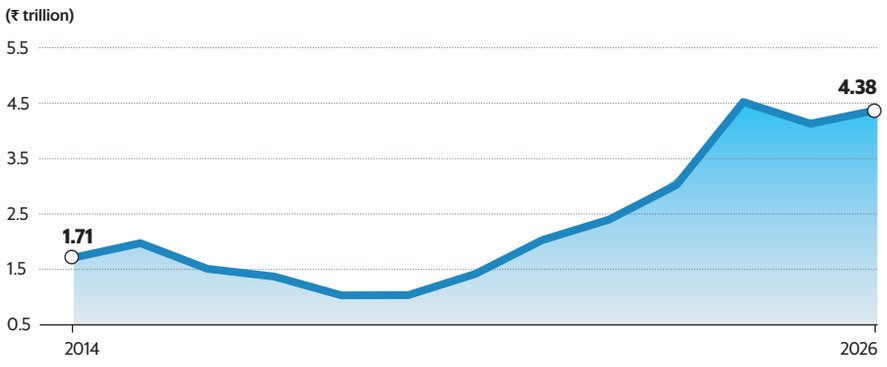
Source: Company annual reports

Sun's growth progression (2021–2025) in emerging markets

	EM revenue ($ million)	Key strategic milestone
FY21	807	Licensing/distribution agreement with Hikma for ILUMYA in MENA.
FY22	905	Launch of Ilumetri in Romania; acquisition of Uractiv portfolio.
FY23	983	Strong double-digit growth in Brazil and Romania.
FY24	1,041	EM crosses $1B; Ilumetri included in China's reimbursement list.
FY25	1,114	Field force reaches 2,900+; business described as "highly profitable".

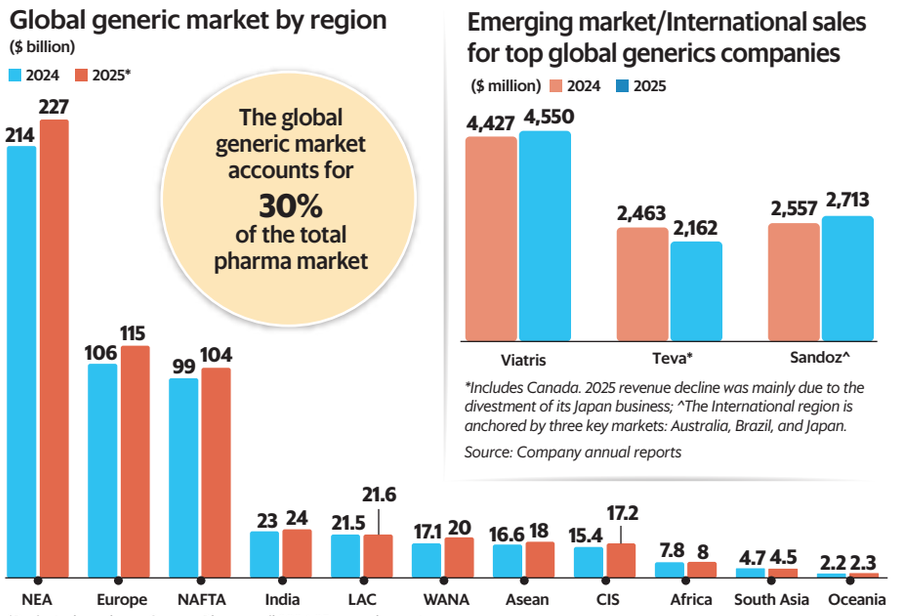
Source: Company annual reports

Sun Pharma's market capitalization



Data as of the end of each year; 4 May for 2026.
Source: Bloomberg

Global generic market by region



**Projected numbers Source: Pharmexcil 2024-25 annual report*

***NEA**: Nuclear Energy Agency countries (33); **NAFTA**: Canada, Mexico, US; **LAC**: Latin America and Caribbean; **WANA**: West Asia and North Africa; **ASEAN** : The Association of Southeast Asian Nations; **CIS**: Commonwealth of independent states; **Oceania**: Australia, New Zealand, Fiji ++ (14 countries)*

Emerging market/International sales for top global generics companies

**Includes Canada. 2025 revenue decline was mainly due to the divestment of its Japan business; ^The International region is anchored by three key markets: Australia, Brazil, and Japan.*

Source: Company annual reports

mint

ILLUSTRATION: TARUN KUMAR SAHU; GRAPHIC: GOPAKUMAR WARRIER/MINT

mint KEY NUMBERS

$11.75 BILLION
The value of Sun Pharmaceutical's acquisition deal with Organon & Co., a company spun off from Merck in 2021.

$2.24 BILLION
Sun's US revenue in FY15 after the Ranbaxy acquisition. Sun was the No. 1 Indian pharma company in the American market.

$829 MILLION
The Chinese revenue Sun would inherit after Organon acquisition. China is the world's second-largest pharmaceutical market.

Don't let Idle cash lose its value: put it to work with sweep-in FDs

Savings accounts typically earn 2-4%, often well below inflation of 4-5%, eroding purchasing power over time

Ananya Grover
ananya.grover@livemint.com
MUMBAI

A savings bank account is the default parking spot for emergency funds. It is liquid, familiar and easy to access. But large idle balances kept "for safety" often earn just 2-4% interest—not enough to beat inflation. Over time, that quietly erodes purchasing power.

To address this, banks offer sweep-in facilities, also known as auto-sweep or sweep fixed deposits (FDs). Many financial advisors recommend parking part of an emergency corpus here to earn better returns without compromising liquidity.

How sweep works

A sweep-in (or sweep-out) feature links your savings or current account to a FD.

When your account balance crosses a preset limit, excess funds are automatically swept into an FD. If your balance falls below a threshold, the bank breaks the FD partially or fully and credits the funds back.

In effect, you earn FD-level interest on surplus cash while retaining withdrawal flexibility. Different banks structure it differently.

For instance, Federal Bank offers it as a 'Sweep Plus' current account. Joy P.V., the bank's executive vice president and country head-retail liability and fee products, explained that under this product, a pre-defined threshold limit is set for the account balance, and any amount above this is automatically swept into a linked term deposit.

According to him, the facility is particularly useful for customers with high-value and frequent transactions, as it allows them to earn interest on surplus funds that would otherwise remain non-interest-bearing in a regular current account, while retaining liquidity.

Federal Bank's minimum sweep threshold is ₹3 lakh. Any balance above this is swept into a 181-day deposit in multiples of ₹25,000, currently offering around 6% interest. When funds are required, the bank sweeps back money in multiples of ₹1,000. The sweep-out happens on the principal component first.

The bank offers this facility on premium savings and salary accounts.

Sweep thresholds, FD tenures (typically shorter spans) and interest rates vary across banks. Private banks offer more flexibility but public sector banks often have lower balance requirements but stricter structures.

FIFO vs LIFO

A critical but often ignored detail is whether the sweep follows FIFO (first-in, first-out) or LIFO (last-in, first-out). This determines which FD is broken first when funds are withdrawn.

In a FIFO system, the oldest FD is broken first. In a LIFO system, the most recent deposit is broken first. While some private lenders such as HDFC Bank and ICICI Bank typically follow a LIFO approach, State Bank of India is among the few that allows customers to choose between FIFO and LIFO. For several public sector banks the methodology may vary by product.

This distinction matters because interest rates fluctuate over time. When rates are rising, FIFO helps preserve newer deposits that carry higher interest. LIFO, in contrast, may break those higher-rate deposits first, reducing overall returns. The reverse holds when rates are falling.

Amol Joshi explained that FIFO works best when FD withdrawals are predictable and earlier deposits were made at higher interest rates. In such cases, breaking older deposits first ensures that funds which have already benefited from better rates are utilized, while newer deposits remain invested.

Joshi added that banks may impose a minimum tenure or cooling-off period for FDs, which could range anywhere between 15, 30 and 90 days. If funds are withdrawn during this period, the depositor could earn even lower than the savings account rate. This is especially relevant if the bank follows a LIFO method and breaks the latest deposit.

The cost of flexibility

Sweep accounts are often marketed as "free", but the cost lies in premature withdrawal penalties.

When an FD is broken early, banks recalculate interest based on actual tenure and apply a penalty—typically 0.5% to 1%.

> A sweep-in (or sweep-out) feature links savings to FDs, earning higher returns while retaining liquidity

Raj Khosla, founder and managing director of MyMoneyMantra, said banks effectively charge for this flexibility by recalculating interest and applying a small reduction when deposits are prematurely withdrawn. "This makes it best for both banks and the account operator," he said.

For customers, it still tends to be more rewarding than keeping idle money in savings accounts. For banks, penalties compensate for disruptions in fixed-tenure deposit planning.

Santosh Agarwal, CEO of personal finance app Paisabazaar, explained that unlike a traditional fixed deposit where the entire amount is locked in for a fixed tenure at a pre-defined interest rate, auto-sweep facilities do not have a separate structure.

She added that this gives sweep facilities a liquidity advantage over traditional FDs, as funds can be accessed seamlessly without manual intervention. While the core mechanism remains broadly similar across banks, parameters such as threshold limits, FD tenure and interest rates can vary, she said.

Emergency fund strategy

According to Khosla, sweep-in accounts can serve as an effective vehicle for emergency funds. Since emergencies are unpredictable, this structure allows funds to remain accessible while earning higher returns than traditional savings accounts, which may offer as little as 2.5-3% interest.

Khosla added that sweep facilities automate allocation between savings and deposits when it is hard to predict the right balance.

However, if you already have a well-defined emergency corpus, Amol Joshi said you may be better off parking it in an FD, liquid fund or arbitrage fund. Frequent sweep-ins and sweep-outs can reduce effective returns.

How users are adapting

Yagnik Manhas, 26, who serves in the paramilitary forces, uses sweep-in on his account with a public sector bank. Around 50-60% of his income automatically moves into FDs, which he taps for emergencies. The goal is to ensure idle funds do not lose value.

A 27-year-old fraud analyst, who spoke on condition of anonymity, uses it as a short-term liquidity buffer. In his case, if he withdraws ₹10,000 from a ₹1,00,000 linked deposit and restores it before the end-of-day cutoff, the FD may remain intact. However, this depends on the bank's specific mechanism. Some banks break deposits immediately, reducing returns.

Joy P.V. of Federal Bank said funds remain fully liquid and accessible instantly. Sweep-outs from savings to FD typically happen at the end of the day, while withdrawals break the required portion of the FD in real time. There are no limits on sweep-in transactions.

Expert view

Abhishek Kumar, founder of SahajMoney, said that in a stable interest rate environment like the current one, where the repo rate has moderated, sweep accounts help depositors maintain reasonable yields without requiring active management.

They allow users to lock in prevailing FD rates on idle balances while retaining flexibility.

He noted that sweep-in deposits can be suitable for emergency funds, especially for those uncomfortable with liquid mutual funds. However, the choice depends on the trade-off between liquidity, returns and risk.

Interest earned on sweep deposits is treated as FD income and subject to tax deduction at source (TDS) and income tax at applicable rates. Frequent withdrawals can also reduce effective returns depending on how deposits are broken.

A practical middle path

Sweep-in accounts offer a practical middle ground between savings accounts and fixed deposits, combining liquidity with better returns.

They are particularly useful for managing emergency funds or large idle balances without constant manual intervention.

However, their effectiveness ultimately depends on how often funds are withdrawn, the applicable penalty structure, the FIFO or LIFO method, and the tax treatment involved.

For those who understand these nuances, sweep accounts can be a simple yet efficient cash management tool, especially in a low savings rate environment where idle cash comes at a real cost.

Liked this story? Please share it by scanning the QR code.

Savings vs sweep

Here is how sweep-in works and why you are better off parking the extra surplus in a fixed deposit.

Sweep out

Sweep threshold on savings account	₹1 lakh
Excess money deposited	₹35,000
Interest on savings bank account (SB)	2.50%
Interest on fixed deposit (FD)	6%

	Without sweep	With sweep
Money parked in SB and FD	₹1.35 lakh in SB	₹1 lakh in SB+ ₹35,000 in FD
Interest earned at the end of 90 days	₹832	₹616 in SB+ ₹518 in FD=₹1,134
Gain through sweep-out		₹302 extra

Sweep in

After 45 days, saving balance falls by ₹10,000
Sweep in activated as savings fall below threshold
₹10,000 withdrawn from FD

A) Interest earned on ₹25,000 for 90 days	₹370
B) Interest recalculated for ₹10,000 withdrawn for 45 days at 5.5% (0.5% penalty)	₹68
Total interest on FD at the end of 90 days (A+B)	₹438
Loss due to premature withdrawal penalty	₹80
Added ₹616 interest earned on savings of ₹1 lakh	₹1,054



Note: This is an illustrative example with simple interest calculation as it assumes Interest rate calculated daily is paid quarterly. The interest rates both savings and FD, minimum threshold, and penalty rates may vary according to the bank's policies

Comparison of sweep-in products offered by some banks

Bank name	Product name	FD tenure	Minimum threshold amount in savings a/c to activate sweep-out
Axis Bank	Auto Fixed Deposit	6 months to 5 years	₹25,000
HDFC Bank	Savings Max Account	1 year 1 day	₹1 lakh
	Women's Savings Account		₹75,000
	Kid's Advantage Account		₹25,000
ICICI Bank	Money Multiplier FD	1 year or tenure specified by depositor, whichever is higher	₹15,000
Kotak Mahindra Bank	ActivMoney	180 days	₹25,000

Data as of 5 May 2026
Note: Rate of interests on FD depends on different bank policies and sweep threshold is customisable for most private banks with minimum limit fixed. Source: Paisabazaar

mint

GOPAKUMAR WARRIER/MINT



POWER POINT
VISHAL DHAWAN

Respond to this column at
feedback@livemint.com

A TOUGHER MACRO NEEDS A SMARTER PORTFOLIO RESET

In recent months, investor concern is rising as inflationary pressures, once seen as transitory, risk becoming entrenched. The drivers are clear: disruptions to energy infrastructure in West Asia pushing oil and gas prices up, persistent supply-chain constraints, and a domestic agricultural squeeze driven by a weaker-than-expected monsoon and elevated fertilizer costs.

The Reserve Bank of India's decision to raise 2026-27 inflation forecast to 4.6% from 4% signals that risks are real. More concerning is the downgrade of growth projections from 7.6% to 6.9%—a "double whammy". For investors, it is akin to climbing a steep incline with a heavier load, as preserving real returns becomes challenging. India's deep consumption base offers insulation, but not immunity.

Rewriting the rulebook

When macro conditions shift, conventional portfolio rules require surgical reassessment. Mind the debt trap: As interest rates rise to anchor inflation, highly leveraged companies feel the strain. Interest-coverage ratios tighten. Balance sheets begin to matter more than bold projections.

This is not a "growth at any price" environment. Investors must tilt towards businesses with strong free cash flows and low debt. Such companies can absorb higher borrowing costs without compromising reinvestment capacity or shareholder returns.

Elasticity of demand: In an inflationary cycle, pricing power is the ultimate moat. Firms offering non-discretionary goods and services, products consumers cannot eliminate, retain the ability to pass on input costs. If a business can protect margins without sacrificing volumes, it demonstrates quality. That resilience safeguards capital when inflation compresses weaker players.

Role of real assets: When purchasing power erodes, tangible assets act as shock absorbers. Strategic exposure to precious metals and commodities can generate "inflation-plus" returns that paper assets may struggle to match.

Investor's action plan

A holistic approach looks at every corner of your portfolio to ensure no asset class is left vulnerable to the "double whammy".

> Rising inflation, slowing growth make it harder for investors to preserve real returns

Fixed income: In fixed income, rising rates amplify price risk—especially for long-duration bonds. Investors should pivot towards shorter-duration debt funds or high-quality corporate bonds, which are less sensitive to rate hikes. Laddering fixed-income maturities becomes crucial. By staggering maturities, investors can reinvest proceeds into higher-yielding instruments as rates rise—transforming an inflation headwind into a reinvestment tailwind.

Equities: In equities, speculative, cash-burning businesses carry disproportionate risk. The pivot should be towards defensive sectors such as consumer staples and healthcare. Within the sectors, the focus must remain on quality—companies with high return on equity (ROE), consistent earnings visibility, and low leverage. These "cash-cow" franchises tend to outperform during periods of margin compression and economic deceleration.

Real estate: Residential real estate demand can soften under rising mortgage rates. Commercial real estate, however, particularly via REITs, often incorporates inflation-linked rental escalations. As living costs rise, so too can rental income, creating a natural hedge against inflation. That said, given the strong run-up in this segment, exposure should be built cautiously and selectively.

Commodities and gold as hedge: Gold remains India's traditional hedge—and with reason. In a low-growth environment where the rupee may face pressure, gold serves as an international store of value. Its role is not to generate aggressive returns, but to stabilize portfolios during currency stress and macro uncertainty.

International diversification: Geographical diversification remains underappreciated. While India's long-term story remains intact, concentration risk can magnify cyclical shocks. Holding assets across currencies and geographies reduces dependence on domestic variables—whether monsoon variability or West Asian oil volatility. Exposure to global equities can help balance localized slowdowns.

Bottom line

High inflation combined with slowing growth creates a challenging investment landscape—but also a clarifying one. This is not a time for panic. It is a time for deliberate rebalancing. Prioritize quality over speculation. Shorten debt duration. Strengthen real asset allocation. Diversify geographically. Disciplined investors who adapt early can navigate the incline—and emerge stronger when the cycle turns.

Vishal Dhawan, founder, Plan Ahead Wealth Advisors.

Decoding the architecture of Dilip Shanghvi's global empire

FROM PAGE 10

math".

Emkay Global took a sharper view of the strategic logic, framing the deal as a decisive break from Sun's recent acquisition template. "Sun's Organon acquisition marks a clear departure from its recent acquisition template—multiple sub-$500 million assets over the years versus adding a company of its own scale as part of a single acquisition," the brokerage wrote.

ICICI Securities, which raised Sun's target price to ₹2,000 and maintained its 'buy' rating, highlighted the deal's strategic logic around execution history. "Sun's superior track record of identifying undervalued and distressed assets," the brokerage noted, "makes us confident of management's pedigree and bandwidth to address key near-term challenges of growth and debt with the Organon deal."

The key challenge, the brokerage firm noted, is Organon's flat topline growth over the last three years and the $8.6 billion debt it carries. Sun hopes to reduce the overall cost of debt through refinancing.

Sun Pharma's share price closed at ₹1,820.80 apiece on 5 May 2026 on the NSE. Over the past year, its stock has remained flat, inching up less than 1%, while the benchmark NIFTY pharma has gained 11.21% over the same period.

The brokerage pointed to Taro and Ranbaxy as precedents—both deeply troubled at acquisition, both substantially turned around.

Sun Pharma's takeover of Taro, an Israeli generic firm, was plagued from the start in 2007 by a three-year legal war and Israeli Supreme Court disputes, compounded by inherited financial reporting failures that left the company in breach of loan covenants. By 2024, Taro reported net sales of $629.2 million, growing steadily from $392.5 million in fiscal 2010.

Sun's ebitda margins fell sharply post the Ranbaxy deal in 2015, from 40-45% to near-term quarterly lows of 14-18%. It has stabilized back to 29% by FY25.

Not everyone is without reservation. The Emkay note acknowledged what it called the only question around the fair multiple for Sun going forward: the decline in the domestic India sales contribution to roughly one-sixth of combined revenue, compared to one-third currently. For investors who have prized Sun's India business as a premium-multiple anchor, the dilution of that weight in the blended portfolio is a legitimate concern, even if the overall revenue mix improves in quality.



Aalok Shanghvi, COO of Sun Pharma, and Dilip Shanghvi, executive chairman of Sun Pharma.

THE SUCCESSION SIGNAL

There is a third dimension to the Organon deal that Shanghvi hasn't articulated directly. However, the structure of the deal, and the timing of Aalok's elevation, makes it hard to ignore.

Dilip Shanghvi, now 70, acknowledged at the press conference that any major decision he now takes involves his family, "because they have to deal with the implications" long after he is gone. That is both an admission of age and a statement of intent.

By investing $11.75 billion into a business anchored by the exact segment—branded generics in emerging markets and established international geographies—that Aalok has built and run for the better part of a decade, Shanghvi is not simply buying growth. He is setting up an inheritance.

Aalok's appointment as COO in February 2025, over a year before the Organon announcement, was the first signal. His portfolio now includes emerging markets, global R&D, global business development and the API business. He also oversees the US business now which is run by CEO Richard Ascroft since June 2025.

Post-Organon, the combined emerging markets and rest-of-world business will account for over 50% of Sun's revenue, the largest segment the company operates, and the one Aalok knows best.

NEW AMBITION MAP

The broader context in which all of this unfolds is a global generics industry under siege.

Teva, burdened by litigation and structural debt, has spent recent years rebuilding its balance sheet and pivoting its portfolio. Viatris, meanwhile, has divested billions in assets to simplify its business and fund new product development. Sandoz, freshly independent (it separated from Novartis in 2023), has declared its ambition to dominate global biosimilars in regulated markets.

What distinguishes Sun's model from the other three is geographic diversity backed by genuine brand equity rather than volume. Where Teva and Viatris derive most of their international revenue from commodity generics sold on price, Sun's branded generics in emerging markets are grown the way India grew them—through sustained doctor relationships, clinical detailing, and incremental product innovation.

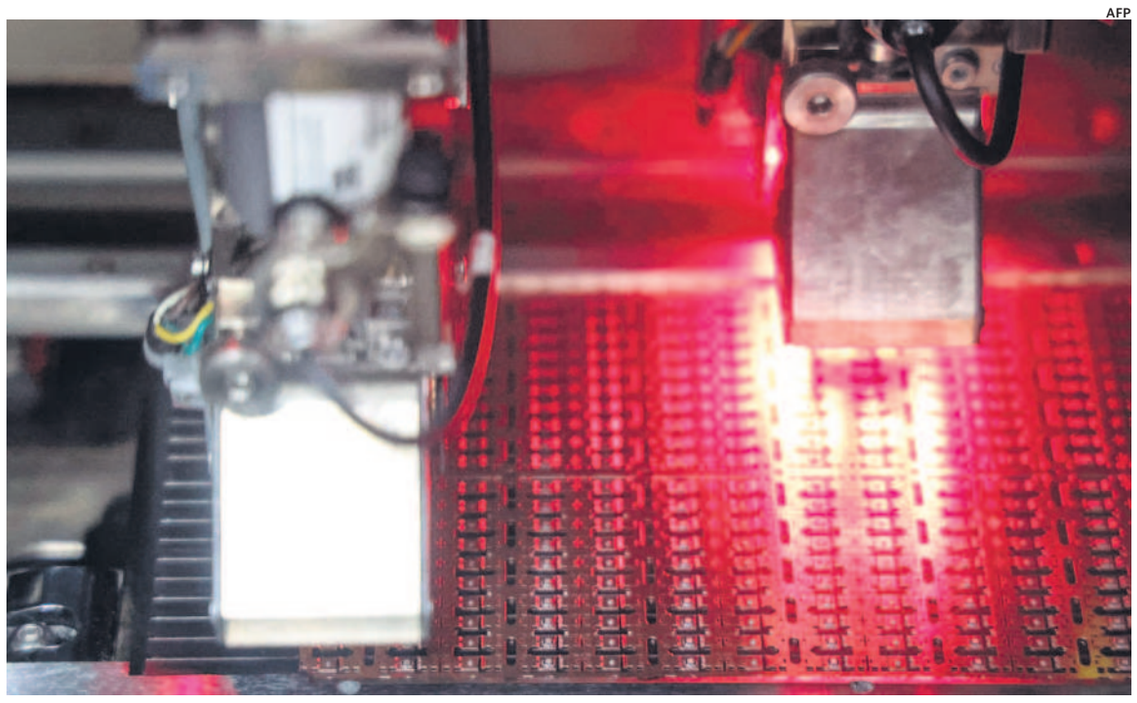
Post-Organon, 29% of Sun's revenue will be generated from emerging markets alone. Another significant chunk will come from the expanded rest-of-world business, including a substantially strengthened Western European presence through Organon's retail front-end. The US, once Sun's identity, will account for less than a quarter of total revenue.

That shift is not a retreat. It is, in Sun's own framing, the realisation of what Dilip Shanghvi called the company's "second belief" — articulated quietly but with evident conviction. "There's an opportunity to build a successful, multinational pharma company out of India," he had once said.

The company has now built that multinational. The question for the next decade, and for Aalok Shanghvi is whether he will follow his father's footsteps, or do better. He is unlikely to say. He would rather let the results speak.

surendar.t@livemint.com

OUR VIEW


AFP

AI chips are hot but our bets need to be hedged

As semiconductors ride a global boom in AI expectations, India's approach to chipmaking isn't just less dazzling but also less likely to fail the test of rapidly shifting demand patterns

The surging shares of US chipmakers such as Intel and Micron point to a deeper shift in artificial intelligence (AI). First, the narrative is moving from a speculative buzz around AI models to hard spending on the infrastructure that powers them. Second, big money is flowing into computing power and memory, the choke points of the AI economy. For India, these shifts augur well. The country is building 12 semiconductor plants (including a full-fledged fab facility), pursuing 2 nanometre and 3nm chip-design alliances and subsidizing AI chips for startups working on Indian language and voice models. India's AI Kosh repository hosts nearly 10,500 local datasets and about 300 models across 20 sectors, forming a data backbone linked to Aadhaar, UPI, *et al*. Progress on chip design is tangible. Various institutes have used government-backed tools to design and produce roughly 150 chips at the 180nm node. New Delhi has cleared 24 semiconductor and system-on-chip design projects across strategic areas—from video surveillance and drone detection to energy metering, microprocessors, satcom services, broadband and internet-of-things. Some 14 firms have raised over ₹650 crore in venture funds to scale these efforts, while work is on for chip fabrication at more advanced nodes (such as 12nm). India also has supply chain links with the US, EU, Japan, Singapore and the Netherlands.

That is a lot of action. Chip advances are a must for success in electronics overall, not just AI. However, this is not a field for the faint of heart, given how fast its dynamics can shift. Chip fabrication is capital-intensive, requiring time and scale, apart from technical depth and execution skills. Global leaders like TSMC took decades to achieve dominance. India's fabs, many of which are being built with foreign partners, should be ready for a long slog too. How demand and supply match is never easy to foresee. Training and deploying large AI models locally would require enormous processing power and high-bandwidth memory, but the current focus of Indian fabs is on 28-120nm chips that largely serve the automotive, electronics and telecom sectors. The country has a little over 150 data centres, of which only about 11 cater to AI workloads; cutting-edge AI would call for advanced nodes, specialized accelerators and tightly integrated ecosystems for which they will have to rely on inputs from firms like ASML Holding, Synopsys and Cadence Design Systems. Besides, fabs are only the base of an AI ecosystem. How well such a base is ultimately used depends on cloud infrastructure, talent, power supply, enterprise adoption and the viability of business models.

Will demand patterns evolve to suit today's chip thrust? Globally, the surge in AI capital expenditure rests on expectations that may or may not materialize. If they do, India could snap into global supply chains while supporting domestic ambitions. However, if an AI boom goes bust, capital-intensive parts of the stack would be early casualties; chipmakers that lack buffers of steady demand would suffer. Indian players with diversified bets would fare better against volatility. As a strategy, an approach that's hedged for both outcomes would suit us best. In all, our fab pursuits must go alongside rapid chip adoption across sectors, even as we strengthen India's digital infrastructure, augment our energy capacity and import the top-end chips we dearly need—even if they are subject to a regime of trade nods and quotas.

MY VIEW | MYTHS AND MANTRAS

Beijing is playing the long game and even America is vulnerable

China's focus on self-reliance and dominance of key technologies has left the world dependent on it



DEVINA MEHRA
is founder of First Global and author of 'Money, Myths and Mantras: The Ultimate Investment Guide'. Her X handle is @devinamehra

Recently, I attended a lecture on 'Long-term missions in a short-term world' by S. Gurumurthy. To me, the biggest example has been China. It has not only had an astounding growth story over nearly fifty years, it has been strategic in its intent and execution.

China's GDP grew 5% in the first quarter, well ahead of estimates. We like to fault China on many fronts, including its deteriorating demographics, excess construction and export dependence. Plus it is growing less than India's 7%-odd per annum. But the Chinese economy is about five times the size of India's. China's 5% growth rate versus India's 7% means that China adds 25 units to its GDP for the seven units we add. In just 5-6 years, it can add a whole Indian economy, so to speak.

Now for research and development (R&D) spend. As a percentage of GDP, China spends 7 times what India does. Therefore, in nominal terms, China spends 35 times what India does and the difference shows in results.

China's 2021-25 Five-Year Plan placed technological self-reliance at the core of development, shifting focus from high-speed growth to high-quality, innovation-driven security. It identified seven 'frontier areas' for major science and technology projects where it was looking for self-reliance, breakthroughs and dominance: Artificial intelligence (AI), quantum information, integrated circuits, biotechnology and health sciences, deep-earth, deep-sea and polar exploration, aerospace and space technology and brain science and neuromorphic computing.

Strategic emerging industries that were prioritized for immediate upgradation included: New energy vehicles, advanced manufacturing, high-end robotics, smart production and heavy equipment, next-generation information technology, green tech, etc. There were also plans to upgrade the digital economy and infrastructure.

Has China delivered on it? For sure. China is now the only technology rival to the US. For instance, the top five Chinese EV manufacturers control 43% of the market, with BYD alone at 20%.

Now comes the next five-year plan from 2026 to 2030. It focuses on two main tiers of technology: strategic emerging industries, which are ready for large-scale industrial use, and future industries, which represent the next frontier of global competition.

The first category includes massive deployment of the 'AI Plus' initiative to integrate AI across manufacturing, healthcare and governance; focus on high-end robotics, industrial machine tools and 'intelligentized' production systems; further dominance in EVs; large-scale commercialization of biomedicine and innovative drug development as well as expansion of drones and commercial space exploration.

Then the plan identifies specific "industries of the future" to gain a first-mover advantage. These include quantum technology, next-gen networks including 6G mobile technology, human-machine integration (including focused development of a brain-computer interface) and humanoid robots. Plus unconventional energy options like nuclear fusion power and hydrogen, as well as bio manufacturing.

We are practically in science fiction territory now. Self-reliance is a key theme to reduce dependence on any foreign technology or materials in all these areas. The unstated part is to make others reliant on you.

In an article in *Fortune*, 'America shot its arsenal empty in 2 wars. Now it needs Beijing's permission to reload,' Steve H. Hanke and Jeffrey Weng set out why China is critical to America's attempt to build back its depleted war arsenal.

Here are the facts: "The Center for Strategic and International Studies finds that in Iran alone, the United States burned through 45% of its Precision Strike Missile stockpile, half of its THAAD interceptors, nearly half of its Patriot PAC-3 inventory, roughly 30% of its Tomahawks, and more than 20% of its long-range JASSMs."

There is now a real risk of running out of ammunition. And production cannot be restarted without a go-ahead from Beijing. Too many of the critical raw materials needed flow almost exclusively through China. For instance, each Tomahawk cruise missile's fin actuators run on samarium-cobalt magnets. China mines and refines 99% of the world's samarium and placed it under export licensing in April 2025; the Patriot PAC-3 interceptor uses samarium-cobalt and yttrium-iron-garnet phase shifters. Besides samarium, China supplies 93% of US yttrium imports; the fin servos and seekers of JASSM-ER stealth cruise missiles run on neodymium-iron-boron magnets doped with dysprosium and terbium for thermal stability. China refines the vast majority of the world's dysprosium and terbium; F-35 Lightning II contains 920 pounds of rare earths, most of which have been put under licence by China.

"Across these four weapon systems, the back-of-the-envelope replenishment requirement is between five and ten metric tons of finished defense-grade rare earth magnets, more than 95% of which will arrive from China."

Beijing has nearly all rare earths as well as antimony, gallium, etc, under licensing or in control. It's been playing the long game and has got the world and the US exactly where it wants it.

10 YEARS AGO


mint

Viacom 18 CEO Raj Nayak on Indian TV industry

Cognizant Q1 revenue declines 0.9%

MIGRATION TO METROS NEEDS TO BE TACKLED: POLL

SC grants Sahara chief Subrata Roy 4-week parole

SC orders floor test in Uttarakhand assembly

In online push, Reliance Jio's LYF devices arrive on Amazon

JUST A THOUGHT

A facility to fabricate the most advanced logic chips costs twice as much as an aircraft carrier but will only be cutting-edge for a couple of years

CHRIS MILLER

MY VIEW | WORLD APART

Prepare for seasons of discontent even if the war ends

RAHUL JACOB



is a former Financial Times foreign correspondent.

More than two months on from the beginning of the third Gulf War, despite warnings of oil and gas shortages in the coming weeks, stock investors in the US have used bad news to buy on the dips. This is business as unusual: incredibly, the S&P 500 index posted a staggering one-year return of 29% as of 1 May.

Ruchir Sharma, author of *The Rise and Fall of Nations*, identified retail investors as the engine pulling what might be called the perpetual bull market—now more than a decade-and-a-half old. "Americans are all in on the market, holding more wealth in stocks than their homes, for the first time," he wrote in the *Financial Times*. "Retail's share of daily trading in US stocks doubled in the last 15 years to 36%."

The war plays out on TV screens that seems akin to a video game for most investors. And this is not just a US phenomenon. The Korean Kospi has seen a 27% gain over the past month, surging 5% on 4 May alone to an all-time high. Both Korea and the US will be primary beneficiaries if the gains from artificial intelligence (AI) measure up to the hype. But in the meantime, fuel prices are surging and economies such as Korea and Taiwan are especially exposed.

The optimism bug extends even to central banks. Instead of raising interest rates in anticipation of higher prices, most have adopted a wait-and-see approach. The Bank of Japan, seeking to exit an era of easy money, had signalled a hike in April, but then elected not to raise rates partly because the Takaichi government prefers the *status quo*. This creates a self-reinforcing loop that propels stocks higher because, as Sharma observes, "investors have come to believe the government will always bail them out."

There is certainly some good news. First-quarter results in the US were much stronger than forecast. The world is much more energy-efficient than it was when oil shocks of the 1970s hit, in part because the pain is initially being felt inevitably across the developing world. Writing in the *Financial Times* this week, Christof Rühl of the Center on Global Energy Policy at Columbia University made the point that we need 60% less oil for every $1,000 of global gross domestic product (GDP) at 2025 prices than we did in the 1970s. But, Rühl went on to warn: "Oil consumption today is more concentrated in high value uses and in areas where there is no substitute, like road or air freight and maritime shipping. These are (crucial) economic activities... once disrupted they are likely to cascade through the economy." The correct parallel this summer and next year may be the covid-style seizing up of supply chains, in slow-motion perhaps compared to the pandemic. Fifty years on, the great economic story of our age has been a shift in global supply chains to East Asia, but that miracle is vulnerable to a breakdown in oil supplies as well as helium because of the Strait of Hormuz blockade.

A recovery from the third Gulf war's shock will take much longer than markets seem to imagine

Of all things, helium is a key weak spot, *circa* 2026, in a way that would have been unimaginable during previous oil shocks. As the Asia Pacific Foundation of Canada observed in a recent update, "Helium is indispensable in chipmaking, used to prevent silicon wafers from overheating and flush out toxic chemical byproducts. The risk is especially acute for Taiwan and South Korea, which rely on Qatari supply." As for Qatar, which supplies almost 20% of the world's liquefied natural gas (LNG) and was hit early in the war by Iranian strikes, no one could accuse its officials of over-optimism. They have warned it will take three to five years to get its LNG supply back to normal. We will all have to become skilled at cooking on an induction stove or with firewood.

Such candour is mostly in short supply. As *The Economist* observed in a bracingly realistic assessment in late March, "even the best-case scenario for energy markets is disastrous." Reaching pre-war levels of production is a complex balancing act of restarting wells in a calibrated manner, "restoring pressure gently to avoid damaging reservoirs" and then ensuring that there are ships and insurers ready to get back into the business of transporting the oil.

"Insurers still writing cover have raised rates from 0.2-0.4% of vessel value to 1% or more, and 10% for the riskiest voyages," *The Economist* reported at the end of March. The experts it quoted almost uniformly guesstimated that even if the war ended imminently, it would be several months before things approached normalcy.

Oil traders are warning that global stocks of crude oil, petrol, jet fuel and diesel will hit critically low levels by the end of this month. It is no longer a question of price alone, but whether there will be much physical supply at all as the blockades continue. Almost 500 ships are estimated to be stranded near the Strait of Hormuz. Global airlines cut 2 million seats in supply for May and that will prove optimistic. Veteran aviation analyst John Strickland said this week, "I don't think in my time there has ever been the question of shortages (of jet fuel)." It is time, in India and overseas, that the discussion moved to fuel rationing, increased investment in solar energy and increased work-from-home schedules. Unlikely Asian countries have proved role models. Vietnam introduced jet fuel rationing from April. Sri Lanka moved to QR-code based fuel rationing within a fortnight of the war's start. Regardless of the buoyancy of stock markets, we have a summer and winter of prolonged shortages and discontent ahead. Governments and companies must act now.

GUEST VIEW

Securities market code: end the current ambiguity over penalties

The code's proposed revision is a chance to close space for adjudicatory interpretation and offer market participants certainty



M. DAMODARAN & SUMIT AGRAWAL
are, respectively, chairperson, Excellence Enablers, and former chairman, Sebi, UTI and IDBI; and managing partner, Regstreet Law Advisors and a former Sebi officer.

REUTERS



India's securities enforcement framework has long faced a contradiction. Parliament has progressively introduced minimum penalties to strengthen deterrence. At the same time, it has retained broad adjudicatory discretion through mitigating factors. The coexistence of these two approaches has not produced balance; it has created uncertainty.

This fault line resurfaced in the split decision of the Securities Appellate Tribunal (SAT) in *Sukhraj Kaur Rajbans vs. Sebi* (January 2026). The issue is: where a statute prescribes a minimum penalty, can an adjudicator reduce it below that threshold, or impose none, based on mitigating circumstances?

The statutory framework appears, at first glance, to admit little ambiguity. Several provisions of the Securities and Exchange Board of India (Sebi) Act follow this familiar formulation: "not less than X, but which may extend to Y." This suggests: fix a minimum floor to ensure deterrence, while allowing discretion within a defined band. Yet, this structure sits alongside Section 15J of the Sebi Act, which requires adjudicating authorities to consider factors such as disproportionate gain, investor loss and the repetitive nature of a default. This is replicated in the Securities Contracts Regulation Act and Depositories Act.

The tension lies in reconciling these provisions. Are mitigating factors relevant only within the statutory range, or do they permit departure from the minimum?

The SAT's split verdict offers two competing answers. The majority adopts a purposive approach, treating Section 15J as a substantive safeguard against disproportionate punishment. It recognizes that rigid application of minimum penalties may produce unjust outcomes, particularly in cases involving technical violations, negligible impact, subsequent compliance or *bona fide* conduct, and therefore allows flexibility to reduce penalties below the statutory floor.

The dissent of the presiding officer takes a stricter view of legislative intent. Once Parliament has prescribed a minimum penalty, that threshold is binding. Section 15J mandates the determination of a quantum within the statutory band but does not authorize deviation below it. To hold otherwise would dilute the statute through interpretation.

Both approaches are defensible—and that is precisely the problem. The law permits two internally consistent but mutually incompatible readings.

In *Sebi vs. Bhavesh Pabari* (2019), the court held that once a violation is established, the imposition of a penalty is mandatory, though its quantum must reflect statutory factors. In *Sebi vs. Bharti Goyal* (2023), it cautioned against substituting statutory penalties with warnings or other measures. Yet, these decisions stop short of addressing whether mitigating circumstances can justify deviation from the statutory minimum.

Indian jurisprudence is clear that the power to impose a penalty is not an obligation to penalize in every case. Unless expressly barred by law, adjudicatory discretion extends to imposing a lesser penalty—or none at all—where circumstances justify it. Courts have repeatedly rejected mechanical enforcement, particularly where violations are technical, *bona fide*, non-repetitive, harmless, arise from regulatory ambiguity or evolving compliance frameworks, involve *de minimis* impact, reflect procedural lapses with substantive compliance but without market impact, or are promptly rectified.

This principle is not merely theoretical. In a diverse market, violations vary widely. In such situations, rigid application of minimum penalties may be disproportionate to both the conduct and its consequences.

It is precisely in these cases that Sebi officers have, in practice, stretched interpretive tools to avoid unjust outcomes. Some have imposed penalties below the statutory minimum; others have adhered strictly to the minimum despite recognizing mitigating circumstances. The result is a regime that is formally rigid but functionally inconsistent.

This inconsistency undermines predictability—the cornerstone of regulation. Market participants cannot assess enforcement risk with confidence when similar violations attract materially different outcomes depending on the adjudicator's interpretive approach.

The proposed Securities Market Code, 2025, before Parliament's Standing Committee of Finance, is an opportunity to resolve this ambiguity.

The Code retains the same structure. Its penalty provisions (Clauses 97 to 109) continue to prescribe minimum penalties, often linked to fixed amounts or multiples of unlawful gain. Clause 111 mirrors Section 15J, requiring consideration of gain, loss and nature of the default. Yet, the Code remains silent on the central question: are minimum penalties absolute, or can they yield to proportionality in exceptional cases?

This silence is not neutral. By carrying forward both rigid minimums and broad mitigating factors without clarifying their interaction, the Code ensures that these conflicts will persist. The question that divided the SAT in this case will continue to divide Sebi adjudicators.

The problem, therefore, is not one of interpretation but of legislative design.

Effective enforcement requires both deterrence and proportionality. But these objectives cannot be reconciled through *ex post* adjudication alone. They must be embedded in the law. The repeated reliance on adjudicatory discretion to correct disproportionate outcomes suggests that penalty provisions are not adequately calibrated.

A more coherent approach would involve clear legislative guidance. Parliament must decide whether minimum penalties are intended to operate as absolute floors or if limited departures (including no penalty) should be permitted based on clearly articulated factors such as absence of gain, harm or prompt rectification. This is significant, given the ₹10 lakh minimum in several provisions. Equally, penalty frameworks must evolve to reflect the diversity of market participants. Retail investors, intermediaries and systemic actors do not present identical risks and enforcement should not treat them as such. Uniform minimum penalties, applied without differentiation, risk being both over-inclusive and under-effective and may raise concerns under Article 14 of the Constitution.

The Securities Market Code must also move beyond *ex post* review mechanisms and incorporate structured, *ex ante* assessments of penalty design. Without such discipline, enforcement will continue to oscillate between rigidity and discretion, neither of which will operate with sufficient predictability.

The SAT's split decision is not an aberration. It reflects a deeper failure to reconcile certainty with fairness in the design of Indian securities law. If the Code does not address this ambiguity, it risks perpetuating a system where outcomes depend less on statutory clarity and more on interpretive preference. A market of India's scale and ambition should not have to live with this ambiguity.

MINT CURATOR

Buffett's successor may not get the luxury of investor patience

Value investing is a long game and Greg Abel could run out of time



JONATHAN LEVIN
is a columnist focused on US markets and economics.



Buffett's success has largely been about resisting irrational waves. REUTERS

Patience may be the greatest virtue, but few professional investors have the privilege of practising it. In real life, money managers live in constant fear that their investors will flee—and their jobs will be toast—if they fail to keep up with their benchmarks for several quarters or, heaven forbid, years. The only living exception is Warren Buffett. And Greg Abel, Buffett's successor as Berkshire Hathaway's new CEO, is already having to come to terms with that reality.

At his first annual meeting as CEO, Abel preached the gospel of investing discipline against a backdrop of the worst stretch of underperformance for Berkshire's stock in a quarter century. The shares have lost 10.8% in the past 12 months, a 40.4 percentage point underperformance to the S&P 500 Index—the worst, that is, since March 2000.

And one needn't look far for an explanation: Berkshire reduced its stock holdings by a net $8.1 billion in the first quarter, leaving its cash position at $397 billion, or about 32% of total assets. That's even higher than the pile Buffett accumulated prior to the financial crisis. The conglomerate's main exposure to the buzzy artificial intelligence (AI) theme was Apple, a once massive position that's been swiftly downsized since 2024. Now, Berkshire is effectively clipping coupons while index investors elsewhere profit from a bonanza.

Here's how Abel described the situation (*emphasis mine*): "One of our greatest strengths at Berkshire is patience and being disciplined when it comes to allocating our capital. There will be opportunities that come over time... and it doesn't mean there's not opportunities now, but *it doesn't mean you need to deploy all your capital or spend all your money right now*. And that's really our approach."

Among its core principles, Berkshire aims to buy companies that are reasonably valued; that its analysts actually understand; and for which they can assess the longer-term economic prospects. Every element of the Berkshire process faces obstacles in the age of AI.

The technology is an enigma to much of the investing public, as is its scope for rapid improvement, prospects for monetization and the ways it will change the broader economy.

What's more, by any standard valuation multiple, the market and many of its constituents look extremely rich. If Abel and his Berkshire peers are implying (however subtly) that a correction is coming, and they intend to wait for it, the real question is how long their investors will be willing to wait along with them.

In its earlier days, Berkshire was a natural vehicle for individual investors trying to gain access to a diversified portfolio of equities and throw their lot in with a legend. Today, Berkshire shares compete with ultra-low-cost S&P 500 exchange-traded funds and the legend is stepping back, replaced with Abel, whose expertise is really in business operations rather than investing. The stock was already underperforming when Abel took the reins on 1 January and the famous 'Buffett premium' could durably become an 'Abel discount' if he can't catch up to the market soon.

Although Berkshire has long enjoyed low turnover among investors, I am sceptical it could prevent an exodus without the returns to sustain enthusiasm. Lengthy periods of major underperformance have been extremely rare in Berkshire's history. The dotcom era underperformance was really only a 1999 and early 2000 phenomenon. In the mid-2000s, Berkshire had a stretch of lacklustre performance from 2003 to 2005. And it happened again in 2019 and 2020.

For the Berkshire faithful, the pre-dotcom and pre-financial crisis examples, in particular, have become part of the Buffett lore: They showed why the Oracle of Omaha is the greatest investor ever, and why it's worth giving him the benefit of doubt even when it seems like he's lost a step. But those episodes happened when Buffett was in his prime and faith in his process was near an all-time high.

It's hard to imagine investors having the same patience with an untested CEO who has succeeded him.

To be clear, I'm not saying Abel is wrong to exercise caution in this still-frothy market. If the stock market crashes and Berkshire swoops in to buy up the gems in the rubble, Abel will be set up to enjoy a long and prosperous career—maybe becoming a legend himself. Ultimately, he's following Buffett's guiding principles—the ones that made Berkshire one of the world's greatest engines of wealth creation. But no one can know whether a crash is coming, with markets quick to recoup losses these days. And investors aren't going to stand by an unproven operator forever to find out if he'll be vindicated. ©BLOOMBERG

THEIR VIEW

What India's small exporters are saying about exports

TULSI JAYAKUMAR



is professor, economics and executive director, Centre for Family Business & Entrepreneurship at Bhavan's SPJIMR.

Global trade statistics often capture the light of aggregate growth while blurring the shadows of ground-level uncertainty. India's latest trade data released by the commerce ministry presents a picture of remarkable resilience. Total exports in 2025-26 reached $860.1 billion, growing 4.2% from a year earlier. Yet, underneath these resilient macro statistics lies a precarious micro reality for the country's small and medium enterprises (SMEs) that power nearly 50% of its exports and are mostly family businesses.

We conducted a survey of 461 SME family and non-family business exporters across 14 cities over October-December to study trade confidence, not as a single measure, but as a balance between optimism and risk—capturing expectations, current constraints and the direction in which risks are evolving.

The findings reveal a striking paradox. The headline Trade Confidence Index (TCI) stands at a robust 74.3, signalling strong optimism about near-term export growth. Yet, the Net Trade Confidence Score (NTCS), which adjusts for risks, drops sharply to 56.4. This 17.9-point gap is the quantitative expression of what may be called a 'confidence trap': firms believe in their capabilities, but not in the stability of the environment in which they operate.

This divergence becomes clearer when read alongside official data. Sectors such as electronics and engineering continue to show export momentum, and policy interventions like the Resilience and Logistics Intervention for Export Facilitation (Relief) scheme aim to cushion geopolitical disruptions. The survey data aligns with this resilience: 66% of SMEs expect export sales to grow and 85% are confident of the domestic economy. These are not speculative views—the average respondent has over 16 years of export experience and represents seasoned survivors who have navigated past shocks.

However, forward-looking risk indicators tell a different story. The Risk Momentum Index at 40.5 signals that conditions are not just difficult but deteriorating. Every major risk dimension—from tariffs and currency volatility to supply chain disruptions—is worsening. Geopolitical instability emerges as the most acute concern, not as an abstract threat but as an operational constraint affecting payments, logistics and margins. The report identifies three specific 'crush points'' that could derail the momentum:

First, the concentration trap. Over half of SME exporters depend on just one or two destination markets. In an era of fragmented trade blocs and sudden policy shocks, this creates systemic exposure. While firms are eyeing frontier markets in Africa and Latin America, 25.4% are so risk-averse that they plan no new market expansion at all over the next year.

The reality they face is not as bright as official trade data suggests. Policy transmission must improve

Second, the invisible retreat. More than 52% of respondents are planning to scale back international exposure, either by pivoting towards domestic markets or reducing export intensity. This shift is not yet visible in our trade data, which captures realized exports rather than strategic intent. But it signals a potential erosion of India's export base over time.

Third, the family fracture. In SME family businesses, external uncertainty is interacting with internal governance dynamics. The survey finds that intra-family disagreements over internationalization are rising faster than even macroeconomic risks. As geopolitical uncertainty increases, generational differences in risk appetite become sharper.

The tragedy of this confidence gap is that it is being widened by institutional rather than structural factors. While we celebrate the signing of mega-free trade agreements (FTAs), the reality on the ground is one of profound ignorance: 57.1% of SMEs do not use FTAs and 68.1% of them say this is because they don't know deals exist. This is not a failure of policy design, but of policy transmission.

With over 62% of respondents citing aggressive tariff policies as a major threat, the reliance on a few markets becomes a death trap. Schemes like Relief are providing temporary oxygen, but do not solve the underlying structural asthma. Over 36% of firms report difficulty accessing export finance even as expectations of improvement remain high, highlighting a persistent disconnect between policy intent and firm-level experience.

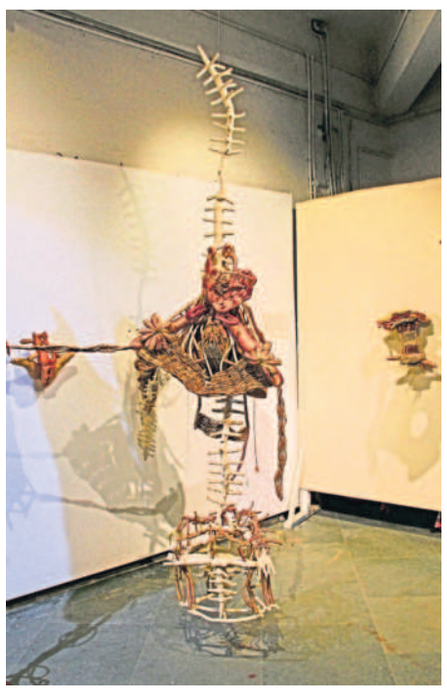
India's export resilience is being sustained by firms operating under increasing strain. SMEs are absorbing geopolitical shocks through operational adjustments, financial stress and strategic caution. But resilience is not an inexhaustible resource. If current trends persist, the risk is not of an immediate collapse in exports, but of a gradual narrowing of our exporter base. Fewer firms may participate in global markets, with exports becoming more concentrated among larger players. This would reduce diversification, weaken supply chain integration and make the export ecosystem more vulnerable.

Policy must evolve from promoting exports to sustaining exporters, addressing the granular anxieties of the family firm. We need more than just fiscal incentives; we need a 'geopolitical concierge' for SMEs—one that provides market intelligence, guides them through FTA compliance, strengthens their access to trade finance and risk mitigation tools and helps bridge the generational divide within family boards.

Without these, the 17.9-point gap between optimism and reality will eventually close—not on account of risk reduction, but because confidence collapses under the weight of a fast-fragmenting world.

Creating a framework for artists in Vadodara





The arts ecosystem in Vadodara, with numerous studios, collectives and galleries, is supporting visual arts students in the city

Anindo Sen
feedback@livemint.com



(from top) Works by Jyotismriti Bordoloi, Annanya Dhanda and Nitinkumar at the annual degree show of the Maharaja Sayajirao University (MSU) in Vadodara.

Annual degree shows at art colleges represent a coming-of-age moment for students. Popularly referred to as "display shows", these exhibitions offer aspiring visual arts practitioners the first opportunity to share their formative practices with a wider audience while also getting noticed by gallerists and curators. Last month, the Faculty of Fine Arts at the Maharaja Sayajirao University (MSU) in Vadodara organised its annual degree show for students pursuing master's and bachelor's degrees across disciplines.

The painting department stood out for diversity of practices marked by individuality of expression and profound personal narratives. Visual artist Mahesh Baliga was impressed by the explorations of materiality on display, especially by the master's students. "I found them brave in extending the idea of painting, be it on woven fabric, stitching on canvas or using the ladder as metaphor and framing device," explains Baliga, who has been living in Baroda since 2005 and is an alumnus of MSU as well.

Also remarkable were budding practices in textile. Take, for instance, the visual vocabulary of a young student, Nandini Patel, who extracts thread from cotton cloth. She then uses subtle interventions to reveal underlying structures and forms. Her powerful monochromatic work won her the prestigious Nasreen Mohamedi Jury Award in her cohort earlier this term. Her classmate, Annanya Dhanda, also stood out for the use of fabric as a retainer of memory. Her presentation at the degree show followed a successful showcase at the recently-concluded Students' Biennale in Kochi. "I have been seeing Annanya's work since she was a first-year student, and she has matured as an artist. She has learnt to keep her work more open ended, allowing for multiple readings," elaborates artist and jury member, Sachin Karne.

> There is a deep sense of community in Vadodara and one can reach out to senior artists for mentorship easily

Besides the institutional framework offered by MSU, multiple artist-led collectives and studios too have come up in Vadodara to support young artistic voices. Artist couple, Rekha Rodwittiya and Surendran Nair, set up The Collective Studio in Vadodara in 1984 and have, over the years, fostered emerging practices. They announced an award for young artists based on their display at the annual degree show. The inaugural prize went to Dhanda. As part of this, she gets to present her work at Gallery White in 2027 in a solo showcase.

There is an increasing presence of mainstream galleries at these degree shows. For instance, the first day of the exhibition at MSU included visits by teams from Chemould CoLab, Art and Charlie from Mumbai, Muziris Contemporary based out of Kochi and Mumbai, Anant Art, Art Incept and Gallery 320 from Delhi, Art Exposure from Kolkata, and the homegrown Gallery White. This was the third visit to the yearly showcase by Joe Cyril, founder of Muziris Contemporary. "Among other things, I specifically look for students who have a bachelor's degree from one art school and a master's degree from another to see how their practice has evolved (from one to the other)," reveals Cyril.

The growing vibrancy of the arts ecosystem in Vadodara is also going a long way in creating a support structure for young students. Take, for instance, Gallery White, which was founded by collector Vinit Nair in 2018. Spread across 3500 sq. ft, the space has featured both established and emerging artists from the city in recent years. A key fixture in their programming is Baroda Annuelle. "We curate this as a group exhibition every year to spotlight promising artistic practices from the city. The idea emerged from studio visits during the covid-19 pandemic and we have now completed five editions," shares Nair. The latest edition in March featured three recent MSU graduates. "I have been closely following the development of a couple of artists from when they were undergraduate students. Among them, I have offered painting student Krisha Bhuva a slot at next year's Baroda Annuelle and also personally acquired works by her from the display," he adds.

Meanwhile the Ark Foundation for The Arts—a collaborative institution dedicated to the archiving of artistic histories—is building a large new museum on the outskirts of the city. The Space Studios in Alembic City run a popular residency, which attracts emerging artists from across the country while artist-run printmaking studios like Awaaz, Litholekha and Vichitra have created vital local infrastructure for younger artists beyond the campus.

It's no wonder then that many of the MSU alumni choose to stay back in the city, while others keep coming back. 2003-alumnus Buddhadev Mukherjee, after having lived away for 12 years, shifted back last month. "The city has a relaxed pace of life and lower cost of living, which affords artists the opportunity to experiment and create work through uncertain times," says Mukherjee. "Artists of varying backgrounds, ages and experience live and work here. There is a deep sense of community, and one can reach out to senior artists for mentorship easily."

Anindo Sen is an independent art writer.



Tiwa Savage nurtures Africa's future talent

Savage is trying to raise the profile of Nigeria's flourishing music scene

Agencies
feedback@livemint.com

Nigerian Afrobeats sensation Tiwa Savage walked around a music centre in Lagos, smiling, listening and giving words of encouragement to scores of young artists in an elite music training programme.

The multi-talented Savage, a prominent face in Nigeria's flourishing music scene, recently brought together 100 young, aspiring artists—selected from 2,000 applications—for instrumental workshops, vocal coaching and masterclasses on the inner workings of the music industry.

The group is the first cohort of her newly established music foundation. Savage is partnering with the prestigious Berklee College of Music in the United States, where she studied around two decades ago.

"When I'm no longer here, I'm praying that a recipient of this foundation will be the next Michael Jackson, the next Quincy Jones, the next Wizkid, the next great artist or producer or songwriter," said the artist, whose global hits include "Koroba" and "Kele Kele".

Born in Lagos 46 years ago as Tiwatope Omolara Savage and raised partly in Britain, she established herself in the early 2010s after returning to Nigeria. She is one of the most influential female voices in Afrobeats, a genre that has attracted a global audience by blending traditional African rhythms with contemporary pop sounds, with its roots in Nigeria.

> Savage believes the Afrobeats ecosystem needs to become more professional

The instructors from Berklee—which is extending its academic programme for the first time to Nigeria—adjusted and corrected the students as Savage watched closely. "Being secure in who you are and what you have to offer, even in a competitive environment, is your superpower, and that's what we teach here," said vocal coach Nichelle J. Mungo, 51, whom Savage met at Berklee.

Savage recalled seeing very few African students at the East Coast American college. It was there that she started nurturing the idea of making it easier for young Africans to access high-level musical training.

"The problem isn't lack of talent or gift," she says. "The problem is access—access to education, music education in particular."

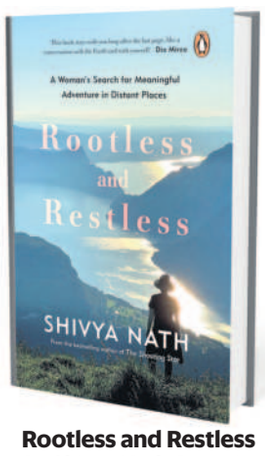
If Afrobeats is to match the staying power of R&B or rock'n'roll, Savage believes the entire ecosystem needs to become more professional. "If we only focus on the artists, how are we going to sustain the industry for many, many years and decades to come?"

Several young artists have already caught the attention of the Berklee professors who came to Nigeria to teach. After their concert at the National Theatre in Lagos, 18 students received scholarships to Berklee, with a total value of $2.1 million.

Savage's foundation provides the training for free and she hopes that will also make it accessible to people from other African countries. "I definitely, definitely want to make this pan-African. It has to be pan-African. Talent doesn't stop in Nigeria. It's everywhere," she said.

Poetry, public transport and slow travel in Iran

This excerpt from *Rootless and Restless* describes the circuitous route to the author's trip to Iran in 2019



Rootless and Restless
By Shivya Nath, Penguin Random House India, 352 pages, ₹499

Shivya Nath
feedback@livemint.com

Iran had just opened up e-visas for Indian travellers, but ours quickly got rejected. I read on forums that it was common to get an e-visa rejection, no reasons given. So we set about charting the archaic, long-winded route to get a physical visa at the embassy: get a visa code through an Iranian travel agency, file an application with travel documents at the Iranian consulate in Mumbai and submit medical test results for TB and HIV. The good news, considering the tense relations between Iran and the West, was that the visa wasn't stamped on our passports. It was issued as a separate physical document and instead of the passport, that paper was stamped upon entry into Iran.

It soon dawned on us that the long-winded process to obtain an Iranian visa was only the beginning of our travails. During our research, we learnt that travel aggregator websites like Expedia, Skyscanner and Goibibo didn't list flights to Iran. Nor did accommodation websites like Airbnb and Booking.com work there. Most travel companies, including World Nomads and BajajAllianz, didn't provide coverage for the country. Visa and Mastercard didn't work there either; no withdrawing from ATMs, no paying with international debit or credit cards. And, as is well known, websites like Facebook, X (formerly Twitter) and BBC were banned. Instagram and Gmail worked though, small mercy! (As of 2019) And so, navigating the many obstacles, we finally took the short connecting flight from Delhi to Iran via Dubai, just a few days before my thirty-first birthday. We had scrambled together a wad of cash that would hopefully last us an entire month in the country....

In Iran... we wanted to be in no hurry and had no 'must-see' list we needed to get through. We promised to give ourselves enough time to savour the places we visited and to linger longer in those we loved. We wanted to marvel at the architecture and natural beauty of course, but also to live in small countryside villages and experience the lives of the locals. Tehran sounded like a sprawling, chaotic and polluted city. Besides, nestled in the Zagros mountains, it would be too chilly and smoggy in early February, much like Delhi. So we flew to the smaller city of Shiraz instead. I felt excited about the decision back then but questioned skipping the capital when I read the book *Reading Lolita in Tehran* by Iranian author Azar Nafisi. She described winter in the city in language so poetic that I fell in love with it without ever visiting.

We had a month-long visa and a rough idea of where we wanted to go but no fixed agenda. We planned to travel only by public transport and intended to eventually land up in Tabriz, the home of Shams-i Tabrizi, a revered Persian poet believed to be Rumi's spiritual guide. From there we'd take the long bus across the border to experience the onset of spring in neighbouring Armenia.



The holy shrine of Shah Cheragh in Shiraz. ISTOCKPHOTO

On a sunny winter afternoon, we descended towards the southwest of Iran, into the seventh-century city of Shiraz at the foot of the Zagros mountains, into the land where ancient Persian poetry, art and literature once thrived. With no Uber available when we landed at Shiraz airport, we sat in the cab of a sour-faced cabbie who roughly knew the location of our guest house. He wasn't very chatty but, on the way, I asked him what places he loved in his city so we could visit them too. Instead of giving us recommendations, he explained, his chest puffed and one hand rising in dramatic movement while the other held the steering wheel, that Shiraz is the city that inspired great poets like Hafez and Saadi. After a few moments of silence, he unexpectedly began to recite Saadi's poetry in Farsi, followed by a modest attempt at translating it into English. I was awestruck as I tried to pay attention to his impromptu recital and later dug up the part of the poem (I think) he recited: *That is not a face whose beauty I can express/ Let someone else do it as I am astounded/ They all see, but that is not the art which I see/ They all read, but that is not the passage which I read.* 'Shiraz,' he said, 'is a city that you can't just see with your eyes. You have to feel it with your heart.'

Excerpted with permission from Penguin Random House India.